ZEBRAS AND COMPANY



2021
2023

ZEBRAS AND COMPANY

IMPACT JOURNEY REPORT

ENGLISH Edition

ゼブラアンドカンパニー
インパクトジャーニーレポート



Introduction

Welcome to the Z&C Impact Journey Report. As a company founded through impact investment ourselves, we had considered creating a report from our first year. However, we felt that summarizing our journey over three years would hold greater significance than releasing a single-year version.

Looking back on these three years, my honest feeling is, “We’ve come so far.” When I look at the career paths of my co-founders — Tabuchi-san, with his background in impact investing, and Suyama-san, who has a history of fostering new industries from his time as a METI bureaucrat to his work in the VC world — I’ve always been the one focused on contributing to businesses through marketing and creative work, rather than directly on creating positive social change. It feels strange to now be in a position where I am expected to balance social and economic value. However, in an era where we must create the future through the activities of each individual, rather than relying on the government or investors, I hope that a career like mine also has meaning. The zebra company model, too, is perhaps something that is born and grows amidst such changing times.

This time, rather than a typical impact report, we are delivering an “Impact *Journey* Report” as “a letter from us, who are just a little further down the road.” We hope that our continuing journey will serve as an encouragement to other travelers. And, through this report, we would be delighted if you could take a moment to reflect on your own journey and values.

—**Yohei Azakami**,
Co-founder & CEO, Zebras and Company

Four years have passed since we founded Zebras and Company (Z&C), and looking back, these years have been but a blur. I had jumped into the world of impact investing with a passion for supporting entrepreneurs, only to realize that most social entrepreneurs were not receiving the support they needed to thrive. Growth capital was flowing to a handful of “social unicorns,” while most others were left behind. I knew we had to change this dynamic.

That’s when I met Zebras Unite in the United States. I remember the excitement of finding their idea of “fostering a world of sustainable zebra companies, not just unicorns chasing explosive growth” and thinking, “This is it!” In 2019, we established Tokyo Zebras Unite, and in 2021, I co-founded Z&C with Yohei Azakami and Yuji Suyama. From there, we started on an exploratory path, drawing our Theory of Change around the goal of “increasing the number of zebra companies and the flow of capital to them,” and our community of partners has been growing ever since.

This report is a summary of our journey so far, the stories of the companies we’ve backed, and the future we hope to create. It was made possible through the collaboration of our entire community — our co-founders, employees, shareholders, portfolio companies, and advisory clients — as well as the cooperation of many people who helped create it, beginning with our designer. As we continue collaborating to build a “thoughtful, healthy and enjoyable society”, we hope this report proves helpful for your own journey.

—**Yoshi Tabuchi**,
Co-founder & CEO, Zebras and Company

A Love Letter to Japan:

An Island of Sanity and Interdependence

by Mara Zepeda Co-founder, Zebras Unite

Greetings to my Japanese Zebra Friends,

This is my first time writing a love letter to a country I've never visited, and to people I've never met. If you're reading this, we share a timeless dream, a longing to live in the ZEBRAHOOD. As Japanese American artist Yoko Ono says, "A dream you dream alone is only a dream. A dream you dream together is reality." Together, we've dreamed ourselves into this reality.

In English, we have an expression for people who find like minded dreamers: "We are cut from the same cloth." Let's thank the Zebra for bridging language and location, symbolizing balance and harmony. A herd of zebras, called a dazzle, comes together for collective wellbeing. And look! We have found each other! Seven years ago, my co-founders and I wrote "Zebras Fix What Unicorns Break," predicting the damage of unchecked economic growth. We advocated for alternative business models that balance profit and purpose, champion democracy, and share power and resources. These companies aim to create a just and responsible society.

"We believe that developing alternative business models to the startup status quo has become a central moral challenge of our time," we wrote. "These alternative models will balance profit and purpose, champion democracy, and put a premium on sharing power and resources. Companies that create a more just and responsible society will hear, help, and heal the customers and communities they serve."

We envisioned an economy that rewards regeneration, care, harmony, and balance over extraction and competition. Zebras, now a core part of Japan's economic policy, represents a global invitation for Zebras to join the dazzle and for other countries to share this dream.

Against all odds, this dream is made real every day, thanks to visionary leaders like Prime Minister Fumio Kishida, ITO Tatsuya, and the Zebras & Company team. My teacher Margaret Wheatley describes this work as creating "Islands of Sanity" spaces that protect and nurture the human spirit and creativity.

"An Island of Sanity is a gift of possibility and refuge created by people's commitment to form healthy community to do meaningful work," writes Wheatley. "It requires sane leaders with unshakable faith in people's innate generosity, creativity, and kindness. It sets itself apart as an island to protect itself from the life-destroying dynamics, policies, and behaviors that oppress and deny the human spirit. No matter what is happening around us, we can discover practices that enliven our human spirits and produce meaningful contributions for this time."

Japan is the first island of sanity to adopt and follow this path, this dao, of the Zebra. This path includes principles from your culture like shibui, ikigai, and mottainai. From what I have learned, the Omi Merchants were also on this path, and their concept of 'Sampo-yoshi'—good for the seller, buyer, and society—was ahead of its time in naming what you love and wish to protect. You in Japan are asking how those principles can be embedded in your economy.

In America, we are also asking existential questions like this.

In two years, America will celebrate the 250th anniversary of its founding in 1776 and the declaration of independence. As that milestone approaches, we reflect on and reconsider America's complicated history and what we can learn from other cultures that revere balance and harmony like yours, as well as in Indigenous American perspectives native to our land.

On the same day this year, on Summer Solstice 2024, you will be in Tokyo and I will be in the Black Hills of South Dakota.We'll be asking the same question: how might we declare interdependence? Sharing time, separated in space, we are together today in spirit asking questions that may have no answers other than "let us be good neighbors in this ZEBRAHOOD."

We ask the questions and search for answers motivated by wishing to protect what we love: for our children, grandchildren, and for seven generations in the future. We are seeding those dazzling dreams together today, with our shared prayer to dream our way into new, real paths together. Now our minds are one.

I will leave you with some words of wisdom I hope we carry forward together from farmer, poet and philosopher Wendell Berry from his poem "Mad Farmer Liberation Front."

Ask the questions that have no answers.
Invest in the millenium. Plant sequoias.
Say that your main crop is the forest
that you did not plant,
that you will not live to harvest.
Say that the leaves are harvested
when they have rotted into the mold.
Call that profit. Prophesy such returns.

Put your faith in the two inches of humus
that will build under the trees
every thousand years.
Listen to carrion – put your ear
close, and hear the faint chattering
of the songs that are to come.
Expect the end of the world. Laugh.
Laughter is immeasurable. Be joyful
though you have considered all the facts.
So long as women do not go cheap
for power, please women more than men.
Ask yourself: Will this satisfy
a woman satisfied to bear a child?
Will this disturb the sleep
of a woman near to giving birth?

May all of us near to giving birth (to children, to ideas, to new neighborhoods, and economies) listen closely and hear the faint chattering of the songs that are to come in this shared dream, now real.

Mara Zepeda

Co-founder and the Founding Managing Director of Zebras Unite. A systempreneur and serial social entrepreneur. She holds an MS in Journalism from Columbia University. Currently based in Columbia, South Carolina, she serves as an Entrepreneur-in-Residence at the Faber Entrepreneurship Center within the University of South Carolina's Darla Moore School of Business.

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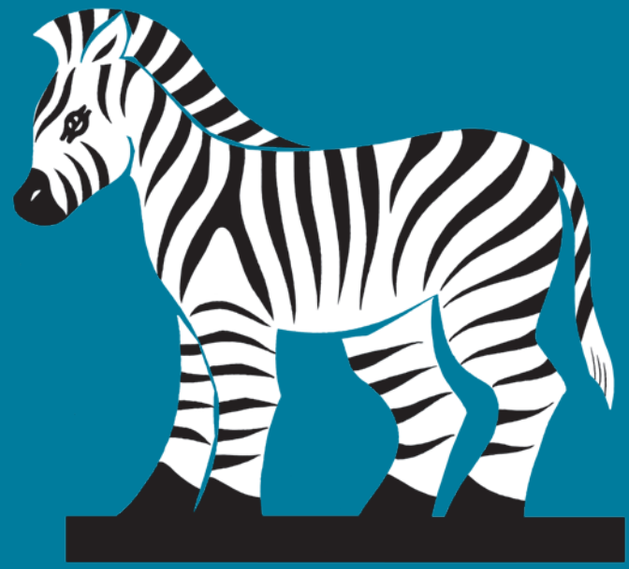
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Part 1

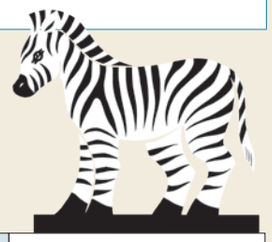
Our Three Year Journey 1

The Basics of Zebras and Company



Zebras and Company Overview

Name	Zebras and Company Inc.
Established	March 12, 2021
Business	Creating a movement and community to expand awareness of the concept of “Zebra” and implementing investments and management support for social implementation.
Capital	88.5 million yen
Share-holders	Yohei Azakami Yoshi Tabuchi Japan Social Innovation and Investment Foundation (SIIF) Hinoki inc. Mio and Company Inc. Hidekuni Takagi (Representative of Takagi Building inc./BIRTH) Mirai Turbo Inc.

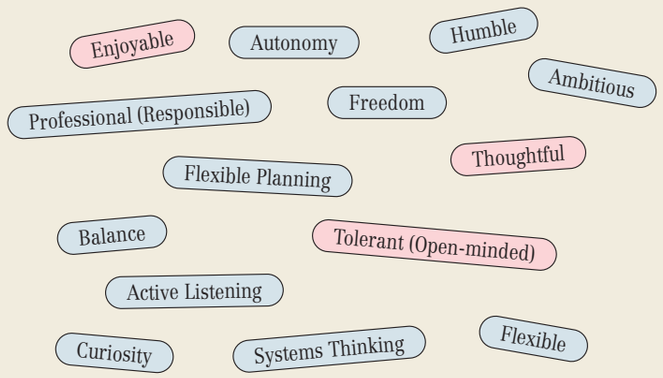


Zebras and Company’s Values

Flexible	Collaborative		Playful
Valuable	Healthy	Sexy	Tanosy

What we value in our work

In our first year, the three co-founders established the Z&C values listed above, drawing on our past experiences and defining what we hold dear in our work. Our goal is for these values to connect to our vision of making “a thoughtful, healthy and enjoyable society.” They embody our desire to be open-minded and tolerant (thoughtful), to value autonomy and responsibility (healthy), and to never forget a sense of freedom and joy (enjoyable - “tanosy”).



Timeline of Our Journey from 2021 to 2023

	2021			2022			2023		
	Z&C	Japan	Global	Z&C	Japan	Global	Z&C	Japan	Global
JAN		2nd State of Emergency	Biden inaugurated in the US						
FEB		Vaccinations begin	Military coup in Myanmar	First investment: Hitobito / ZEBRAHOOD 2022 held / “LIFE type1” term sheet released		Russia invades Ukraine			Generative AI booms globally
MAR	Z&C Founded	10 years since Great East Japan Earthquake		Z&C enters Year 2			Z&C enters Year 3	Mask -wearing becomes optional	Silicon Valley Bank collapses / Zebras Unite US restructures
APR						Major lockdown in Shanghai		Legal age of adulthood lowered	Turkey-Syria earthquake / Political turmoil in Thailand
MAY				Z&C featured in METI’s SME White Paper				G7 Hiroshima Summit	WHO ends COVID-19 emergency / Major Hollywood strikes
JUN	Z&C Begins Operations		G7 Summit held	First Finance for Purpose case study released	House of Councillors election	2nd UN Ocean Conference	Full-time hiring begins / “Regenerative Company Shift” process co-developed with WIRED	Zebra Companies become national strategy / Tokyo stocks hit post-bubble high	
JUL			Tokyo Olympics & Paralympics	Tabuchi joins Zebras Unite board / Sunaba Shiojiri program launch / Investment in essesense / First full-time hire: Sai Sakamoto	Assassination of former PM Shinzo Abe				G20 India Summit
AUG	Collab series with “MASHING UP” begins		US withdraws from Afghanistan and Taliban takes over				“ZEBRA CULTURE GUIDEBOOK Vol.01” published		Europe records temperatures over 40°C
SEP	“Finance for Purpose” launched / Project with Gungendo begins	Digital Agency launched			Record-high minimum wage increase	Death of Queen Elizabeth II	4th Investment: NEWLOCAL		
OCT		Fumio Kishida becomes Prime Minister	COP26 held (Phase out coal)			Elon Musk acquires Twitter	Suyama steps down as Rep. Director, Miai Kobayashi joins as Outside Director / Sonoko Tanaka joins as full-time member	Johnny & Associates press conference	Dazzle Con 2023 held in the US
NOV						G20 Bali Summit / FIFA World Cup in Qatar	Tabuchi appointed to SME Agency’s ecosystem study group		
DEC							“LIFE type1” explanatory article released	My Number Card adoption reaches 80%	

Our Team



Yohei Azakami

阿座上 陽平

Co-founder, Co-CEO, Zebras and Company
Producer, Utopia Agriculture Inc.
Director, Black Star Label

Yohei is responsible for end-to-end design and implementation of businesses and brand strategies, including marketing planning, creative direction, and promotion from product/service development for startups to publicity. He excels in creating concepts for words and designs that represent companies, formulating visions and missions based on research on internal and external stakeholders as well as market/competitors, and designing brands that spark conversations in society.

Favorite Zebra:

Hitobito

As Z&C's first investment, we have grown alongside them as they tackle two key issues: the sustainability of farmers in Fukushima and the health of women. They have a unique way of moving forward. While we have our planned initiatives and weekly meetings, you'll look up and find that all this other progress has happened organically. There's a bit of magic to the company. I'm excited for our continued growth together.



Yoshi Tabuchi

田淵 良敬

Co-founder, Co-CEO, Zebras and Company
Co-founder, Co-Lead, Tokyo Zebras Unite
Community Lead, Cartier Women's Initiative

For about 10 years, Yoshi has been engaged in impact investing both domestically and internationally. Leveraging his experience in investment execution, Yoshi provides support in formulating post-investment visions, missions, and strategies, creating frameworks and building organizations, developing leaders, and making management decisions using impact indicators. With global experience and an academic-industrial network, Yoshi excels in conceptualizing businesses, providing management support, and forming partnerships with overseas partners from a global trend perspective.

Favorite Zebra:

immue

With the vision of "highlighting the appeal of various regions in Japan and making it a country rich in both culture and economy," immue create brands that leverage local resources with a mission to rediscover that local value and share it with the world. They are also one of Z&C's advisory clients. Founded as recently as 2021, the company is growing and evolving every day. While they began by consulting for local governments, they have since become involved in product creation, such as utilizing seafood from Shiranuka Town. To change the perception of the region, they even launched a consumer-facing magazine called HERES. It's a company whose future challenges and growth are exciting to watch.



Sai Sakamoto

阪本 菜

Born in Tokyo in 1999, Sai studied abroad at West Virginia Wesleyan College, majoring in Art Administration and Gender Studies. After starting as an intern at Zebras and Company in 2021, she joined full-time as the company's first employee in July 2022.

Favorite Zebra:

Black Star Label

My favorite zebra is Black Star Label, the creators of the film Dance with the Issue. It's a film that explores the energy crisis through the expressive medium of contemporary dance. What I love about it is how it asks fundamental questions and really moves you. It creates a space for dialogue about difficult, complex issues without offering easy answers, all while being incredibly beautiful to watch and listen to. This film is a powerful reminder that art and cinema have the ability to gently shift society. I'm truly excited for their next film and will be cheering them on.



Yuri Tamaoka

玉岡 佑理

After graduating from Kyoto University in 2017, Yuri worked at Bain & Company on a wide range of strategic projects. Through her pro-bono activities, she provided consulting support to NPOs in the child welfare sector and also as a member of the Social Impact Team. She later joined atama plus Inc., where she worked on new business development for B2B/B2C educational services. She joined Zebras and Company in May 2024. Her passion lies in education, child welfare, traditional culture, and the arts.

Favorite Zebra:

SEA VEGETABLE

This company is working to bring back our seaweed beds, which are disappearing due to sea desertification, by tackling the problem from two angles: production and consumption. They aren't just researching eco-friendly cultivation; they're also creating new ways to enjoy seaweed, helping to carry this food culture into the future. And best of all, their products are absolutely delicious! They remind us of the richness and untapped value of our oceans, making them what I feel is a truly zebra-like company.



Sonoko Tanaka

田中 苑子

After graduating from Keio University in 2016, Sonoko worked on new business development at Akatsuki Inc., focusing on web media and content development in the entertainment and events sectors. She later joined Corporate Directions, Inc. (CDI), where she supported management strategy, new business creation, and the launch of new ventures in collaboration with clients. She joined Zebras and Company in October 2023. Her interests lie in how people and nature can coexist. Her two lifelong passions are mountain climbing and playing the piano.

Favorite Zebra:

SANU

SANU is a company with the concept, "Live with nature." They offer a subscription-based second home service in natural settings, creating opportunities for people to reconnect with nature. They have also built a regenerative system where, through their unique environmental program, the more cabins they build, the richer the surrounding environment becomes .What I find so essential and sustainable about their approach is that they start by trying to shift people's mindsets, to nurture more people who actively care for the environment. And, as a mountain lover, I am also a fan of how the origin of the name SANU (from Sanskrit) means "mountain top, sun, thoughtful person."



Yuji Suyama

陶山 祐司

Co-founder, Zebras and Company
Co-founder, Co-Lead, Tokyo Zebras Unite



Miai Kobayashi

小林 味愛

CEO, Hitobito Inc.
Outside Director, Zebras and Company



Toru Mio

三尾 徹

CEO, Mio and Company Inc.
Auditor, Zebras and Company Inc.

Toward a Thoughtful, Healthy and Enjoyable Society.
Zebras and Company: Our Journey Begins



Our goal is to create a “thoughtful, healthy and enjoyable society.” This vision is not just an ideal; it’s a “form of questioning” that we ourselves have refined through trial and error while walking alongside zebra companies and our partners.

"**Thoughtful**” means “Kind and Diverse.” It signifies a tolerant society that is compassionate and accepts diversity, where everyone can feel secure and choose their own future. “**Healthy**” means “Healthy and Competitive.” It refers not only to the mental and physical health of individuals but also to the soundness of the business itself, and the relationships where companies tackling social issues can grow together in healthy competition. “**Enjoyable**” means “Fun and Motivative.” It’s about being able to act on one’s own will and enjoyment, not out of obligation. It’s a state where one can start something because of their internal motivation, not because someone told them to.

These three elements are not separate but exist within a single cycle. Kindness cultivates the soil for new challenges, health provides the power for continuity, and enjoyment becomes the driving force for the future. That’s why at Z&C, we hold these three as an integrated whole.

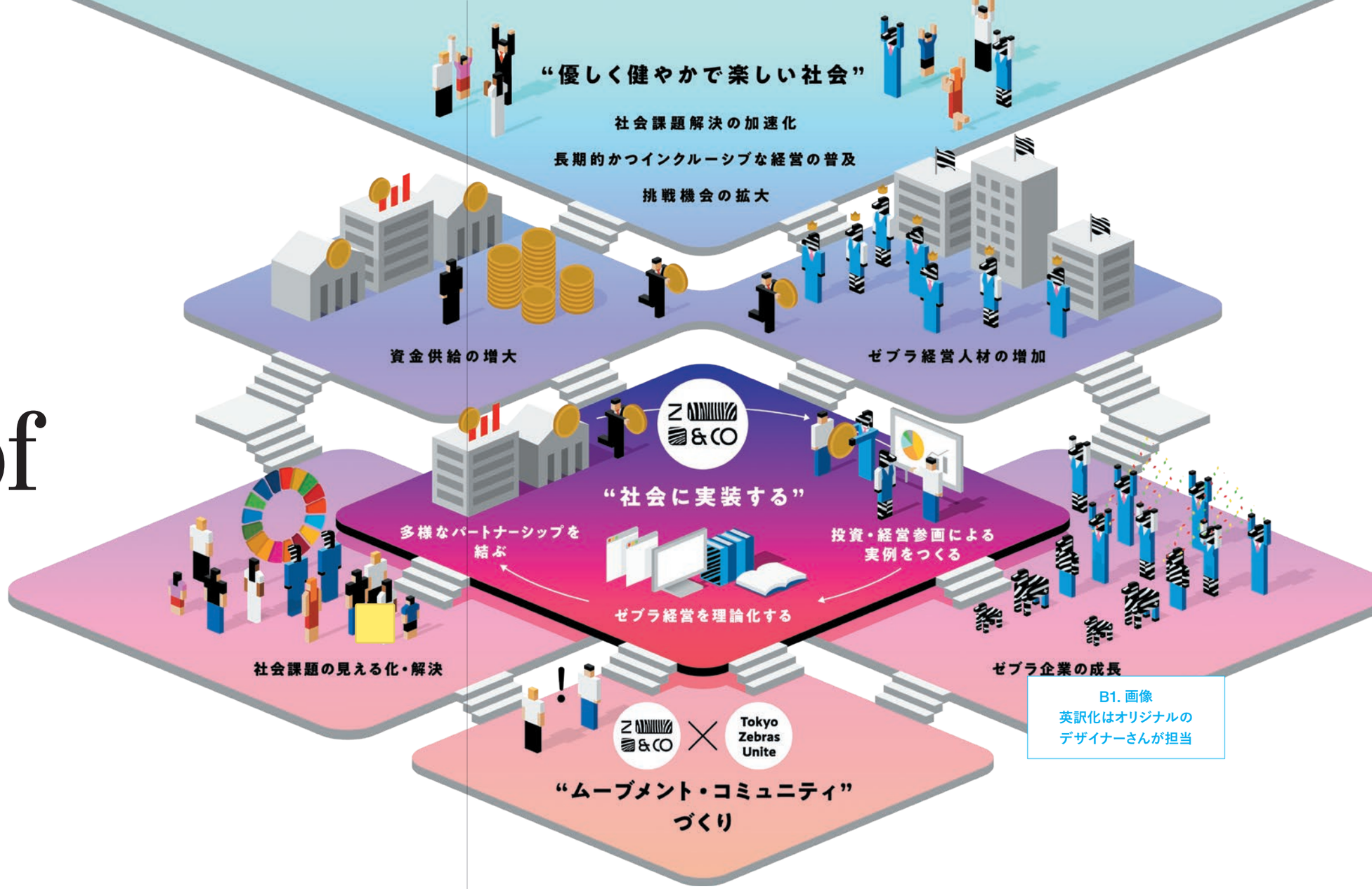
This society is shaped by three landscapes. The first is the “acceleration of social problem-solving,” a world where zebra companies that balance social and economic value increase, and challenges across regions and generations become commonplace. The second is the “spread of long-term and inclusive management,” where sincere and sustainable management for all stakeholders becomes widespread, untethered from short-term profits. And the last is the “expansion of opportunities to take on challenges,” a society with a culture where anyone can try without fear of failure and is supported in trying again.

This report is a record of the journey we at Z&C have taken to create such a society. It’s not yet a complete answer, but a collection of the landscapes we’ve seen, the questions we’ve encountered, and the voices of our partners during our exploration.

Please turn these pages with your own “questions” in mind. The continuation of this journey surely includes you.

Theory of Change

Drawing a Map of Change



B1. 画像
英訳化はオリジナルのデザイナーさんが担当

The future is not something you wait for; it's something you create. That's why we drew a map called the “Theory of Change” (TOC). It is, in a sense, a “navigation map to the future,” showing what kind of society Z&C aims for and the route we will take to get there.

To realize our vision of a “thoughtful, healthy and enjoyable society,” we began by building a movement and a community. As our network grows through information sharing and dialogue, social issues become more visible, leading to the next actions. By theorizing the practical knowledge gained through investment and management advisory and sharing it openly, we cultivate the ground for collaboration with other players. The significance of zebra companies takes root in a society where diverse actors – financial institutions, government, the media, and citizens – intersect. This cycle is the process of “change” as we see it.

Z&C created this TOC not only to organize our own path. It also reflects our hope that those involved can see where their role is positioned, and that the distant future can gradually feel more attainable.

Social issues are at times complex and intertwined. However, having a map helps us see where to start walking. At Z&C, we have used the power of design to visualize our TOC so that it is not just for experts, but something that anyone can “read and act on.” We feel that the empathy for our cause has spread since our founding precisely because we had this map. Therefore, if you are thinking of starting something, we encourage you to draw your own TOC. Imagine the future, put the path to it into words, and draw the lines. It will surely be the first step in connecting you with someone else.

Our 5 Business Areas

Z&C has five business areas: investment, advisory, theorization, collaboration, and movement building. These are not standalone businesses; they interact with each other to realize Z&C's Theory of Change.

1. Investment in Zebra Companies

We target companies that have a product or service with growth potential and aim to create social impact through their business. We have invested in four companies so far. Represented by "LIFE," a new type of investment agreement we created for our first investment, we don't just apply existing methods. Instead, we design our role as investors and supporters to implement the future envisioned with the entrepreneur, reflecting this in the investment structure. Post-investment, we provide various forms of support as a shareholder, building strong and warm relationships as part of the Z&C family.

2. Advisory for Zebra Companies

We have supported over 30 companies, from foal to parent zebras. While our engagements vary, a common feature is the need to "create and visualize social impact." We also provide business support in areas such as:

- **Vision and business strategy**
- **Marketing and branding**
- **Financial planning and fundraising**
- **Organizational development and governance**
- **Networking**

Our advisory business provides the key revenue needed to cover our operational costs, as the management fees we can extract from our investment capital of under 100 million JPY are minimal. But just as importantly, the work is more than just a revenue source: it allows us to tackle challenges alongside many zebra companies, which in turn helps us explore and theorize zebra management ourselves.

3. Theorizing Zebra Management

We systematize and disseminate knowledge related to zebra companies and their management. This includes concept formation and creating frameworks based on practical experience, such as "Finance for Purpose," "The Regenerative Company Shift," and "Zebras Finance Design." We also work to understand the concept of zebra companies from the perspective of existing academic fields like economics, through interviews with scholars.

4. Collaboration with Diverse Partners to Promote Zebra Management

Because there is a limit to what Z&C can do alone to socially implement the concept of zebra companies and create a supportive environment, we collaborate with a wide range of partners. This includes regional and shinkin banks on the financial front; central ministries and local governments on the policy front; and other companies that are sympathetic to the zebra concept. Examples of our work include promoting a local zebra ecosystem with the Ministry of Economy, Trade and Industry's Small and Medium Enterprise Agency; co-creating a new framework with WIRED Japan; and advancing regional impact investing with the Sunaba hub in Shiojiri City, Nagano. By creating a situation where many players beyond just Z&C are supporting and promoting zebra companies, we are fostering the formation of a self-sustaining ecosystem.

5. Building a Movement for Zebra Companies & Management

This is not a standalone business area; rather, we work to implement zebra companies and management into society by fostering a broader social movement. All four of the business areas mentioned above play a role in this effort. A significant milestone in the expansion of this movement was the inclusion of zebra companies in the Cabinet Office's "Basic Policy on Economic and Fiscal Management and Reform" last year.

Investment Philosophy

An investment philosophy is the fundamental set of beliefs that guides our decisions. By establishing one, we create a standard for selecting companies that align with the future we want to create, rather than simply investing in any company that seems profitable. It becomes the touchstone we can return to whenever we are in doubt.

Z&C's Investment Philosophy

By creating social and economic success stories, we aim to shift the awareness and behavior of:

1. Stakeholders involved in the social issues the business addresses
2. Other entrepreneurs and investors

...thereby expanding the presence of zebra companies and zebra investing into areas that are difficult to measure by conventional financial standards.

Changing Awareness and Behavior

When selecting investments, we place special importance on whether a business can shift the awareness and behavior of its industry and society. When a change occurs among stakeholders like suppliers and customers, and when that change resonates with other entrepreneurs and investors, leading to a shift in their own thinking and actions, a much larger social impact can be generated, leading to a regenerative ecosystem. In conventional finance, there is a concept called the "time value of money." In this context, "value" is measured on the premise that the money returned comes back only to the provider, based on two factors: (1) the amount of money that returns, and (2) how quickly that money returns. Thus, the same amount of money is worth more today than it will be tomorrow.

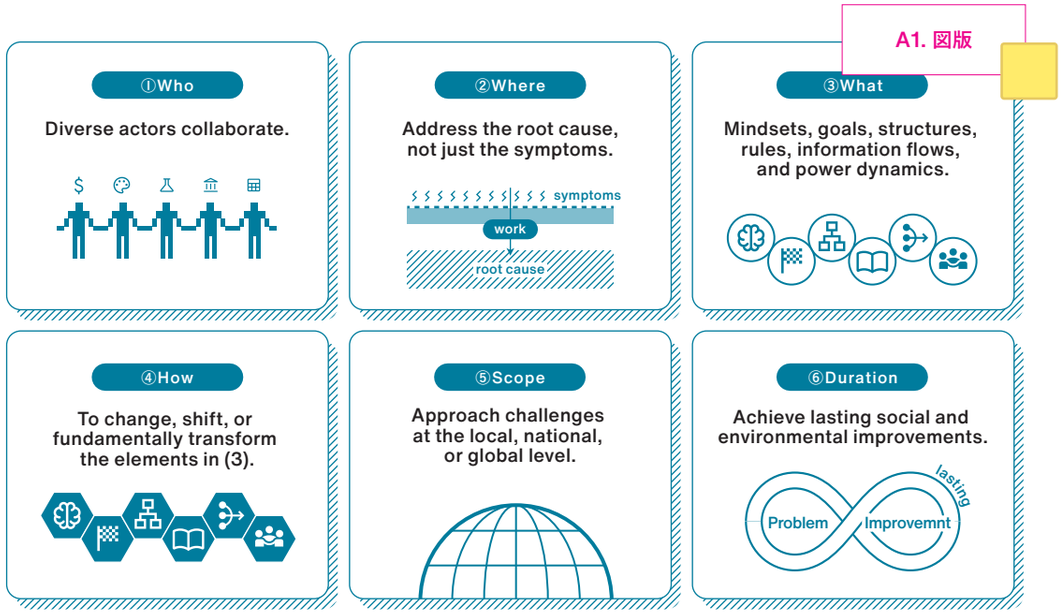
The concepts of scalability and the associated financial returns spoken of in the startup and investment world are based precisely on this way of thinking; the return on an investment is defined by how quickly and how much money comes back to the investor.

At Z&C, we operate under the concept of **"Different scale, different future."** This expresses our belief that **by using a different standard of measurement, we can foster a different kind of business growth and create a different kind of future**. For example, actions like improving the global environment or leaving assets for the next generation are considered to have no value in conventional finance because the money doesn't return directly to the investor. We, however, want to have a metric that sees these things as a form of future value.

For instance, our partner, the Gungendo Group in the Iwami Ginzan region of Shimane, preserves vacant houses for the good of the town and contributes to the sustainability of local educational institutions, all while running their main apparel business. At first glance, these activities may seem unrelated to their business, but preserving the World Heritage town of Omori is the source of their business value and also protects their own livelihood as workers. We do not see such activities, which may not be reflected in the short-term P&L or balance sheet, as "wasteful." Instead, we intend to carefully evaluate and support them as important investments for the future.

Z&C's Approach to Investment: Systems Change

A1. 図版



(Adapted from the definition on the Social Innovation and Investment Foundation website)

"Systems change" is a new investment concept that is gaining traction, primarily in the West. This concept deeply aligns with our own investment philosophy, and we would like to introduce it here to provide context for the case studies that follow.

The Origins of the Systems Change Concept

"Systems change" refers to "initiatives that address the root causes of complex issues, rather than just the surface-level events." In the context of investment, the term "system-level investing" is also widely used internationally.

With the growth of impact investing and ESG investing, significant capital has flowed not only into areas with high conventional financial returns but also into fields where social value can be quantitatively measured. Prime examples include CO_2 emissions reduction and healthcare. However, in sectors where social awareness is still low and outcomes are difficult to quantify, markets struggle to develop, making it challenging to attract investment capital. Furthermore, some fields, such as education, present outcomes that are difficult to measure and are long-term in nature. Addressing these challenges is beyond the capacity of any single company or investor. These are areas where fundamental structural change is required, driven by shifting public consciousness and collaborative efforts based on a shared vision.

Z&C's Approach to Investment

Each of our four portfolio companies is undertaking initiatives aimed at systems change within their respective domains. Hitobito addresses the challenges faced by farmers in Kunimi Town, Fukushima, as well as the health issues of modern women. Linklusion works to improve the lives of rural residents in Myanmar. esse-sense connects researchers with corporations to create a foundation for fundamental innovation in Japan. NEWLOCAL develops new business models to ensure the self-sustaining preservation of local cultures. Each company aims to achieve systems change in the areas they are committed to protecting. At Z&C, we support these efforts with the belief that the systems change initiated by our portfolio companies will contribute to a broader systems change that helps solve challenges across Japan.

How We Evaluate Portfolio Companies and Social Impact

Balancing social and economic value is more than just a statement. To connect social value to economic performance and evaluate it, we utilize and adapt a method from impact investing known as Impact Measurement & Management (IMM).

What is Impact Measurement & Management (IMM)?

IMM is a process for putting social impact into practice. It involves a cycle of four stages — planning, executing, assessing, and reporting/utilizing — with evaluation tasks integrated throughout (Reference: SIMI website). In other words, impact assessment is designed and conducted from the planning stage and incorporated as a factor in management decisions.

Z&C's Approach to Social Impact Assessment

At Z&C, we often create a Theory of Problem/Theory of Change (TOC) and a logic model during the investment due diligence phase. This allows us to formulate hypotheses about the social impacts that will be generated through the company's business activities. We engage in dialogue with entrepreneurs and management to clarify the ideal state of society they aim to create, a future different from the status quo, and to validate these hypotheses. A key feature of Z&C's TOC and logic models is that they are intrinsically linked to business growth; the more a company sells, the greater the desired impact becomes, creating a management strategy where impact and business are inseparable.

The created **TOC and logic models are utilized in various scenarios, such as management reviews and explanations to third parties**. We identify key quantitative indicators and measure them periodically to manage progress in both business and social impact creation. These tools are also used to **assess how new projects or collaborations contribute to the company's overall vision**.

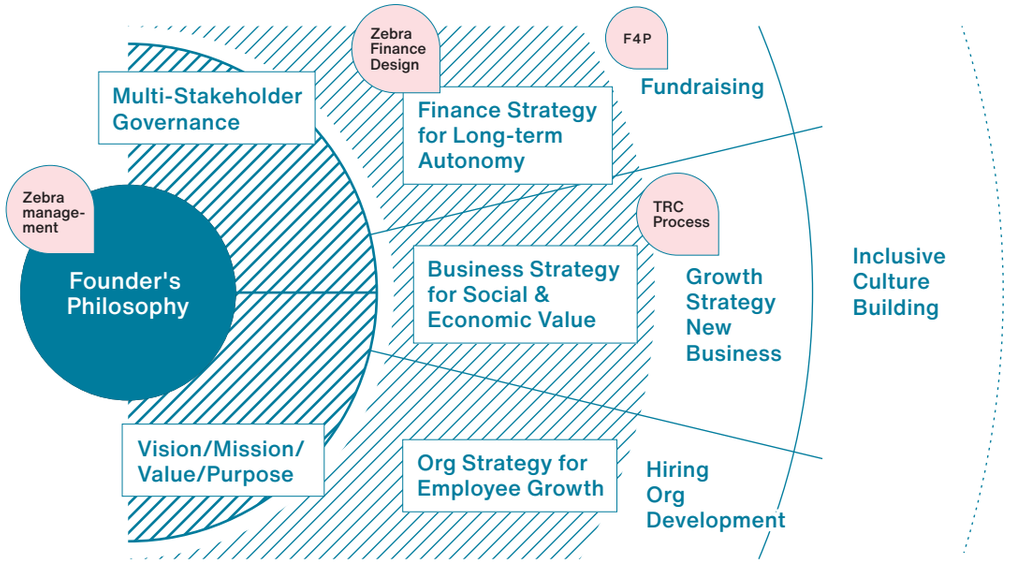
Impact on Inclusive Stakeholders

In addition to the direct social impact generated by business activities, we also evaluate the impact on the broader ecosystem of stakeholders who support the business. We qualitatively and quantitatively visualize the changes that occur for shareholders, employees, business partners, and customers as a result of their engagement with the company.

In recent years, there has been a growing movement to consider the social impact on stakeholders beyond the direct beneficiaries of business activities, as exemplified by Patagonia's commitment to the environment. This aligns with the background from which the zebra company concept emerged in the United States. It reflects a core characteristic of zebra companies: to move away from generating short-term profits for a few stakeholders and instead to create long-term, multifaceted impact for a wide range of partners and their value.

Diagram of Zebra Management

What is the scope of a zebra company's management?



While a "zebra company" is often described as "balancing social and economic value," our three years of experience show that zebra management **cannot be defined by business activities alone**. It requires sincerely engaging with diverse elements: from relationships with suppliers and approaches to social issues, to each employee's fulfillment and careers. Here, we explain this overall picture through the diagram of zebra management.

A key characteristic of zebra management is **the approach of forming a single culture while nurturing relationships where external partners and even shareholders support the company's vision**. This culture, conceptualized through finance, business, and organizational strategies, is shaped by concrete actions like fundraising, new businesses, and organizational development. **This cycle of strategy and execution becomes the source for cultivating a zebra-like foundation**.

In finance strategy, fundraising must be approached with a clear view of the desired impact and returns, centered on a business strategy that presupposes the balance of social and economic value. Flexibly combining diverse funding sources, rather than relying on a single method, is essential. In growth strategies and new business, one must balance a business concept that confronts the company's desired changes and protects core values with an economic strategy that secures revenue and enhances autonomy. The "people" supporting the business strategy are also vital. Management must value the worldviews and mission-alignment of their employees while respecting their personal growth and fulfillment. This requires hiring and organizational development that considers each individual's future.

Supporting these efforts are organizational governance and corporate philosophy. Depending on the growth phase, the goal is designing governance based on transparency and trust rather than control. This leads to organization and team development through autonomous actions of employees and decision-making that considers all stakeholders.

At the starting point of zebra-style management lies the founder's own philosophy. A zebra company is an entity where founders continually grow through introspection, lead with their own ideals, and actively engage with society and stakeholders. This pursuit of **both business sustainability and maturity as human beings** is the very essence of zebra management.

General Process for Management Support

At Z&C, we provide fee-based management support to a variety of zebra companies, not just our portfolio companies. Here we introduce the general process and philosophy of our management support.



Management support projects begin by setting a theme. We work alongside our clients to meet their diverse needs, from solving management issues to balance social value, to collaborating with large corporations from a zebra perspective, or streamlining their branding and fundraising. While our support is a paid service, we place great importance on the prerequisite of having a shared empathy and ambition for the "zebra company" concept.

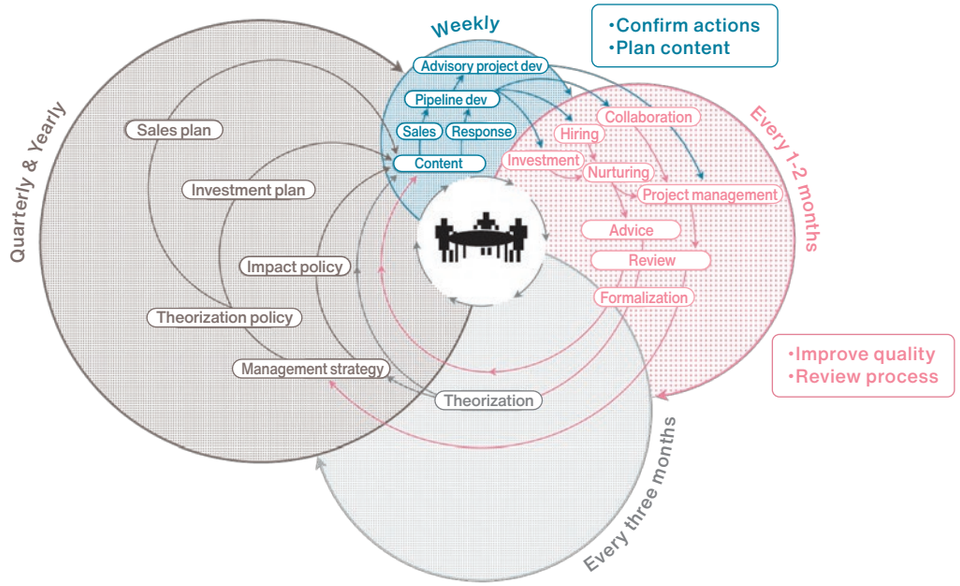
Building on that foundation, we assess whether Z&C can provide value. We decide on support after confirming that we possess the necessary field knowledge, deep understanding of the project scope, and insights from our network of zebra companies. We believe it is just as important for our support to be professionally viable as it is to be based on empathy and shared intent.

Project themes are sometimes clear from the start or redefined through dialogue. Even after a theme is set, we organize the company's history, relationships, internal and external situations, and envisioned future before moving to practical work. In the assessment process, we carefully identify the necessary elements: for finance, clarifying funding amount and uses; for collaborations, researching stakeholders and approval processes. Finally, we prepare deliverables tailored to the client's situation, such as materials for investors or board meetings.

We also provide ongoing support tailored to the project phase, including accompanying clients to fundraising meetings, assisting with implementation after large-company collaborations, and supporting project launches.

In FY2023, we provided support to approximately 30 companies, leading to new schemes such as Eiji Press' business succession using golden shares. This accumulated expertise now assists other zebra companies, as well as sibling and foal zebras initiating challenges within larger corporations. Please see the specific case studies detailed later in this report.

Designing Our Approach to Society from 5 Business Areas



In Z&C's strategic map, the Theory of Change (TOC), we outline investment in and management support for zebra companies, the systematization of zebra-style management theory, and the development of a movement. This envisions a future where many companies, not just Z&C, practice zebra-style management. At Z&C, we have designed our daily meeting structures based on this TOC and constructed our approach to society as a workflow, conducting a practical experiment in zebra-style management. Here, we will explain Z&C's operational workflow design.

First, we formulate our management strategy for the year — what kind of businesses to build, where to invest, what kind of theorization and impact to create — and communicate these concepts externally early in the fiscal year. By sharing our intentions, we help others understand our thinking, receive diverse feedback, and connect this to potential projects. Our approach is proactive information dissemination, attracting inquiries based on shared empathy rather than making unsolicited proposals. As our network grows, this leads to management support projects, hiring, investments, and collaborations, ultimately launching new initiatives.

For individual projects, we conduct reviews each time and aim for "formalization", distilling processes into consistent frameworks. These formalized frameworks are then developed into content. This impact report is an example of theorization that further deepens that formalization. We capture project outcomes as content, creating small iterative cycles.

We monitor content creation, networking, project initiation, and formalization weekly. Major action reviews, such as hiring status, management support figures, and collaboration progress, occur every one or two months. Quarterly, a full-day company meeting assesses the overall situation against the year's management strategy and revises plans for the next quarter. Annually, we conduct a yearly review and set the next year's strategy, completing the large cycle.

From daily business tasks emerge small cycles like meeting structures, complementing the larger quarterly and annual strategic cycles. This corporate management, aiming for maximum social impact based on our underlying TOC, means Z&C's own operations serve as a proving ground for zebra-style management itself.

Z&C PERSPECTIVE 1

The Future of "Zebra" as a Way of Being and Impact Management

Three years have passed since Z&C was founded. I would like to express my gratitude to our shareholders and the many supporters whose assistance has allowed us to reach our third anniversary and publish this impact report. Here, I would like to talk about two ways Z&C's activities have influenced me personally.

"Zebra" as a Way of Being

The first is the depth and breadth of the concept of "zebra," or in other words, the evolution of its meaning. For me, having originally worked in venture capital, "zebra companies" began as an initiative themed around "impact investing × new finance." It was the idea that "if we could use the power of finance to support a more diverse range of startups, we could make this society much better." Four and a half years have passed since the launch of Tokyo Zebras Unite (TZU), and three years since the establishment of Z&C. Through collaboration with my two co-founders, Azakami-san and Yoshi, who come from different backgrounds, and through our work with various entrepreneurs, supporters, and partners during this time, my own awareness of the issues has expanded beyond just "finance" and "startups."

Today, for me, "zebra" is a concept that signifies a "way of being." It means managing a business based on a philosophy (or ideology), taking into account all stakeholders' perspectives while balancing the long and short term, and considering social (non-economic) viewpoints. I feel that "zebra" is something that can be embodied not only by finance and startups, but by all companies, organizations, groups, and individuals.

This awareness has led me to feel that I must now shift my focus to the public sector and tackle the management transformation of non-profits, public administration, and politics — areas that are still largely unexplored (with great room for improvement) and where my own background gives me a unique strength. I intend to continue collaborating with Z&C across sectors to help spread this zebra "way of being."

Impact Management: Changing People's Awareness and Behavior

The second influence was on my perception of the impact that creative and design elements have on people. It was striking how, when exchanging business cards or introducing our webpage, the percentage of people saying "this looks cool" was overwhelmingly higher than at any other organization I had belonged to. This is a small point often overlooked in conventional "impact evaluation," but I realized that the accumulation of these small moments creates an image and a brand, which in turn changes people's awareness and behavior.

In light of my own concerns, I believe that while current Impact Measurement and Management (IMM) tends to be biased toward logical and analytical methods, it is necessary to explore impact management that also incorporates visualization and embodied knowledge. While pursuing a common understanding by verbalizing (conceptualizing) and quantifying as much as possible, I hope to collaborate with Z&C to explore an impact management style that also values the high-context impacts that cannot be easily reduced to words or numbers.

There is a mountain of things that must be done and that I would like to do, but I hope to continue walking this thoughtful, healthy, and enjoyable path together with all of you who are also trying to embody the zebra "way of being." I look forward to your continued guidance and support.



Yuji Suyama

After handling energy policy and electronics industry policy at the Ministry of Economy, Trade and Industry (METI), and subsequent experience in VC and new business consulting, Yuji co-founded Zebras and Company. In recent years, he has focused on management transformation in the non-profit (NPOs, universities, foundations, etc.), public administration, and political sectors, and promotes cross-sector collaboration.

An Investor's Perspective on Z&C #1

COLUMN

Festina lente: Can we make haste slowly?

About three years have passed since I first heard the curious concept of “zebra” from Tabuchi-san in the midst of the pandemic. While consulting with him, Azakami-san, and Suyama-san, and finding the discussions thought-provoking myself, I was drawn to the movement from its very beginning. It was the metaphor of the zebra, a real herd animal, not an imaginary, rare unicorn; and it was the fact that it didn't just take a position of negating the unicorn, but sought to move beyond that dichotomy to expand the range of options for entrepreneurs and investors. Before I knew it, I had invested in Z&C, and now I listen in on board meetings as an auditor.

After three years, I feel the initial launch phase of the movement is over. The focus must now shift to how we cultivate and root the zebra concept, which leads to the critical question: will a “zebra culture” be born?

I deliberately avoid saying we must “give birth to” it. Culture, after all, seems to be something that is naturally nurtured in a certain foundation and environment. The Zebras movement is gaining momentum, perhaps faster than anticipated and attracting plenty of trend-chasers. That’s why I feel it’s crucial to create and maintain a space where the zebras (parent, sibling, and foal) who are actually making society a little better can meaningfully interact with the environment that nurtures them.

In the world of fermentation, in the microclimate of a storehouse (”kura”), wonderful sake, soy sauce, and miso are born from amazing raw ingredients with the help of resident yeast. This world exists in a delicate balance between human intervention and nature. How can one avoid interfering, and let the necessary time pass? And as a result, can one find the appropriate growth speed? Festina lente — can we make haste slowly?

The world doesn't operate on a simple, linear model of cause and effect, where one specific action guarantees one specific result. Still, the social engineering mindset that fills our world is a necessary expedient for attracting large funds for social change at a certain level and scale. But if we humans had a little more time, I would like to feel the many flows of time in the parts of the world that envelop me. And while staying close to them, I'd like to sometimes apply focused effort to change the current, with a tangible, hands-on feel. Like a tōji (master brewer) working in a sake brewery. As an investor, I am hopeful that the members of Z&C are steadily carrying out such activities.



Toru Mio

President and CEO, Mio and Company Inc. After working at an investment bank where he was involved in M&A and corporate finance, he established and managed a joint venture investment company with a government-affiliated financial institution. He later became independent and utilizes his experience in the financial industry to support companies and NPOs aiming to solve social issues, across both the for-profit and non-profit sectors, while also making his own investments. He serves as a Director of Commons Asset Management, Inc. and a Director of Arc & Beyond Association, Inc.

Part 2

Our Three Year Journey 2

An Ecosystem Built by Zebra Companies



The Zebras Movement that Began in Silicon Valley

The “Zebras movement” was first articulated in 2017 in Silicon Valley, California. It is now a global movement with chapters located in over 20 countries.

This major movement began in 2016, with a single blog post by two female entrepreneurs, Jennifer Brandel and Mara Zepeda.



Their blog post “Sex and Startups” resonated with many, as it offered a critical lens on the existing startup culture. At the time, venture capital investing in Silicon Valley-style start-ups was mainstream. Their blog shed light on the reality that the only pathway for companies who experience exponential growth was a rapid exit, and that it was difficult for companies to receive philanthropic funding. Inspired by “Sex and Start-ups”, entrepreneurs and founders gathered from across the country and created the “Zebras” concept, based on their shared business interests and critical awareness. Two more founders, Astrid Scholz and Aniyia Williams, joined Brandel and Zepeda, and together they launched ZEBRAS UNITE.

Subsequently, the article “Zebras Fix What Unicorns Break,” published in March 2017, introduced the concept of zebra companies to the world, creating a movement that garnered widespread empathy.

Tokyo Zebras Unite, the local chapter in Japan, was established in November 2019. This came after Yoshi Tabuchi attended the Skoll World Forum in the UK in April 2018. He joined the session “Zebras Fix What Unicorns Break” and found that it mirrored his own concerns about the industry. This led him to plan and launch a chapter in Japan in November 2019.

“Zebras” was translated into zebra kigyo (zebra company), which helped the Zebras movement gain traction in Japan.

What is a Zebra Company?

When we began our activities in 2021, in addition to the three characteristics of zebra companies advocated by Zebra Unite and their differences from unicorns, we summarized zebra company management into four key features. At the time, there were many requests for us to provide a clear definition of what a zebra company is. However, we felt it was too early to define it in a checklist-like manner, and we didn’t think it was right to have it defined so rigidly in the first place. Now, three years later, we feel that the following summary captures a fitting set of characteristics; ones that view “zebra management” as a path to be explored over the long term.

The 4 Characteristics of Zebra Management

Characteristic 1

Aims to create a better society through business growth

Maximizing revenue and profits is not the end goal; rather, they focus on addressing societal issues as the purpose of their business.

Characteristic 2

Relies on diverse assets such as time, creativity, and community

The business is not a simplistic venture that can succeed in a short time with funding alone, but rather one that addresses complex challenges with intertwining elements. It requires running a PDCA cycle over a certain period and leveraging the power of creativity and community.

Characteristic 3

Adopts a long-term and inclusive management stance

Rather than maximizing shareholder value in the short term, management is conducted with the intention to make all stakeholders happy in the long term.

Characteristic 4

Shares vision and executes it with aligned actions

The business recognizes the trade-offs between diverse elements, and it also envisions a concrete to-be vision that it acts on daily.

The 3 Characteristics of Zebra Companies Advocated by Zebras Unite

Characteristic 1

Prioritizes both social and economic goals and values mutualism, or a coexistence as a group or herd.

Characteristic 2

Challenges socially complex problems that require greater awareness and understanding.

Characteristic 3

Searches for new financial models that fit zebra companies, rather than fitting into existing financial systems.

The Question Posed by Zebra Management

A “zebra company” is more than just a new type of enterprise; it contains the essential question, “for whom and for what purpose is management conducted?” There is no simple success pattern in zebra management, which simultaneously pursues resolving social issues and achieving economic sustainability.

Zebra management is built on daily decision-making, long-term trust, and the cultivation of a cultural foundation that cannot be measured by short-term results or numbers alone. Unlike conventional growth models that prioritize efficiency and scalability, zebra management values not only **where** you are going, but also **how** you get there.

Supporting this kind of management requires a flexible and relationship-oriented perspective, not only from entrepreneurs, but also from supporters, investors, governments, and financial institutions. Zebra management can serve as an entry point for reframing management, not as a set of fixed answers, but as an ongoing succession of questions.

Why We Focused on Zebra Companies



My initial point of interest was this: **“If we can harness the power of finance to effectively support a diverse range of startups, couldn’t we make society better?”** As a venture capitalist, I was struck by the potential of finance to provide tens of millions of yen to companies with no existing products or services, thereby creating groundbreaking businesses. At the same time, I realized that many companies with great social value, excellent leaders, and profitable businesses were not being served by existing financial systems. I also felt that financing for unlisted companies lacked diversity.

Yuji Suyama



There are two reasons I became interested in zebra companies. The first stems from the challenges I encountered while engaging in impact investing, which was providing funding to social entrepreneurs in Southeast Asia and Japan. I began to wonder, **“is there a misalignment between the nature of capital that entrepreneurs and organizations need, and the nature of investment capital that is actually being offered?”** When considering their social impact and the organizational models they embodied, maximizing growth wasn’t always the right answer. Sometimes, what was needed was optimal growth. I shared these concerns with people from various countries at international impact investing events, and many listened with great interest, with some even continuing conversations with me after the events. The second reason comes from my experience in impact investing, where even the best investments can fail to create broader change if they remain unknown. I realized that beyond simply making good investments, we need to ensure those efforts are recognized and understood by society. These two thoughts aligned with the Zebras movement that began in the United States and was starting to take off worldwide. I felt that it would be meaningful to translate the concept as zebra kigyo (zebra companies) in Japanese and to introduce it in Japan.

Yoshi Tabuchi

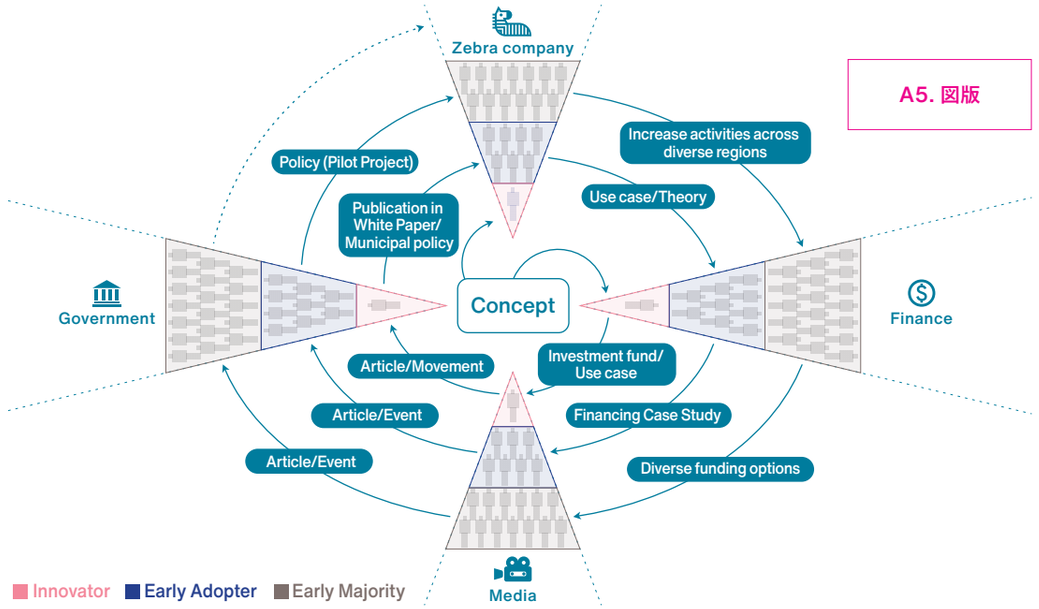


My perspective was shaped by two pivotal experiences at my previous startup. First, as our small company grew rapidly, I saw our ideas being imitated by others. I realized that things perceived as “cool” are copied and spread widely. Second, when the company’s ownership structure changed following its sale to a fund, I witnessed how profoundly investors can influence management policies and the very nature of a company. These experiences taught me the significant impact that investors can have on businesses. From there, I began to think: **if companies can both generate profit and create positive impacts on society and the environment, then perhaps others would imitate them, seeing them as “cool,” and this could drive broader social and global change**. I wanted to contribute to such change from the investor’s side, supporting entrepreneurs with remarkable vision and capability. That’s when I encountered the concept of zebra companies, which seemed to perfectly overlap with the kinds of initiatives I wanted to pursue and the type of businesses I hope to support.

Yohei Azakami

What We Considered to Shape the Movement

Z&C’s Theory of Change involves not only spreading the concept of “zebras", but also to discover and support zebra companies, and to build an ecosystem that fosters new zebras. Here, we summarize what we have considered and put into practice to shape this movement.



A5. 図版

To grow a movement, it is essential to increase supporters and awareness across sectors surrounding zebra companies, such as zebra companies/entrepreneurs themselves, government, finance, academia, and media. Since each sector has varying receptiveness, tailored approaches are necessary. The process begins by reaching out to those who already resonate with and support the concept. To engage those unconvinced by the idea alone, we build a track record, share success stories, and amplify the voices of supporters from other sectors. **Through these efforts, we gradually expand the circle of empathy**.

What Z&C Has Done So Far

Year 1: While spreading the concept of zebra companies through media, we carefully built dialogue with connected entrepreneurs and zebra founders.
Year 2: We created content using our expanded network’s investment results, new schemes, and business support. We also held ZEBRAHOOD 2022, an event that brought together zebra companies. These activities gained support from the government, and the concept was featured in the *White Paper on Small and Medium Enterprises in Japan*.
Year 3: We published *ZEBRA CULTURE GUIDEBOOK* based on ZEBRAHOOD 2022 and held nationwide events. The movement gained traction through efforts such as collaborating with *WIRED*.

In June 2023, zebra companies were incorporated into Japan’s national strategy, as indicated in the “Basic Policies for Economic and Fiscal Management and Reform” and the “Grand Design and Implementation Plan for New Capitalism". A major reason why Z&C was able to create such a broad impact in three years is that the three founders came from their respective target industries. Acting as translators, they listened empathetically to each sector, and communicated their ideas and activities through dialogue.

For anyone looking to spark a new movement, two elements will be essential: **designing a process that fosters empathy, and having “translators” who bridge different perspectives.**

ZEBRA KEYWORD

Exit to Community

A New Growth Model That Re-Examines the Sustainable Relationship Between Founders and Their Business

What is Exit to Community?

Exit to Community (E2C) is a relatively new organizational growth model. Put simply, It is an initiative that helps businesses evolve into sustainable models for their regions or communities by gradually transferring management from founders and early investors to the community as the organization grows. It creates a state where the organization is owned by the community of people most directly connected to it, and profits are returned to them. The idea was first proposed in 2019 by the College of Communication, Media, Design, and Information at the University of Colorado Boulder, in partnership with Zebras Unite. Since then, the [illegible] has gained widespread recognition and popularity.

In contrast, for conventional startups, exits have typically meant either going public or being acquired.

For example, if you started a company with a certain mission, it would seem natural at first to try to maximize its positive social impact. But when imagining the ultimate form of the company after it grows, what would that look like? Would you aim to take the business public once it has scaled and increased in value? Or would you sell it at a high price to a major corporation, becoming part of a well-known group?

While these paths both represent "growth" and "success" of a business, when the relationship becomes heavily transactional, it can create a disconnect from the original mission or purpose. Founders may find themselves forced to prioritize the interests of shareholders or the parent company over the mission they set out to achieve or the well-being of people within the organization, placing them in a constant state of dilemma.

However, within an E2C model, the envisioned evolution of a mature company is the transfer of ownership from external investors to its closest community members, such as employees or customers. When those who provide labor and value to the business are the same people who share in its benefits, it not only drives organizational growth but is also believed to enable more sustainable and inclusive management for both the environment and the community.

[E2C Case Study 1] John Lewis Partnership

While the term "E2C" itself is relatively new, there have long been companies that have operated in this style.

One of the largest examples is the John Lewis Partnership (JLP) in the UK, which runs businesses in department stores, finance, and real estate. Today, all of its roughly 74,000 employees are owners of the company and participate in decision-making, making it the largest employee-owned company in the UK. Its governance system reflects this ownership structure: A Partnership Council, elected democratically, regularly voices opinions on the Chairman's management policies, major company decisions are determined by a company-wide vote, and annual bonuses are distributed to all employees based on a set percentage of the company's yearly profits (though the actual system is somewhat more complex). In this way, every employee's voice is reflected in management, and profits are redistributed fairly easily. Notably, the Partnership Council even has the authority to dismiss the Chairman.

Remarkably, the company has operated under this model since the 1910s, before World War II. Spedan Lewis, the founder's son, saw how his father was hungry for business all his life, starting from the draper's shop that he opened in 1864 all the way to retirement. Spedan did not see business matters eye-to-eye with his father. As soon as ownership of the business was transferred to him, he formed the idea that "low employee motivation stems from the fact that business profits and staff benefits are not aligned, and that excess profits from the business should be returned to employees." Following this conviction, he extended paid leave for employees, improved living conditions in company dormitories, and began publishing a biweekly in-house newsletter to make the company's management situation transparent to all staff; initiatives he described as the "industrial democratization." In 1929, he established the foundations of what is the Partnership Council today.

In recent years, the company has actively worked on sustainability, contributing to local communities, and improving labor conditions throughout its supply chain. Its purpose is "to make sufficient profit to create a Partnership that is fairer and more sustainable for all Partners, customers, suppliers and communities we serve."

Although the company has continued to consider going public, in response to the global recession, the idea has consistently been rejected by company-wide votes. In spring 2023, the company appointed an interim CEO with a two-year mandate to oversee financial reforms, but with the conclusion of that project in spring 2025, that position will be dissolved and governance will return to the traditional structure, with the Chairman of the Partnership serving as Chief Executive.

[E2C Case Study 2] Namaste Solar

A clearer example of structuring governance around shared employee ownership can be seen in Namaste Solar, a solar power equipment company based in Colorado, USA.

Founded in 2005, the company went through twists and turns in defining its governance policy before eventually becoming an employee-owned cooperative in 2011.

From the beginning, a spirit of joint ownership was embedded in the company. Originally launched by three co-founders, Namaste Solar allowed employees to become co-owners by contributing capital. This system proved popular, and within four years, more than 50 employees had joined. Those employees were naturally able to participate in management, and under a transparent management style, each individual's decision-making voice was respected.

However, the culture of democratic governance, which once even saw all employees earning the same salary, began to create friction. Over time, the simple fact that some employees owned more shares than others led to tensions.

As the company explored future directions, it discovered its cooperative business model. Recognizing that it best aligned with the company's values, Namaste Solar transitioned into an employee-owned cooperative, with the decision approved by all employee shareholders.

From then on, any employee could become a cooperative member by investing $5,000. This approach drew attention during the Obama administration as a symbol of "green recovery", and the cooperative eventually grew into a team of over 200 members.

Dedicated to shared ownership and democratic governance, the company also sought business expansion, but balancing both proved difficult and ended in failure. Instead, Namaste Solar shifted to pioneering new approaches to the cooperative model, which in turn spurred the creation of multiple cooperatives and networks within the industry to tackle broader challenges.

Written by Sachiko Ursem
Edited by Noriyuki Oka (Livit) http://livit.media/

Three Observations from a Three-Year Journey with Zebra Companies

From here, we will introduce three unique observations that became apparent as we shared the concept of “zebra companies” in Japan, which we did not see with the movement overseas.

POINT 1

The Ecosystem of Zebra Companies in Japan

While zebra companies are often thought of in the context of startups due to their contrast with unicorns, that’s not the whole picture. In Japan, there was a strong response from long-established and regional businesses. From this, we came to understand that there is an ecosystem consisting of three categories: “parent zebras,” “sibling zebras,” and “foal zebras".

POINT 2

Local Zebra Ecosystems

The zebra companies described in the earlier section on zebra ecosystems are not only key players in their regional economies but also take on the role of protecting local culture and the natural environment. These older siblings of the Zebras movement, or “local zebra companies”, form ecosystems unique to their regions. In this section, we introduce case studies of such local zebra ecosystems.

POINT 3

Beyond “Social Impact” and “Economic Viability”

By definition, a zebra company is one that balances social impact and economic viability. But is this phrase truly sufficient to capture the essence of a zebra company? Over the past three years, through our involvement with business leaders, we have spoken directly with them about their lived realities. What follows is a summary of their insights.

The Emerging Ecosystem of Zebra Companies in Japan

While zebra companies are often assumed to belong exclusively to the startup world, especially in contrast to unicorns, they are not limited to that domain. As mentioned, when the concept of zebra companies was first introduced in Japan in 2019, we immediately saw strong interest from long-established and regional businesses as well. From these responses, we began framing zebra-like enterprises into three categories: parent zebras, sibling zebras, and foal zebras. The following section introduces these categories and how they help us understand the broader landscape of zebra companies.



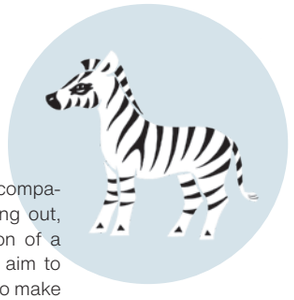
Parent Zebras

These are companies that conduct zebra-style management themselves while also supporting “sibling zebras” and fostering “foal zebras". These are often large, listed companies with top-level market share in their industry, who use various forms of capital they own to collaborate with other companies that share the zebra mindset.
Examples: Japan Post, Marui, Yamaha Motor, Taiho Pharma, etc.



Sibling Zebras

These are zebra companies that, while not publicly listed or having massive sales, play an important role in their region or industry and serve as role models for “foal zebras". Founded with a zebra mindset, they operate not only for their own success but with a long-term view toward the well-being of multiple stakeholders, such as their local communities and industries. Long-established regional companies, which hold a unique presence in Japan, are perfect examples of “sibling zebras".
Examples: Nakagawa Masashichi Shoten, Iwamiginzan Gungendo, Ueda Honsha, etc.



Foal Zebras

This refers to zebra companies that are just starting out, perhaps as an extension of a personal business, and aim to grow to a certain scale to make an impact on society.

A Zebra Ecosystem Beyond Just Businesses

It goes without saying that the zebra company ecosystem is not supported by zebra businesses alone. As shown in Z&C’s Theory of Change, it is the combined strength of people from various fields, such as media, academia, intermediary support organizations, and financial institutions that will likely increase the number of zebra companies capable of thoughtful, healthy and enjoyable management.

With the introduction of policies in April 2024 to support local zebras, regional challenges are beginning to be structured and shared visions are being developed. As a result, we are now seeing the emergence of changes toward building a zebra-company ecosystem at the local level.

The Potential of Local Zebra Ecosystems

Here we introduce initiatives of local zebra ecosystems, where diverse players from inside and outside the community collaborate to create new value.

Building a community of mutual support through “Community Nurses”

Shimane CNC

This startup from Unnan City, Shimane, is creating a system where anyone can support people’s health as a “community nurse”, regardless of qualifications. What began as a small experiment by a nurse and founder has now spread nationwide, adopted by local governments for community welfare initiatives and by companies for organizational development. By nurturing a culture of mutual care, where residents look out for one another, the project is generating new social value and employment in Japan’s aging rural regions. This ecosystem, where local and external talent and organizations collaborate, is gaining attention as a sustainable town-building model.

Co-creating a 150-year future through the Satsuma Conference

Kagoshima NPO SELF

The “Satsuma Conference,” organized by the nonprofit SELF, is a forum for learning and dialogue dedicated to creating the future from Kagoshima. It brings together diverse practitioners from within and outside the prefecture, as well as from overseas, to engage in discussions and fieldwork across the region, including its remote islands. Inheriting the spirit of Satsuma from the Meiji Restoration, the conference has become a birthplace for new projects that look 150 years ahead. By fostering collaboration among business leaders from different industries, researchers, and citizens beyond traditional boundaries, this movement is building a sustainable regional ecosystem and driving innovation in both the economy and society.

Transforming regional management and daily life through “work”

Kyoto Ueda Honsha

Ueda Honsha was founded in 1938 as a supplier of office stationery for businesses. Over the years, it expanded into areas such as IT services, but after facing the risk of bankruptcy, the company spent a decade rebuilding itself. Today, it positions itself as a “comprehensive trading company for work”, helping clients redesign their offices and create systems that bring out the individuality and strengths of their employees.

Since 2008, the company has also been researching all about Kyoto, which is often described as a microcosm of Japan, analyzing its assets and highlighting the forms of capital that cannot easily be quantified. This effort led to the launch of the Kyoto Style Protocol, a platform aimed at rediscovering Kyoto’s value and generating new forms of value creation. One notable impact of this initiative was shining a spotlight on social innovators who were largely unknown at the time, helping bring their work into broader recognition.



Co-creating a 150-year future through the Satsuma Conference

Akita Ine to Agave Co., Ltd.

The “Satsuma Conference,” organized by the nonprofit SELF, is a forum for learning and dialogue dedicated to creating the future from Kagoshima. It brings together diverse practitioners from within and outside the prefecture, as well as from overseas, to engage in discussions and fieldwork across the region, including its remote islands. Inheriting the spirit of Satsuma from the Meiji Restoration, the conference has become a birthplace for new projects that look 150 years ahead. By fostering collaboration among business leaders from different industries, researchers, and citizens beyond traditional boundaries, this movement is building a sustainable regional ecosystem and driving innovation in both the economy and society.

Young Entrepreneurs Driving a Collaborative Startup Ecosystem in Nio, Mitoyo City

Kagawa Jidai Okure Co., Ltd. and Others

In Nio, Mitoyo City, Kagawa Prefecture, young entrepreneurs are launching numerous businesses that utilize local resources, earning the town recognition as a hub for “regional entrepreneurship.” Riding the wave of growing tourism, around 70 projects have emerged, including guesthouses and cafés. Local companies and senior entrepreneurs provide funding and expertise to support these new ventures, while entrepreneurs themselves invest in and collaborate on each other’s businesses, creating a unique ecosystem. A “local IPO” has also been initiated, enabling community residents to participate as investors and establish mechanisms for circulating capital and talent within the region. These public–private collaborative efforts are invigorating the local economy and attracting nationwide attention as a sustainable model for community-driven development.

Co-creating a 150-year future through the Satsuma Conference

Nationwide Japan Post Local Co-Creation Initiative

The Local Co-Creation Initiative, launched by Japan Post in 2022, is a project that dispatches employees of the Japan Post Group to local players such as zebra companies tackling social challenges, with the aim of building co-creation businesses over a two-year period. During their assignments, employees work directly with venture companies and other local partners, developing entrepreneurial mindsets while collaborating on business models to address major issues such as depopulation, regional disparities, and climate change.

Post offices exist in every community across Japan. The initiative is more than just employee dispatch; it also seeks to leverage the Japan Post Group’s social capital and networks to co-create businesses alongside local actors. In the 2023 program, for example, Hitobito Inc., a portfolio company of Z&C, was selected as a host organization. Together with East Japan Railway Company, they carried out a proof-of-concept project in Fukushima to deliver low-carbon farm produce grown with sustainable methods through an equally low-carbon logistics system, under a Farm to Table theme.

Business with Attitude by FIGARO
Toshiko Fujimoto
A state where each person can work in their own way while having fun, enriching the people around them and society as a whole, and at the same time ensuring that they live in their own authentic way, from food, clothing, and housing, to daily life.

Essence, Inc.
Yuya Nishimura
When you consider the fundamental purpose of a business, it is to create or renew a certain state of society. The economy can be a driving force to make that change a going concern. Social value comes first, and economic viability exists as an option to achieve it.

Iwamiginzan Gungendo Group
Tadashi Matsuba
It means that business growth (economic viability) is linked to a state where the people we interact with are happy. It also means an economy that preserves and values culture, serving as a reminder not to let the economy run unchecked or to fall into the illusion of limitless growth. Businesses should operate with an awareness that social capital is finite.

Hitobito, Inc.
Miai Kobayashi
Economic viability means generating sales and profits at a scale that keeps stakeholders happy and allows reinvestment in the community. Beyond solving social issues, social impact is about acting ethically; avoiding behaviors or methods that make stakeholders or customers uncomfortable.

Linklusion, Ltd.
Hidenori Kuroyanagi
"Social impact is the goal, economic viability is the prerequisite." Without economic viability, the business cannot be sustained or expanded, and social impact cannot be achieved. Conversely, economic viability can exist even without a purpose, or with a different one.

\ Asking Our Portfolio Companies and Advisory Clients /

"What does 'Balancing Social Impact and Economic Viability' mean to you?"

Eiji Press Inc.
Tatsunari Takano
Essentially, social impact and economic viability can be balanced, and it is only when they are balanced that both become sound and sustainable. Balancing them requires will and creativity, and that is the role of management.

Helical Fusion
Takaya Taguchi
In management, the two are inseparable. Without economic viability, a business can't take root in society; and when social demand is strong, the economics will follow. The balance simply varies in how and when each side takes shape.

Black Star Label
Yasuhiro Tamura
What matters is having your own definition of success. Not a success model confined to a single set of values, but one driven by your dreams, the past you want to rewrite, and the desire to create an original, alternative life, history, and future. That comes before even creating an original business.

Shiojiri City Promotion Public Corporation / sunaba
Daisuke Saigusa
Keep asking questions. Is your business truly creating the impact you envision? What will you do, or not do, to achieve it? How will you earn and reinvest revenue? Continuously exploring these questions with your team and stakeholders is key to how zebra companies balance social impact and economic viability.

NEWLOCAL Inc.
Ryo Ishida
It means ensuring that we are creating hope for all stakeholders through business growth. It is making decisions after considering the impact on a wider system beyond just the business. It is being in a state where our corporate activities are supported by a wide range of stakeholders beyond just our direct customers.

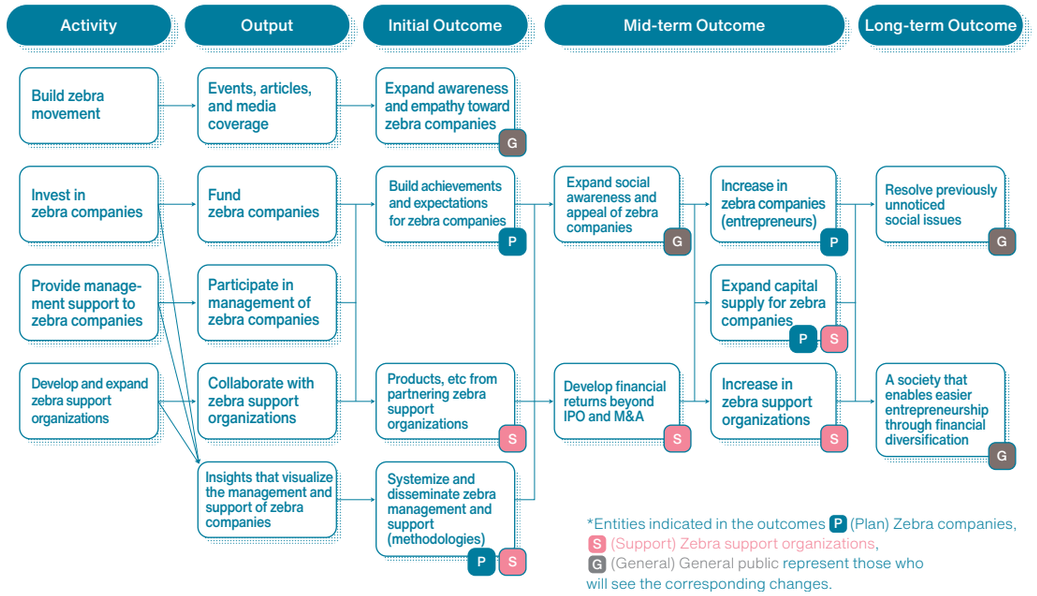
Part 3

Our Three Year Journey 3

Z&C's Achievements in the Past Three Years



Initial Hypothesis Logic Model



At the time of launching our activities, we created a "logic model" to formulate hypotheses about our beneficiaries and the changes we would create for them, in order to raise funding. The logic model, which was originally used in the context of international development, has in recent years come to be applied in fields such as impact investing. By visualizing how our activities affect the beneficiaries and what kinds of changes they bring about, we develop strategies to generate social impact.

Creating a logic model allows us to identify focus areas, set quantitative performance indicators, and evaluate the outcomes of our activities.

Challenges and Solutions in Z&C

In our logic model, we envisioned that through "practicing zebra management by providing investment and management support", "creating a movement by disseminating information about zebra companies to the public", "systematizing zebra management and support methods", and "developing financial returns beyond M&A or IPOs", the number of zebra companies and their supporters would increase. Furthermore, looking ahead, we described the long-term social impact as the diversification of finance encouraging entrepreneurship and challenges in fields that were previously difficult to pursue, leading to the solutions for social issues that had not yet been named.

There are also challenges with a logic model as a way to visualize the changes we want to bring about. Because it depicts change sequentially across five stages from input/activity to long-term outcomes, it makes it difficult to explain the reason for conducting seemingly disparate activities simultaneously, as it cannot capture the mutual influences and cycles in the cause-and-effect relationships. To make these relationships visible, the connections between our various initiatives is expressed using theory of change, as described in the previous section, or by creating our own adapted model that improves upon the logic model.

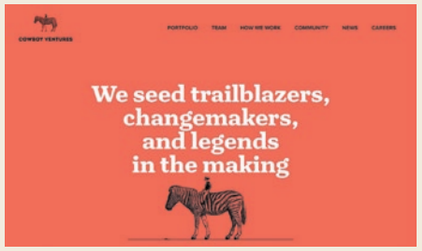
Looking back after three years, we believe the hypothesis we created at the time of our founding was well-defined. The specific outcomes will be described on the following pages.

Z&C PERSPECTIVE 2

Three Years On

In 2020, when the world was facing an unprecedented pandemic, a group of Stanford University students launched an initiative to document the efforts of companies aiming to create a positive impact for their stakeholders. This initiative evolved into a podcast series called "R.E.S.E.T Mindset (Responsible Enterprises for Social Environmental Transformation)" which featured stories of sustainable innovation from around the world. During this exploration, we met Zebras and Company.

Around this time, the business concept of "zebra" emerged, and my collaboration with Yoshi began. In Silicon Valley, the ambition to become unicorn companies (startups valued at over $1 billion), popularized by Aileen Lee of Cowboy Ventures, permeates every pitch. Ironically, however, the hunters aiming for these unicorns are riding on zebras, as seen on the Cowboy Ventures website.



Referenced from the Cowboy Ventures website

Unicorns are often celebrated for their explosive growth, strongly backed by venture capital. However, the pursuit of such high valuations frequently leads to unintended consequences for communities, industries, and the environment. Early supporters of the Zebras Unite movement advocated for a more sustainable, fair, and inclusive approach to capitalism, particularly within the venture capital sector as an antidote to the unicorn fantasy.

The Zebras Unite movement emerged as a voice that rethinks how we support innovation, actively advocating for prioritizing long-term social benefits over short-term profits. This raises several important questions: Is there a flaw in the current capital system? How can venture funding be made more inclusive? And what alternative business models exist that maximize the well-being of communities and the environment, rather than shareholder value?

Over the past three years, I have witnessed how Z&C transformed the conversation about the role of venture-backed companies in Japan, all while making society more enjoyable and healthy. Their approach is rooted in collaboration, iterative experimentation, and mobilizing both entrepreneurial and investment communities. In doing so, they have developed a new investment theory centered on purpose-driven funding.

Today, we want to celebrate the achievements of Zebras and Company in creating a "dazzle of zebras" in Japan. Z&C truly embodies the philosophy that investors should be more than just capital providers; they should be partners who enhance the success of their portfolio companies. This movement is not only reshaping how startups operate but also influencing national conversations and policymaking, further demonstrating the remarkable impact of the zebra philosophy on business in Japan.

Through the sharing of best practices and success models, the influence of zebras continues to spread while becoming deeply rooted in Japanese companies and culture. This evolution marks a significant shift in conventional business ethics and mindset, paving the way toward a future where corporations and investments prioritize holistic well-being alongside profitability.



Dr. Victoria (Vic) Woo, Ph.D.

Has over 30 years of experience in global marketing, business development, and executive education. Currently, as head of the INSEAD SF Hub, she works on strengthening the alumni community and enhancing brand recognition. She teaches sustainability and marketing at Presidio Graduate School and Stanford University, while researching sustainable systems design. She has founded six startups and led marketing efforts in more than 20 countries. Holding a doctorate and NACD Directorship Certification, she is committed to contributing to society through education and business.

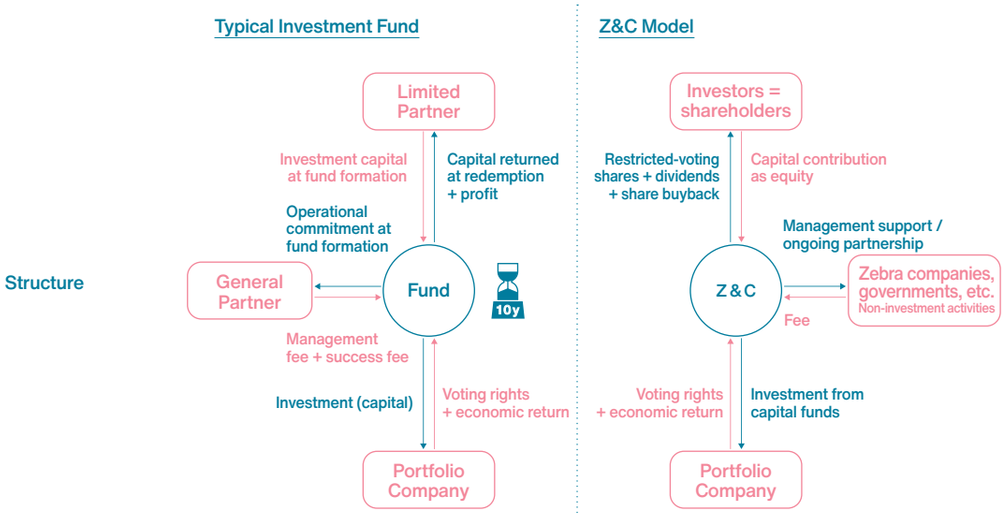
Three Years Results Based on the Logic Model

Phase	Output/Outcome	Metric	Content	Goal/Deadline	From Z&C
Output	Fund zebra companies	Number of funded zebra companies	Using investment capital, verify whether investment activities are effectively leading to the realization of the zebra model.	1 (March 2022) 4 (March 2024)	Year 1: 1, Year 2: 2, Year 3: 1 Current: total of 4 (as of February 2024)
	Participate in management of zebra companies	Number of zebra companies with management participation			Year 1: 15, Year 2: 21, Year 3: 22 Advisory clients: total of 31
	Collaborate with zebra support organizations	Number of partner zebra support organizations	Beyond individual company efforts, confirm that value creation and impact are being generated through the implementation of the zebra model.		Year 1: 2 (MASHING UP, Vic), Year 2: 2 (Shiojiri City, Vic), Year 3: 5 (Shiojiri City, WIRED, OKB, Japan Post, Vic) Total: 6
	Events, articles, and media coverage	Number of Z&C media features	Measure collaboration with communities and networks beyond Z&C		39 (as of end of February 2024)
		Number of Z&C hosted events	An indicator of movement-building as a living, organic community.		Year 1: 4, Year 2: 5, Year 3: 9 Total: 18
	Insights that visualize the management and support of zebra companies	Output clarifying zebra company traits, types, and systematic challenges (e.g., blogs, events, reports)	Necessary to build social recognition for zebra companies as positive models. The number of reports is used as the indicator for this public communication. Since zebra often needs stem from funding gaps, organizing this from a financial perspective is essential.	Organize and define “Zebra Company Typology ver.1.”	Details in Part 3: Our Three Year Journey 3 Z&C’s Achievements in the Past Three Years: A Movement
		Number of conferences held focused on zebra companies	To foster growth unique to zebra companies, dedicated support is needed, along with clear communication of their distinct traits. (strategy, profitability, equity storytelling, and community marketing)		Held ZEBRAHOOD in February 2022 Details in Part 3: Our Three Year Journey 3 Z&C’s Achievements in the Past Three Years: A Movement
Initial Outcome	Build achievements and expectations for zebra companies	Clarify the ideal vision	Number of zebra companies achieving self-sustaining growth.	Clarify the ideal vision before investment	Details in Part 4: Our Three Year Journey 4 The Impact Created by Our Portfolio Companies and Advisory Clients
		Profitability indicators of advisory clients (changes in revenue, costs, and profits)	Number of zebra companies achieving self-sustaining growth.	Evaluate based on the defined ideal vision at investment	
		Impact KPIs of advisory companies	Verify if zebra services deliver intended impact.		
		Market growth			
	Products, etc from partner zebra support organizations	New initiatives by partner zebra support organizations (new products, organizations, businesses)			Details in Part 4: Our Three Year Journey 4 The Impact Created by Our Portfolio Companies and Advisory Clients
	Expand awareness and empathy toward zebra companies	Number of Facebook group members	Track number of people connected through regular touchpoints.		932 (as of end of February 2024)
		Number of articles about zebra companies	Measure collaboration with communities and networks beyond Z&C		48 (as of end of February 2024)
		Number of search results related to zebra companies	An indicator of movement-building as a living, organic community.		1,190,000 (as of end of February 2024)
	Systemize and disseminate zebra management and support (methodologies)	Publication of systematized materials on zebra traits, types, systematic challenges, and know-how for their growth and support (e.g., books)	Envision the development of a set of practical tools and know-how, presented in a report-like format.	Cover at least: – Zebra company characteristics (expand 4 points, add typology) – Support approaches (financial and non-financial)	“ZEBRA CULTURE GUIDEBOOK”, Investment scheme for zebra companies “Life type 1” revealed

*Including the business model and sustainability of the supporters themselves.

Capital Structure and Governance

Since Z&C also engages in investment activities, it is sometimes referred to as a "VC fund for Zebra Company." However, in order to allow for greater flexibility in capital gains and more freedom in exit strategies in the long term, we designed a structure different from that of conventional investment funds and raised capital specifically for investment purposes. This section introduces that structure and its governance.



Vehicle business structure	Fund	Corporation
Investor Role	Investors	Shareholders
Term	10 years	None
Investor Profit Method	Distribution of total proceeds at redemption	Annual dividends when Z&C earns profit + share buyback
Operating Costs for GP and Z&C	Management fees from fund capital	Fees from management support activities
Exclusive Commitment to Investment	Required	Limited (focus on overall zebra ecosystem development)

Differences Between a Conventional Fund and the Z&C Model

We also explored a wide range of funding options at the time of our founding to secure both investment capital and operating capital. However, through that process, it became clear that the conventional investment fund schemes were not well aligned for our intended activities.

Freedom for Non-Investment Activities

For many investment funds, the primary objective is to maximize the capital entrusted to them by LP investors, and are therefore expected to focus exclusively on investment activities. As a result, the scope of their activities is clearly defined, but this often limits their operational flexibility.

In contrast, Z&C began as an organization advocating a new management style and set of values as the concept of "Zebra Company." For Z&C, activities that go beyond investment, such as cultivating a movement and building ecosystems, are essential. This required a structure that could ensure the necessary degree of freedom to carry out initiatives that cross domains.

Differences in Business Models

The business model of investment funds is generally supported by two main compensation structures:

(1) Management fees, typically paid as a fixed percentage of the fund size, and
(2) Performance fees, earned as a share of capital gains realized at the time of equity sales (exits).
Because this model is designed to recover investments and maximize returns within a set time frame, compensation is heavily influenced by the size of the fund and the speed of portfolio companies' exits. However, at the time of Z&C's founding, (1) the concept of zebra companies was not yet widely recognized, making it difficult to sustain a management fee model that assumed large-scale funding. (2) Furthermore, the typical five-year exit timeline expected by most funds was often incompatible with the long-term vision of zebra companies and their alternative return structures, which do not necessarily rely on IPOs or M&A

Z&C's Capital Structure

Considering these factors, we chose not to adopt a conventional fund structure, but instead to build our own capital structure and governance model based on the form of a joint-stock company. We first carried out the basic design internally, and then, in collaboration with Mori Hamada & Matsumoto law firm, translated it into legal frameworks such as contracts. This structure has two key features.

The first is that, in designing financial returns, we eliminated the "time limit" commonly found in funds, thereby enabling a variety of exit strategies. The second is that we redefined the relationship between shares and voting rights. By limiting voting rights, we removed many of the restrictions typically imposed on fund managers, achieving a governance structure with greater flexibility.

Updating Capital Structures and Governance for Zebra Companies

Back in 2020, when we were developing this model, it was not easy to find investors who understood such a new concept and were willing to consider investing. However, today, we are beginning to see more investors and supporters who aspire to management approaches not overly focused on profit, and who seek to balance social impact with economic viability.

Looking ahead, the era will demand joint-stock companies and investment entities that transcend conventional investment schemes and governance models to create new systems and mechanisms. Equally important will be flexible supporters and institutional understanding to accompany such implementation. The increase in companies and organizations embracing zebra values also means that society will increasingly be challenged to develop new wisdom around governance and capital structures different from the past.

Recruitment Policy and Career Design

At Z&C, we work with people in various forms, including full-time and part-time employees, as well as contractors. We also frequently collaborate with external partners on projects, working together alongside shareholders, board members, portfolio companies, and advisory clients to implement the zebra company concept in society. Among these, the following outlines our approach to recruit full-time employees, with whom we spend the most time working closely.

Creating Career Steps for Zebra Management Talent

Before we began hiring our first employee in 2022, we created a model for zebra management talent. As a foundation, we operate on the principles of "equality between the individual and Z&C," "recognition of diversity," and "consideration for real-world differences." With these values in mind, we envision employees who can eventually participate in the management of Z&C's future, and we have designed a three-stage framework to support their growth toward that goal: Development Phase, Independence Preparation Phase, and Independence Phase.

Concept	Z&C provides	Individual gains	Z&C expects	Working style
Development Phase (Year 1 - 3) Provides stability and opportunity	**[Stability]** ・Employment ・Work environment **[Opportunity]** ・Learning (time, opportunity, method) ・Client work ・Challenge toward business development	—	**・Empathy for zebra companies** **・Full commitment to personal growth and work** **・Honest opinions** **・Execution of tasks based on requests**	**A typical venture company employee** *One-year fixed-term employment contract, contract renewed reviewed three months in advance, with a maximum duration of three years.
Independence Preparation Phase (Year 2 - 5) Provide stability, let individuals seize their own opportunities	**・Compensation necessary for living** **・Advice for development** **・Network**	**・Company relationship** (e.g., contract arrangement) **・Work** **・Personal career**	**・Empathy for zebra companies** **・Proactive proposals** **・Fulfillment of promised tasks** **・Transformation into a professional**	**Individual arrangements** *Contract type and other terms depend on the individual's preferences and Z&C's circumstances.
Independence Preparation Phase (Year 2 - 5) Provide stability, let individuals seize their own opportunities	**Information on what projects or Z&C can offer and seek**	(In addition to the above) **Role (work), opportunities, and compensation**	**・Empathy for zebra companies** **・Sufficient experience and achievements** **・Contribution to TOC realization** **・Advancement of TOC version** **・Contribution to Z&C's growth and evolution**	**Equivalent to management** *Assumed to work under a business contractor agreement, either as an executive, manager, or independent professional.

Our Recruitment Process So Far

2021 (Year 1): Started with three co-founders. Outsourced or short-term hired for PR, media relations, and intern roles.

2022 (Year 2): Hired our first employee, Sai Sakamoto.

2023 (Year 3): Hired our second and third employees, Sonoko Tanaka and Yuri Tamaoka. Appointed Miai Kobayashi as a new outside director following Yuji Suyama's departure.

Tools Used for Recruitment

We considered using recruitment platforms, but ultimately, we were able to hire without relying on them. Instead, we used tools such as our own recruitment-focused articles, joint recruitment events held with other organizations, and word-of-mouth through social media and our broader network and a community-based approach to finding new team members.

Recruitment Process and Key Evaluation Points

Initial Design of the Recruitment Process

- Define positions and candidate profiles (based on the career development framework for Zebra management talent)
- Prepare recruitment materials for the company website, including owned media articles, company introduction materials, and an application form
- Select potential recruitment platforms
- Design the post-application process
- Set compensation ranges
- Decide on employment and contract types
- Outline the ideal timeline up to onboarding (content creation, publication, interview period, offer, and start date)

When defining the ideal candidate profile, we considered both concrete aspects such as skills and abstract aspects such as cultural alignment, setting the following key points:

- Cultural fit
- Functional requirements
- Concrete reference examples based on people within our own network

Key Points

Rather than simply filling functional needs, we placed importance on ensuring alignment with Z&C's core values, which proved valuable for building long-term partnerships. In the cases of Sonoko Tanaka and Yuri Tamaoka, for example, in addition to interviews with the three co-founders, we also arranged casual meetings with other team members and a period working together on a project to allow both sides to confirm mutual expectations and cultural fit.

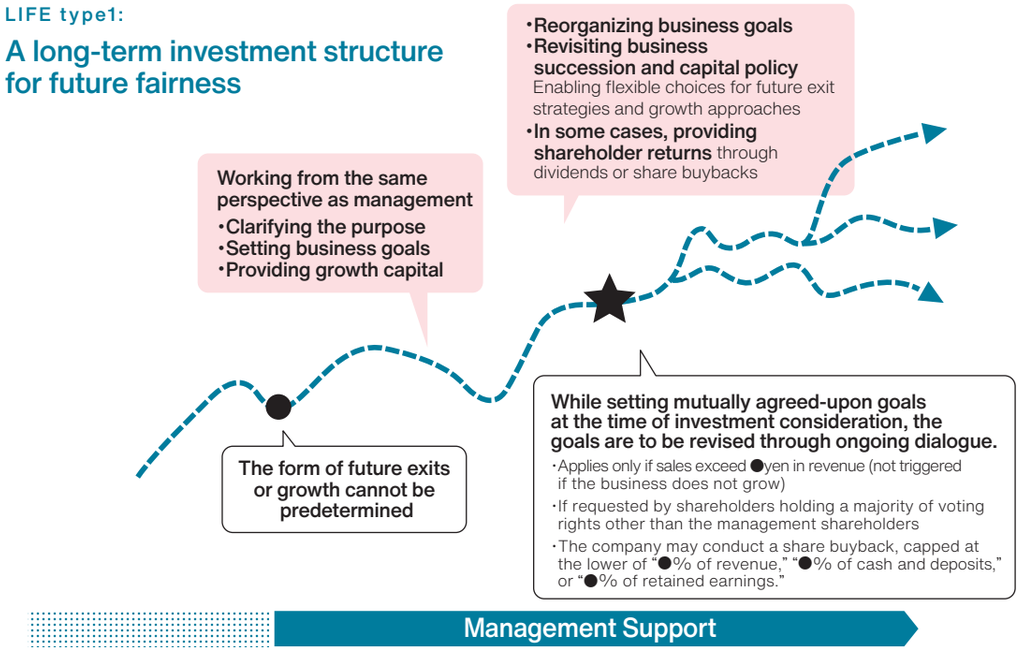
Before launching our first round of recruitment, the co-founders engaged in repeated discussions to create a career development framework for Zebra management talent. This process became an important foundation for our overall approach. In today's world, people may not stay with one company for their entire careers. Our hope is that, wherever they work, our team members will continue to embody the principles of Zebra management, leading with balance between purpose and profit. Of course, if that journey continues within Z&C for the long term, we couldn't be happier.

The Zebra-type Investment Scheme with Diverse Options: “LIFE type 1”

We have newly developed an investment scheme designed as a funding approach for Zebra companies entering their growth stage — one that aims to create an equitable balance between business sustainability, entrepreneurs’ life planning, and investors’ returns.
This section explains the background and structure of that scheme.

LIFE type1:

A long-term investment structure for future fairness



LIFE type1 (Prototype of a Long-Term Investment Scheme for Future Fairness)

“LIFE type1” is a uniquely designed investment scheme developed by Z&C in pursuit of a more appropriate model for providing capital to Zebra companies.This concept took shape during our consideration of an investment in Hitobito Inc., which ultimately became our first equity investment.

Zebra companies aim to achieve both social impact and economic sustainability. Their modes of growth and business progress often do not fit neatly within existing frameworks. Conventional VC models, which tend to prioritize rapid growth, early IPOs, or M&A exits, are often based on short-term outcomes. As a result, discrepancies can emerge between an entrepreneur’s original vision for the business and their own life plans. Furthermore, for early-stage companies, securing funding itself is a major challenge. Loan and grant programs require stringent screening, and receiving VC investment often means accepting restrictions on management control or long-term direction. Faced with this reality, we asked ourselves: “What kind of investment truly serves the entrepreneur?” It was from this reflection that LIFE type1 came about. This scheme proposes a flexible investment structure designed to align with the diversity and evolving growth processes of zebra companies. One of its key features is that, while both parties agree on growth objectives and return expectations at the time of investment, the framework allows for multiple exit options that can be selected as the business develops.

For example, once certain milestones are achieved, if both management and shareholders agree, the company may conduct a share buyback to return value to investors. Additionally, based on initial terms, the scheme incorporates the flexibility to shift to other forms of return depending on changes in time horizons, market conditions, or the company’s growth stage.

In this way, rather than fixing the future too rigidly, LIFE type1 is built on an acceptance of a “changeable future.” This allows entrepreneurs to make decisions that are coherent not only with their business growth but also with their personal lives. For example, aspirations such as “building a company that remains rooted in the community for generations” or “creating a business that can be passed on to the next generation” become viable options precisely because this scheme does not assume short-term returns.

On the other hand, for investors, the model also provides mechanisms for securing returns in line with company growth, making it possible to balance social impact and economic return in a tangible, structured way. In an era where investors’ values and philosophies are increasingly under scrutiny, this is not merely a matter of goodwill or idealism; it is an attempt to demonstrate a sustainable framework for what “zebra-style investment” can mean.

To make such a design viable, careful contract structuring and consensus-building are essential. From the perspective of “future fairness,” it is crucial to acknowledge the different positions and constraints of each stakeholder and to embed room for dialogue and flexible outcomes within the system itself. LIFE type1 reflects this design philosophy: the intention to leave deliberate “space” for adjustment and conversation. Through the design of LIFE type1, Z&C aims to build an investment relationship where business sustainability, entrepreneurs’ lives, and investors’ profits resonate with one another in an equitable balance, rather than leaning toward any one side. Our goal is to bridge economic and social value, creating an investment model that supports not just one person’s success, but a shared, long-term journey together. This spirit is what we have embedded into the LIFE type1 scheme.

Going forward, Z&C will continue to design and promote flexible, non-template investment schemes tailored to each company’s individuality and stage of growth. By exploring what “a just-right form of investment for society” could look like, we hope to engage with each company sincerely and create environments where they can grow at their own natural pace. We believe that connecting systems and relationships with care represents one of the key forms of governance required for the next generation of impact investing.

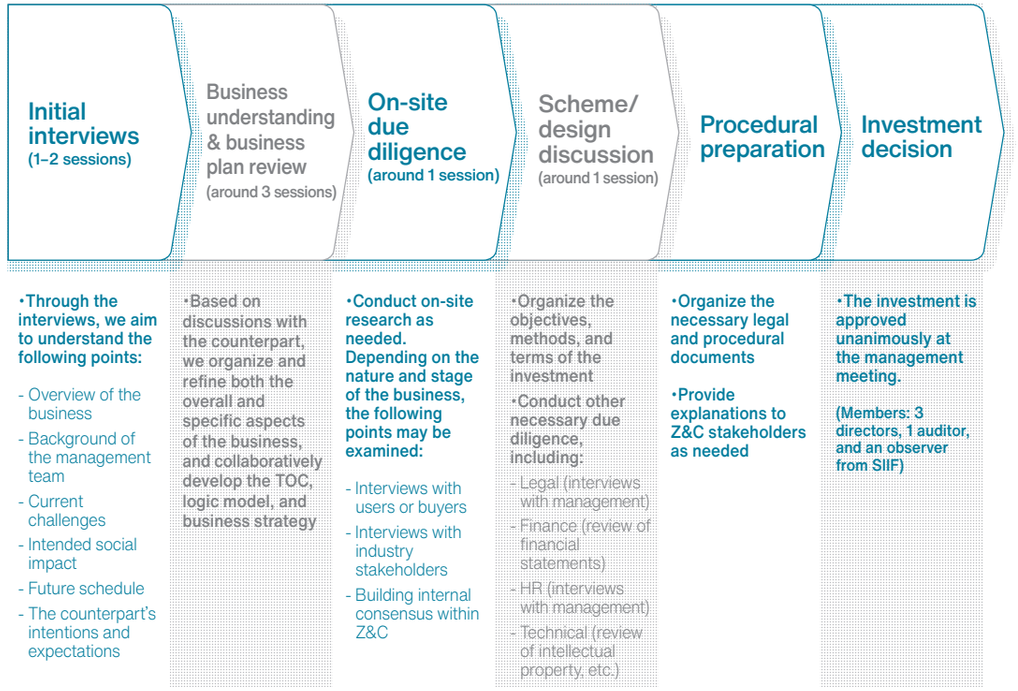
To download the LIFE type1 term sheet:
https://forms.gle/2HHzPZTQGxc9rA54A

For more details about LIFE type1, see the full online article here:
https://www.zebrasand.co.jp/2345

Achievements in the Past Three Years: Investment

Zebra-style Business Assessment / Due Diligence

Beyond the decision of whether to invest, this is Z&C's unique process of business evaluation and dialogue; designed to assess a company's future and its social impact.



Evaluation Process

While the specific timeline and investment amount may vary depending on the company's fundraising schedule, our investment review generally follows the process shown above. Like a conventional due diligence process, we conduct several interviews before making an investment decision. However, what makes our approach unique is that through these interviews, we co-create or further refine the company's Theory of Change (TOC) and Logic Model to visualize the social impact envisioned by the management. By developing the TOC together and taking into account the company's growth strategy, we are able to design financial plans aligned with its management style and long-term vision. Through this process, we combine and tailor various financing methods to develop the most compatible investment scheme.

Evaluation Perspectives

In Z&C's investment review, the starting point is **the potential for social impact that can drive system-level change through business growth**. Even if a project may be difficult to evaluate by conventional financial standards, Z&C seeks to realize investments in areas that only Z&C can pursue. To do this, we assess how closely the business aligns with Z&C's own Theory of Change and, through dialogue with the management, articulate and strategize how the company can inspire shifts in awareness and behavior that ultimately transform society.

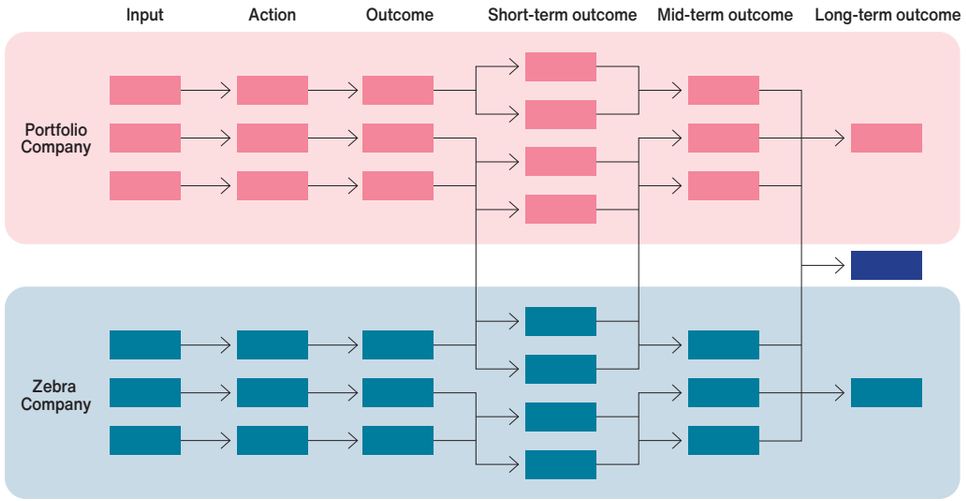
Through these conversations, we then examine whether the company's business strategy, including its action plan, financial plan, and social impact strategy, is coherent and effective. We also discuss whether the business can achieve sustainable growth with originality and competitive strength, without placing excessive burdens on stakeholders, and whether it can build a capable management team to realize these goals. Consistency between the intended social impact, business strategy and content, and the company's resources and numerical plans is a key consideration. At the time of investment, perfection in all of these areas is not required.

Rather, **we consider whether Z&C's own capabilities can complement any gaps and form a mutually supportive relationship**. Our due diligence process is not limited to pre-investment discussions and we place even greater importance on the dialogues that happen after the investment, assessing whether we can build a relationship, business, and team that grow together over time.

Main category	Sub category	Item
Alignment with Z&C's TOC	Alignment with the vision	How does this business contribute to realizing a "thoughtful, healthy and enjoyable society"?
	Model potential	Does this business have the potential to increase the number of zebra companies, investors, and supporters, thereby expanding capital flow?
	Additionality	Is it a model that other companies might want to emulate in terms of future scale and profitability?
Social Impact	Clarity of impact	What social impact does the business aim to achieve? How will it contribute to transforming society?
	Ripple effect	Whose awareness or behavior will this business influence or change, and in what ways?
	Complexity of the social issue	How is the issue currently recognized or understood? How should that understanding evolve?
	Alignment with the business	Does the growth of the business directly lead to an increase in social impact?
Business Viability	Market potential	Who are the customers? What pain points are being addressed?
	Profitability	Through what business model does the company generate profit?
	Competitive advantage	What advantages does it have compared to others (including unicorn-type business models)?
	Use of funds	What will the funds be used for, and how will they be utilized?
	Financial soundness	Are there any major financial concerns (e.g., cash shortages, excessive debt, etc.)?
Management Team	Management capability	What knowledge, experience, and networks do the founder and management team possess in relation to the business they are pursuing? What additional capacities will be required going forward?
	Management attitude	In what aspects can a long-term, inclusive, and mutually beneficial management approach be observed?
	Openness	Do the founder and management team demonstrate openness and transparency?

Management Support TOC x TOC

Through investment practice with zebra companies, this section introduces the TOC × TOC approach — a framework for companies and investors to align their visions and build sustainable relationships.



Growing focus on ESG investment has led many CVCs and new business divisions to seek evaluation frameworks beyond traditional indicators like ROE or IRR. They aim to establish measures that better reflect their values and business domains. At Z&C, we increasingly collaborate with large corporations — "parent zebras" — wishing to adopt this mindset.

What is "TOC × TOC"?

"TOC × TOC" applies the Theory of Change (TOC), a management strategy used by Z&C and zebra companies, to investment activities. By visualizing the investment's purpose and the ideal future for both company and society via TOC, **selecting portfolio companies and designing desired returns becomes much clearer.**

The process begins by defining an investment philosophy based on the company's own TOC, articulating core values, focus areas, and expected non-financial outcomes. Then, by designing selection criteria, due diligence perspectives, and post-investment engagement, companies can invest with more intentional impact. Crucially, one must strategically design a relationship where realizing the portfolio company's TOC contributes to achieving one's own TOC. **This alignment between the investor's and portfolio company's TOCs becomes a central axis for investment decisions.**

For example, when Z&C invested in Hitobito Inc., we developed and published LIFE, an original investment scheme visualizing our approach within the "theorization" phase of the TOC. In order to create a "practical example of investment", we set the goal to deepen the understanding of agricultural and women's health issues.

Three years later, the company has expanded its community of supporters through more like-minded retailers and collaborators. Business growth and stronger partnerships with regional financial institutions have realized the TOC objective of "increasing financial flow." As a result, Hitobito Inc.'s growth has directly contributed to the realization of Z&C's own TOC.

We hope that more "parent zebras" and "sibling zebras" will adopt the TOC × TOC perspective when investing in or collaborating with emerging "foal zebras." May these ideas serve as inspiration for such future practices.

The Right Mindset for Giving, Receiving, and Accepting Capital

When you hear the word "investment," what probably comes to mind first is the act of putting in money with the expectation of profit. However, for zebra companies, investment is more than just a financial transaction. It marks the beginning of a partnership built on shared values and a shared vision for the future.

The Recipient's Perspective (Zebra Company)

When a zebra company seeks investment, it is essential to clarify what it wants to protect and what kinds of values it aims to nurture, as well as ensuring those priorities are consistently reflected in its strategy, business plan, and social impact. At the same time, it's important to understand the investor's philosophy and expectations, and to assess whether the relationship is a good fit. **No matter how favorable the terms may seem, a partnership built without mutual trust will not last**. Accepting investment means accepting not only the funds and conditions, but also the investor's values and way of engagement. Rather than making decisions based solely on numbers, companies should focus on trust and shared purpose, and consider whether this is a partner they can walk alongside for the long term.

The Giver's Perspective (Investor)

For investors, providing capital carries meaning that goes beyond financial return. It requires a careful look at whether the company's vision for the future, the social issues it seeks to address, and the approach it takes align with one's own interests and beliefs. In a zebra-style partnership, evaluation cannot be limited to numerical results; it must also take into account the founder's character, the business's long-term viability, and the culture of the organization. **Investors must ask themselves: *what kind of values do I resonate with and wish to support through money?*** Once you become a shareholder, you also take part in shaping the company's medium- to long-term decisions. In this sense, investing comes with the responsibility to help design an accountable relationship.

Mindset for Accepting Investment

After an investment is made, the relationship between the company and its investors moves beyond a temporary contract into an ongoing collaboration. It is a partnership grounded in trust, working together to shape the future. That's why it's important to evaluate not just the financial terms, but also the investor's philosophy, approach to dialogue, and character, in other words, whether you can run alongside them for the long haul. **Long-term business success requires deeply connected partners**. Since investors can influence management through voting rights, these relationships cannot be easily undone. Raising capital is, in essence, about welcoming future partners. Choosing who to walk with is inseparable from thinking about where your business is headed.

Finance for Purpose (F4P) / Zebras Finance Design

This section introduces perspectives and practices for rethinking the relationship between investors and investees, and for redesigning the flow of money to match its purpose. There is a saying that “money has no color,” meaning that money itself is neutral and functions the same as a means of payment. However, **in the world of investment and funding, we believe that “money does have a color.”** Who provides the money, with what intentions, and what outcomes or timeframes are they expecting? These factors can make the same amount of money carry completely different meanings.

Venture capitalists, financial institutions, angel investors, and foundations all have different backgrounds and expectations. At Z&C, we take these differences into account and offer two services: Finance for Purpose and Zebras Finance Design. The former focuses on social impact, helping companies design how, from whom, and under what conditions they receive funds. The latter takes a longer-term perspective, supporting organizations in shaping financing in line with their purpose and governance structures.

Methods of raising capital have diversified, ranging from equity (investment), debt (loans), and philanthropy (grants and donations) to newer approaches like revenue sharing. For companies like zebra companies, which aim for self-sufficiency while addressing social challenges with a long-term perspective, traditional funding aligned with conventional growth models often does not fit. Growth schemes premised on IPOs or M&A, or loan systems requiring collateral and track record, frequently cannot accommodate their reality.

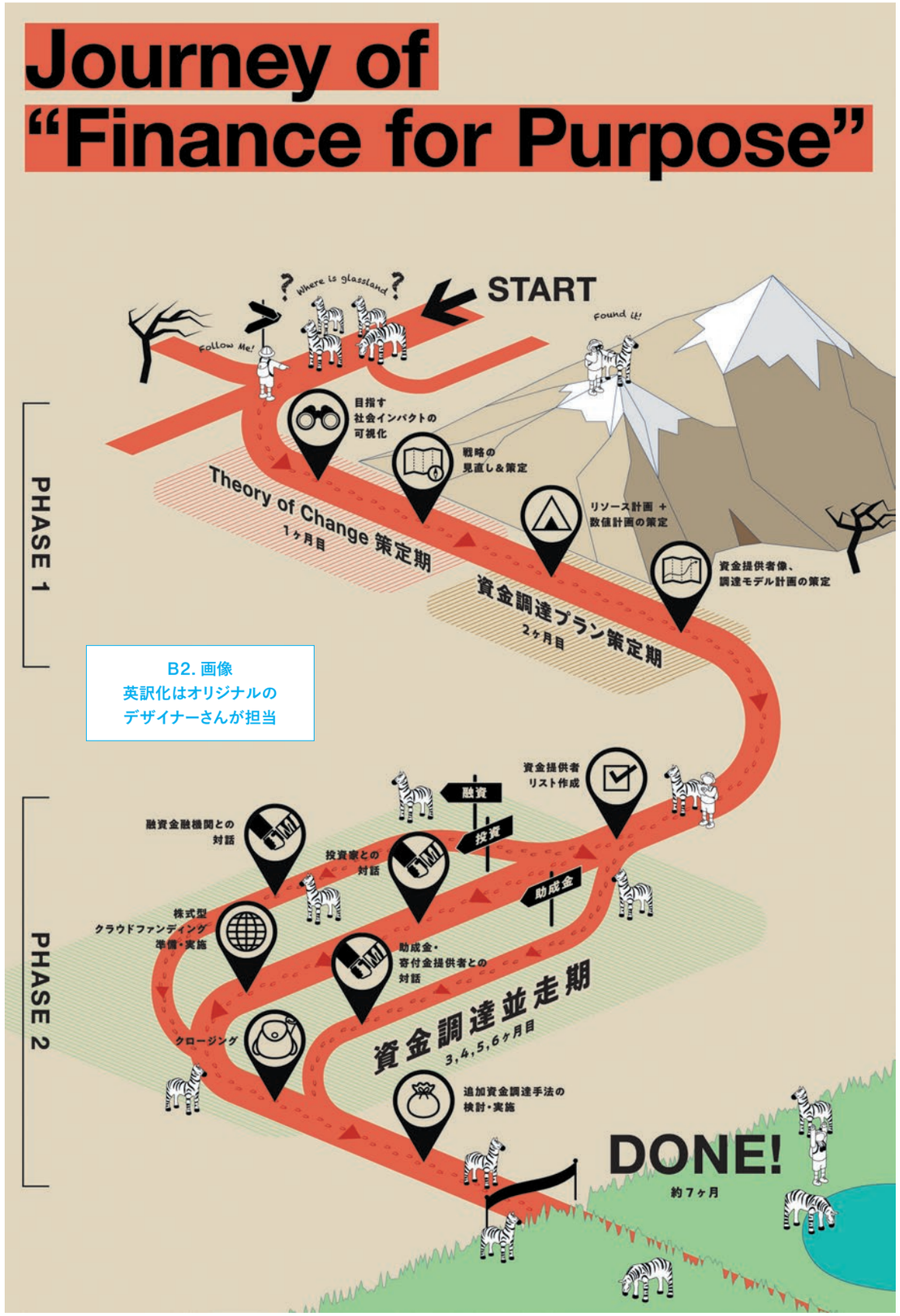
That is why Z&C supports **the design of capital strategies that are inseparable from business strategy, connecting companies with funders who share their purpose and philosophy**. For example, at the Iwamiginzan Lifestyle and Tourism Research Institute (Gungendo Group), we helped create a Theory of Change and business plan centered on community building. The focus was not on temporarily increasing tourist numbers but on designing projects that sustainably leverage the cultural and historical value of the region. We also mapped the characteristics and involvement of diverse funders, including regional financial institutions and impact investors, creating a clear picture of each stakeholder’s stance and role. This ensured that the meaning of the business naturally aligned with the intent of the financing.

Similarly, Linklusion, a company addressing rural challenges in Myanmar, clarified its business hypotheses and TOC, raising around 100 million yen from both corporate and angel investors, with Z&C also contributing. Our approach is not merely about “raising money” but about designing the relationships between the people and capital necessary for both growth and social impact.

Moving forward, we aim to **continue building these types of relationships, where investors and investees can share values and philosophy**. In zebra company fundraising, what matters more than the diversity of funding schemes is how to connect with people who resonate with the company’s purpose. We act as translators and connectors of values between companies and investors, helping ensure healthy, enduring relationships even after the funds are secured.

By working from the premise that “money has a color,” zebra companies can grow at a pace and rhythm that is true to themselves. Z&C will continue to practice and refine capital design to support this vision.

Reference: Zebras and Company, “Finance for Purpose”, https://www.zebrasand.co.jp/536



B2. 画像
英訳化はオリジナルの
デザイナーさんが担当

THE REGENERATIVE COMPANY SHIFT

The literal translation of “regenerative” is “to regenerate.” The Regenerative Company (TRC) is a company that regenerates various things, such as the environment and culture. It differs from being “sustainable,” which aims to maintain the current state, in that it seeks to create change that makes the whole better.

There are three principles of TRC. The first is to “positively influence ‘unrepresented’ stakeholders.” It recognizes future generations, non-human species, and the natural environment as stakeholders and impacts them in a positive way. The second is to “generate and measure the value of multidimensional capital.” It shows society the value of human, intellectual, physical, natural, and social relationship capital, instead of simply maximizing economic capital. The third is to “intervene in and repair complex systems". To solve social issues, we need to approach the systems that create them. Since these characteristics overlap significantly with those of zebra companies, Z&C collaborated with WIRED Japan to develop a process to help companies make their transition to become TRC. The transition involves four steps. Step 1 is to “understand the company’s current position.” List all the multidimensional capital owned by the company, including its purpose, business, technology, employee and shareholder composition, external expectations, and public opinion. This should encompass not only the present, but also the past, and the future, in order to visualize the organization’s state (Figure 1).

Future	Future	Future	Future	Future	Future
1. Clarify target area for regeneration	2. Design a purpose based on your company’s intention and relationship with stakeholders*1	5. Ideal customer segment/ their external expectations towards the company	10. Predict matters of public interest /changes to societal structure	13. Technological shifts that may impact the company	16. Technology required for regeneration
		Present			**What the company currently owns**
		6. Current customer segment / their expectations towards the company			
	Present	Present	Present	Present	
	3. Visualize where your company is at right now*2	7. Competitors and their strengths	11. Public opinion/societal structure surrounding the company	14. Technology that impacts the company	
		8. Role model companies			**What the company will obtain in the future**
	Past	Present	Past	Past	
	4. Reflect on the company’s history from its founding until now*3	9. External stakeholders (e.g. in the supply chain), and their expectations of the company	12. How public opinion /societal structure has changed since the company’s founding	15. Technological shifts that have impacted the company	

*1: e.g. the future state of your business, employee composition, persona, intention, shareholder composition
*2: e.g. current purpose or vision/mission/value, business state/strengths, employee persona/intention, shareholder composition
*3: e.g. intentions/reasons leading to its founding, the business history, employee persona/intention, shareholder composition

Figure 1: STEP 1 Understand the Company’s Current Position

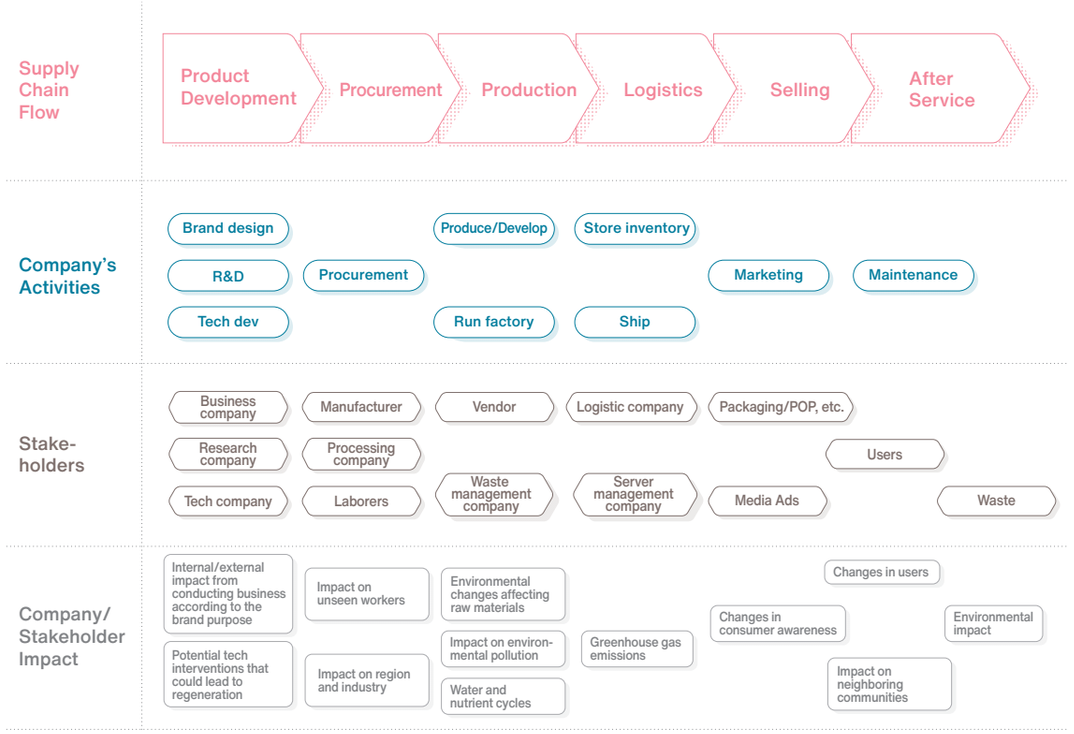


Figure 2: STEP 2 Visualize Stakeholders’ Impact

Step 2 is to “visualize stakeholder impact.” List out business activities at each phase (the worksheet uses a manufacturer’s supply chain as an example). With that, identify the stakeholders involved and the impact on them. The key is to consider a broad scope beyond the company, including the effects on all related parties. For example, assess not just the environmental impact in the process of product development, but also how consumers’ use and disposal of the product affects the environment (Figure 2).

tep 3 is to “draw a system diagram to identify key issues.” Create a system map of the business based on steps 1 and 2. For instance, Utopia Agriculture (UA) produces low-impact dairy, eggs, and confectionery. Their system shows how grazing cows helps absorb greenhouse gases via microbial growth in manure, how profit made from confectionery sales can help expand grazing land, and how food scraps feed chickens to produce eggs. This creates a positive cycle for the environment, animals, and consumers.

Step 4 is to “design governance in a way that generates impact.” Here, design a governance structure to execute the system map from step 3. Governance isn’t just administrative; it defines whose input influences decision-making, including shareholder composition. For example, when Eiji Publishing was merged and acquired by KAYAC, Inc., it granted golden shares to a corporation composed of Eiji Publishing employees, giving them veto rights over changes to the purpose and company name. When companies are able to design an optimal governance structure, it enables them to take a step closer to becoming TRC.



Diagram of Utopia Agriculture’s business, dairy farming, and environmental cycle

The Path to “Zebra Companies” Becoming a Focus Area in the Government’s National Strategy



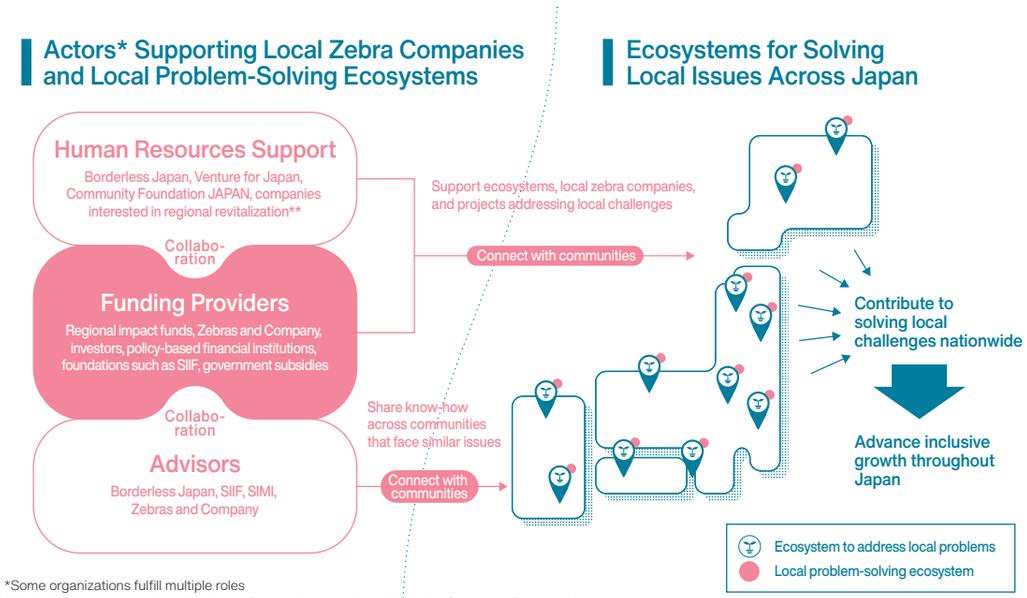
The “Basic Policies for Economic and Fiscal Management and Reform,” also known as the government’s “Basic Policies,” is published in June of each year. The content covers a wide range of areas, including labor market reforms, investments in green transformation (GX) and digital transformation (DX), promoting startups, and fundamentally strengthening measures to address the declining birthrate and child-rearing policies. In the 2023 edition, under the section “Enhancing the vitality of medium-sized and small businesses,” zebra companies were included with the text: **“Additionally, efforts will be made to create and promote small and medium-sized enterprises that serve as drivers for solving social challenges in the rural region and attract impact investments (zebra)."**

This did not happen overnight. Back in 2022, the Ministry of Economy, Trade and Industry’s Small and Medium Enterprise Agency introduced the concept of zebra companies, businesses that aim to balance solving social issues with achieving economic growth, in its annual “White Paper on Small and Medium Enterprises.” There has been a broader government push to address social challenges while making Japan a better and more prosperous society, and within that national narrative, zebra companies began to gain visibility. At Z&C, we actively engaged in advocacy efforts, including having the opportunity to speak at a Liberal Democratic Party meeting, where we presented the trends among zebra companies and Tokyo Zebras Unite’s activities. During that time, we even received encouragement from policymakers who said, “This should be positioned as a national strategy.” That support became a major source of motivation for us.

We see two main roles expected of zebra companies within the Basic Policies. The first is solving local and regional challenges. Traditionally, this has been the realm of local governments and nonprofits, but now there is a need to bring together private companies and diverse actors to create a collective movement. The second is engaging with small and medium-sized enterprises (SMEs). We hope to inspire SMEs active in their local communities to take an interest in solving regional issues and to strengthen the social business mindset in these areas. We believe zebra companies were chosen as a promising solution to these two challenges.

The inclusion of zebra companies in the Basic Policies greatly expanded the scope of our activities. For example, when trying to convey the activities of zebra companies to local governments, financial institutions, and local people, it was often difficult; our ideas were based on new values, and there were few precedents to refer to, so gaining understanding from senior leadership was a challenge. Now, we can talk about zebra companies within the broader national policy framework, which has made it easier to permeate the values into other organizations with speed and passion.

Launch of Basic Guidelines and Pilot Projects to Support Local Zebra Companies



*Some organizations fulfill multiple roles
**Includes large corporations like Japan Post and companies utilizing the Corporate Furusato Nozei system

As part of efforts to put the government’s Basic Policies into practice, Z&C joined the Small and Medium Enterprise Agency’s “Study Group on Ecosystems for Promoting Solutions to Regional Social Issues.” Through discussions on how to build a strong zebra ecosystem in Japan, we helped compile the “Basic Policy for Promoting Business to Solve Local Challenges.” This policy supports local zebra companies and related initiatives that address regional challenges through business approaches. Based on these guidelines, a new initiative, the “Pilot Project for Building Ecosystems to Support Companies Solving Regional Social Issues” (Regional Pilot Project) was launched to create model cases of local zebra companies.

The project brings together businesses across Japan interested in solving regional problems, providing support and networking opportunities to build a national zebra ecosystem. With a total budget of 600 million yen, it will select 20 regions. Each selected company receives up to 25 million yen plus support in setting impact metrics and strategies, redefining strategies, and visions, and sharing knowledge with other participants. Z&C is also actively involved in these efforts. Over 110 applications were submitted, with selected examples including Nozawa Onsen Kikaku in Nagano and Iwamiginzan Lifestyle Tourism Research Institute in Shimane.

This initiative is already bringing two major shifts to the Zebras movement. First, the application process prompted over 110 teams to discuss how they could contribute to solving local challenges, sparking new insights and communities. Second, collaboration among selected companies is accelerating the creation of successful models and frameworks. **As local zebra companies in 20 regions begin to operate and share their knowledge, successful models and frameworks are emerging**. Sharing these across regions will strengthen Japan’s overall capacity to tackle social issues. This project marks a tangible implementation of the government’s Basic Policies, and could evolve into a much larger movement. By using this policy as a catalyst to connect people’s passions and skills to the future, we believe that the zebra ecosystem will steadily take root in local communities and play a vital role in solving Japan’s social challenges.

ZEBRAHOOD 2022



Held on February 4, 2022, “ZEBRAHOOD 2022” was Japan’s first zebra conference.

Between 2020 and 2021, a wave of new concepts began shaping the future of the economy, finance, and business, such as new capitalism, stakeholder capitalism, the trust economy, purpose-driven management, social impact investing, impact measurement and management (IMM), fintech, digital transformation (DX), regional revitalization, the SDGs, and regenerative practices. It was during this moment of emerging ideas and transformation that we organized a conference to gather diverse expertise and build a community of practitioners dedicated to the “social implementation of zebra companies” and the “theorization of zebra management.”

The event’s theme was “DISTANCE.” Amid the divisions caused by the COVID-19 pandemic, the conference explored the theme of distance through four sessions — Career, Business, Finance, and Perspectives — alongside a dialogue session between zebra companies and students to reflect on the question, “What is a Zebra?” The keynote speaker was Zebras Unite founder Mara Zepeda, and a total of 20 practitioners of zebra-style thinking, including investors, entrepreneurs, lawyers, editors, researchers, and students, took the stage.

Originally envisioned as a large-scale in-person event since the company’s founding in March 2021, it was ultimately held entirely online due to COVID-19. Through the sessions and discussions, the event fostered meaningful dialogue among practitioners and allies striving for a better society and deepened collective understanding of zebra companies and their values.

Program

Keynote ZEBRA’S 2022

Morning Session: Zebra Companies x Careers
What Does a Career in a Zebra Company Look Like?

Session 1: Zebra Companies x Business
Can Stakeholder Capitalism and Growth Coexist?

Session 2: Zebra Companies x Creativity
Is “creative” only relevant in the field of design?

Session 3: Zebra Companies x Finance
Can Profit and Social Impact Coexist?

Session 4: Zebra Companies x Perspectives
Measuring the Distance Between Ourselves, Others, and Society

Dialogue Session 1 SHINISE

Dialogue Session 2 GENDER LENS

Dialogue Session 3 REGENERATIVE

Dialogue Session 4 EDUCATION

Numbers

Event Speakers: 20
Event Participants (Tickets Purchased): 112
Event Archive Purchasers : 15

ZEBRA’S CULTURE GUIDEBOOK Vol.01

The “ZEBRA CULTURE GUIDEBOOK Vol.01: An Introduction to Zebra Company Culture” was created based on conversations from the zebra company conference, ZEBRAHOOD, held in February 2022. The book introduces the voices of practitioners and allies of zebra management who work for a better society, providing readers with a clear picture of what zebra companies are really like.

It was created as a go-to resource for anyone curious about the concept of a “zebra company,” offering clear insights into the model. For business leaders, it also serves as a starting point to consider whether they might incorporate zebra-style management into their own companies.

The book was self-published with editorial support from Media Surf Communications Inc. and is available through Amazon, major bookstores, and local shops. At launch, book-related events were held nationwide at stores such as Aoyama Book Center, DAIKANYAMA TSUTAYA BOOKS, and Ogaki Bookstore in Kyoto, creating spaces to discuss zebra companies and help expand the movement.



Intended Audience

- Entrepreneurs, business owners, and successors seeking ways to build a future beyond mere growth or expansion
- Creators aiming to leverage local culture and skills to develop new cultural initiatives
- Investors and financial professionals exploring ways to grow not only financial capital but also natural and cultural capital
- Local government officials and support organizations wishing to provide entrepreneurship and business support that utilizes regional strengths
- Entrepreneurs and business leaders striving to improve their own industries, including women-founded companies for women and researchers who started businesses for fellow researchers
- All workers who feel unsure about the purpose of their work and seek meaning in what they do

Book Launch Event Attendance (#tickets sold) Total: 212		
Tokyo	Aoyama Book Center	23
Tokyo	DAIKANYAMA TSUTAYA BOOKS	22 (Including 6 online)
Okinawa	Okinawa City (Co-hosted with UmuSun lab)	38
Hokkaido	Sapporo City	34
Kyoto	Ogaki Bookstore	34 (Including 17 online)
Osaka	Osaka City (Co-hosted with eumo)	Approx. 50
Aomori	Aomori City	61

Attendance for Additional Book-Related Events		
Shimane	Matsue City (Co-hosted with city)	23
Tokyo	Seisaku Zukai Publication Celebration	Approx. 30

Number of books sold: **629** (as of Feb 2024)

What We Created in 3 Years: Movement

Media Coverage & Speaking Engagements

Over the three years since its founding, through coverage in various media outlets and participation in events throughout the year, zebra companies have gradually gained recognition as a notable movement.

Media Coverage

Since our founding, Z&C has been featured in numerous media outlets, helping introduce the concept of zebra companies and our work to a wider audience. Publications such as Nikkei, Forbes JAPAN, WIRED, GREENZ, and MASHING UP have all contributed to spreading the idea of zebra companies and growing a network of allies committed to building a future around this concept.

External Event Appearances

Opportunities to speak at external events have steadily increased over the past three years, reaching 82 appearances in 2023, more than double the previous year. Topics have ranged widely, including funding, food, regional development, design, culture, new capitalism, and career development. Z&C representatives have also served as judges for competitions such as the Nikkei Social Business Contest and the Cartier Women's Initiative.





Owned Media Publications

Since 2021, Z&C has continuously shared information through its own media channels, publishing over 100 articles in three years. These articles serve as a direct source of information about zebra companies.

In-House Events

In addition to the flagship zebra company conference, ZEBRAHOOD, Z&C has consistently organized events such as:

- "LIFE type1 (Long-term Investment Scheme for Future Equity Prototype 1): Building non-hierarchical relationships among businesses, entrepreneurs, and investors"
- "F4P (Online event): The realities of fundraising shared by Zebra companies that successfully fundraised 100 million yen"
- Multiple public training sessions for new employees
- Potluck Yaesu, our first zebra meetup

By regularly hosting in-house events, we have offered new opportunities for engagement for external actors.

	FY 2021	FY 2022	FY 2023
Media Coverage	9	15	15
# of Event Appearances	44	34	82
# of In-House Articles	39	33	37
# of In-House Events	4	5	9

An Investor's Perspective on Z&C #2

COLUMN

Hoping for More Zebra-Style Investors

I think it was around 2018 when I first heard about zebra companies from Tabuchi-san, who had just returned from an overseas trip. I immediately felt this was something truly meaningful. However, when SIIF began considering an investment in Zebras and Company in 2021, the term "zebra company" was virtually unknown, and it was challenging to get stakeholders to understand the concept. One common piece of feedback at the time was: "Zebra companies don't aim to go public; aren't they just avoiding growth that they could achieve?" While traditional venture capital metrics, such as market size and growth speed, did not fit these companies, SIIF had long recognized that impact-driven businesses still needed risk capital. It was frustrating that this need was often misunderstood. As the slogan of Zebras and Company, "Different Scale, Different Future," suggests, the novelty of bringing a different value axis into the investment world naturally created some discomfort and pushback.

Three years after making the investment, I feel that the new worldview promoted by Zebras and Company has gained far more resonance than initially expected. Stakeholder capitalism is spreading even among publicly listed companies, and there is growing interest in the regional impact of local SMEs. The concept of zebra-style companies, beyond the narrow category of "ventures that don't aim to be unicorns," is becoming recognized and gradually expanding in Japan. On the other hand, zebra-style investors are still few, and I strongly hope that more examples of funding with a "Different Scale" approach will emerge (SIIF will continue to contribute to these efforts).

Regarding the question posed three years ago of whether zebra companies are just avoiding growth, I still feel I cannot provide a flawless logical rebuttal. Yet, looking back at the efforts of the companies supported by Zebras and Company, it is clear that this is far from mere avoidance. These companies tackle extraordinary challenges: sustaining business growth while, for example, preserving the prosperity of towns with populations under a few hundred, updating agricultural practices in aging regions, or driving changes in people's mindsets and behaviors. These are not easy tasks. The fact that these pioneers deliberately take on such challenges, connecting like a dazzle of zebras and sharing a journey far from lonely, is inspiring. We will continue to support and watch over them as they build this community.



Nanako Kudo

Executive Director, Japan Social Innovation and Investment Foundation (SIIF). After graduating from university, Kudo worked at a major Japanese trading company before earning a master's degree in International Development in the U.S. During her studies, she interned with an impact investment fund in Pakistan. Returning to Japan in 2011, she joined the Nippon Foundation, working on impact investment projects. In April 2017, she co-founded SIIF as a spin-off from the Nippon Foundation and became a member of its Executive Committee, overseeing overall planning and project management.

An Investor's Perspective on Z&C #3

COLUMN

Zebra Communities Will Awaken Japan's Hidden Value

"Zebra company"
I still remember getting goosebumps the first time I heard this term. Something clicked, and I felt a passion ignite within me. It was a word that felt like a new hope, one that could break through the vague sense of inferiority I had long felt as an SME owner dealing with large corporations, and the sense of defeat on an unwinnable scale. In business, if leaders cannot feel hope in their own companies, the future of those companies becomes uncertain. Yet it is not easy for a single company to constantly generate new hope. Z&C's vision, where individual companies form a herd and grow strong together like a dazzle of zebras, resonated deeply. I wanted to become such a "zebra company," too. At the same time, I wondered if it was too good to be true. How could their investments coexist with this worldview, and how could they function as a for-profit enterprise? I had these questions from the start.

I recall that when Z&C was founded and consulted me about potential investees, they were extremely cautious. It seemed they were asking themselves: Can we envision a shared future with this company? Can we accompany them over the long term? Their intentions clearly reflected this mindset. It took considerable time to meet the first company, but as the number of supported zebra companies grew, it became clear that the initial period was necessary for Z&C to refine their investment principles.

Seeing Z&C today, increasing the number of companies they accompany and envisioning a shared future with each, is deeply reassuring. As an investor in Z&C, I am thrilled to become a "sibling zebra" alongside these investee companies. The investment and advisory support they provide is, in essence, the building of a zebra community. Their support does not just impact each individual company, it multiplies as the number of supported companies grows, strengthening the herd's collective power.

I have a strong sense that once zebra communities expand throughout Japan, dormant value across the country will awaken, and a remarkable transformation will begin.



Hidekuni Takagi

CEO of TAKAGI BUILDING Co., Ltd.
Born in 1976, Takagi leads design, development, management, and operation of office buildings, residences, and coworking spaces in Tokyo with the mission of "creating new value in real estate." He also drives projects that collaborate with entrepreneurs, provide hands-on support, foster regional development through partnerships with local governments, and create cross-industry initiatives, pushing the boundaries of traditional real estate to generate new societal value.

Part 4

Our Three Year Journey 4

The Impact Created by Our Portfolio Companies and Advisory Clients

Transforming Stakeholder Relationships to Achieve Sustainable Growth

Hitobito Inc.

Miai Kobayashi CEO, Hitobito Inc.

Based in Kunimi Town, Fukushima Prefecture, Hitobito Inc. realizes sustainable agriculture while improving the quality of life for urban working women. The company develops feminine care products, marketed under the brand “Ashita watashi wa kaki no ki ni noboru” (Tomorrow, I will climb a kaki [persimmon] tree), by utilizing skins discarded during the production of Anpo-gaki (semi-dried persimmons), a local specialty.

Our management philosophy prioritizes the happiness of everyone involved. Sales and growth are necessary to sustain this happiness, but they are not the ultimate goal. This does not mean we take a “laid-back management” approach. In fact, at Hitobito, we pursue operational efficiency to secure time for deeper relationships, like enjoying a cup of tea with our producers.

However, this management style, which does not place the growth of Hitobito above all else, often conflicted with the conventional world of startup investing and faced widespread criticism. It was labeled an “excuse” or disparaged with comments like “women aren’t aspirational". It was in this environment that we encountered Z&C, who, for the first time, affirmed our approach. Furthermore, in 2022, they became our first investor.

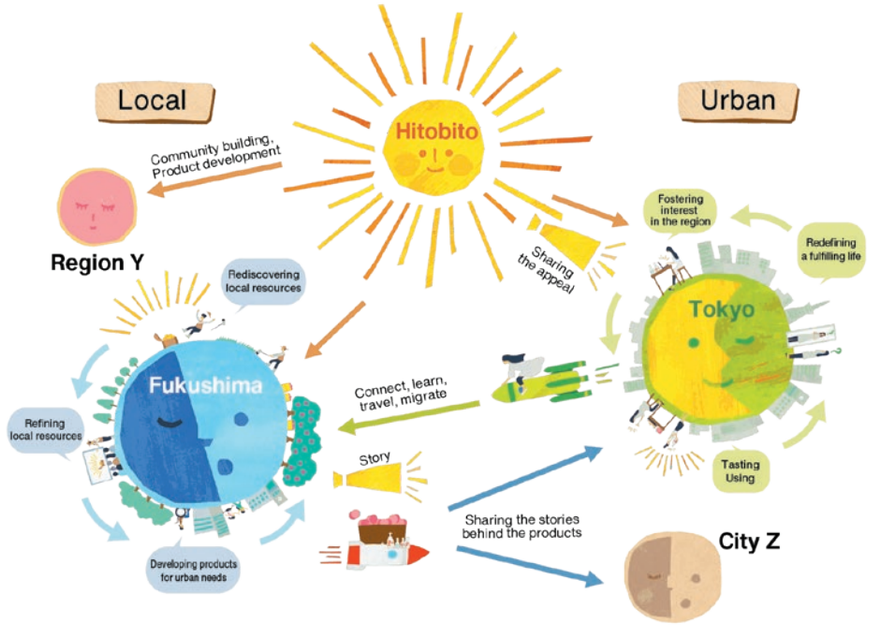
Since then, our partnership has had two major impacts. The first was transforming my mindset as a leader. **Constant criticism had made me insecure about our management style, despite my commitment to it. However, the acceptance from the Z&C team and their community gave me the confidence to move forward.**

The second major impact was a change in the relationships surrounding Hitobito. By more consciously embracing a zebra mindset, **we found it easier to build positive relationships in various situations. In fundraising, for example, we focused on “who we want to build the business with,” which led us to wonderful partners who not only invested but also imagined our future together with us.** Our business partners, too, are now exclusively those who genuinely consider the well-being of our producers and customers. As a result, key metrics such as sales, profits, farmer incomes, and employee salaries have all improved across the board.

In October 2023, I was appointed as an outside director at Z&C. This role has pushed me to think beyond being a single zebra company CEO and consider what zebra management truly is and how best to articulate it. I’ve come to believe that “balancing social and economic value” alone doesn't capture the full picture. A company that solves a social issue and generates profit cannot be called a zebra if its employees are struggling with low wages. **If solving one problem creates burdens elsewhere, that “social value” is fiction**.

This isn't to say we must pursue perfect management. The various elements of business — social impact, profit, employee well-being — exist in a delicate balance. What matters is how thoughtfully a leader can navigate and determine that balance. Going forward, I would like to help clarify which perspectives and metrics are essential to this “zebra” balance. In other words, this exploration is **an act of questioning the business angles and metrics that have been traditionally overlooked, and revisiting what should be valued**. I hope that by constructing a theory around zebra management, we can spark a broader dialogue to take one step closer to a society where people can find fulfillment in their work.

Hitobito Inc. Company Profile



Vision

A Cycle of Happiness, Smiles, and Flourishing

We discover dormant local resources and curate them into valuable offerings, creating a cycle of happiness between local and urban communities.

Our Challenge

We address the unique challenges of Fukushima and create environments where working women can thrive, modeling our work for other regions to follow.

Business Overview

We deliver non-standard peaches to Tokyo same-day, preventing waste. In 2020, we launched “Ashita watashi wa kaki no ki ni noboru", our award-winning feminine care brand. It upcycles the discarded, tannin-rich skins of a local specialty — Anpo-gaki (semi-dried persimmons) — for their natural odor-controlling and skin-tightening properties.



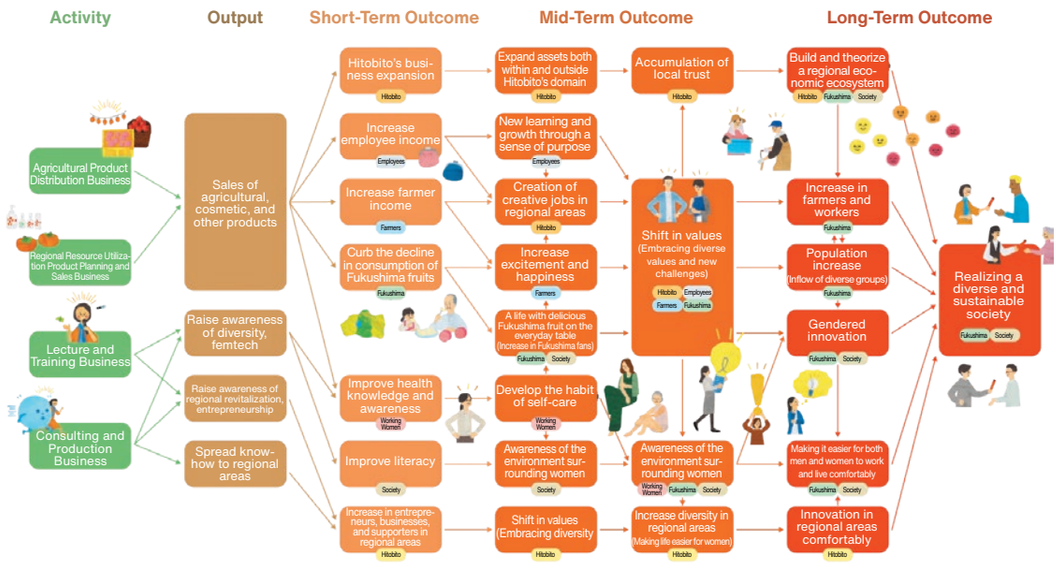
Through distribution and processing, we gave new life to "mottainai" (wasteful) local resources, such as peaches previously discarded for being non-standard.



The feminine care brand, “Ashita watashi wa kaki no ki ni noboru"

Hitobito Inc.'s Activities and Outcomes

Hitobito Inc.'s Past and Ongoing Activities



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Hitobito Inc.'s Logic Model

Created Impact 1: Direct Results from Business Activities

From FY2021 to FY2023, all the quantitative metrics we track, such as sales, producer income, and employee income, improved. Centered on the feminine care brand, "Tomorrow, I will climb a kaki tree," the company has also launched various activities aimed at improving the health of working women, and results are gradually beginning to appear.



Hitobito's Business Growth
154%
2021→2023
Company-wide sales growth rate. Business sales growth rate for cosmetics was 274%

Increased agricultural shipment via new distribution structure
131%
2021→2023
Company-wide sales growth rate. Business sales growth rate for cosmetics was 274%

Reduction in Agricultural Waste
65,359kg
Total from 2021-2023
Trend in shipments of nonstandard and unutilized resources

Improved Farmers' Income
(Average annual sales increase)
453,148JPY
Per producer
Increase in annual net income per producer from transactions with Hitobito

Improved Literacy
(Number of participants in health literacy programs, etc.)
3,980
Recordings of events were also streamed later, so the actual number of participants is expected to be higher.

Improved Literacy
(% of participants whose health literacy improved)
98.9%
In a post-event survey regarding "improved health literacy," 98.9% (729 out of 737 valid responses) reported an improvement.

Habit of Self-Care
(Growth rate of number of units sold to those implementing self-care)
328%
2021-2023 sales of feminine care brand, "Ashita watashi wa kaki no ki ni noboru"

Raising awareness of environment surrounding women
Number of media appearances)
164
We were featured in various media outlets including magazines, books, websites, radio, and television. We are working to raise awareness of women's unique health issues from multiple perspectives.

*Selected achievements during Z&C affiliation period (2021 - present)

Created Impact 2: Impact Through Collaboration

An unexpected outcome for Hitobito Inc. was the expansion of activities through collaborations with other companies. The approach of like-minded partners transcending corporate boundaries to tackle issues like a dazzle is a perfect example of a zebra company. By collaborating with large corporations, we now have the opportunity to approach the very mechanisms of society more directly, not just through our products. While the projects are ongoing, we have been accumulating data and results that, along with our outlined achievements, enable us to engage society with persuasive evidence.

Hitobito Inc. x Paramount Bed Collaborative Project:
Research on Menopausal Women's Sleep

Many people in the menopausal generation experience sleep disturbances and challenges with feminine hygiene due to hormonal imbalances and related factors. In FY2023, we collaborated with Paramount Bed Co., Ltd. on a project adopted* by the Ministry of Economy, Trade and Industry (METI), researching self-management and sleep conditions of menopausal women (see details). Based on the findings, we developed programs and products to alleviate symptoms. This initiative seeks to highlight the significant social impact of addressing the health issues of working menopausal women and to support the creation of practical support measures for both men and women.

Note: Summary of research results announced in February 2024. This study focused on "Women's Menopause and Sleep," investigating challenges experienced by those affected and testing hypotheses for improvement.



The product developed with Paramount

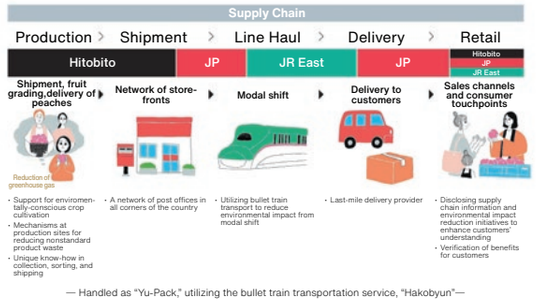
Hitobito Inc. Paramount Bed Co., Ltd.
METI-adopted research on "Menopause x Sleep"

Findings
Approximately 70% of working menopausal women may experience insomnia
(based on survey results)

Achievements
93% of program participants reported improvement in menopausal and sleep issues through "self-care"

Creation of a Menopause Handbook:
Understanding the Basics, Checking Symptoms, and Self-Care

Hitobito Inc. x Japan Post Group (JP) x JR East Collaborative Project:
Demonstration Experiment to Build a "Responsible" Supply Chain 'farm to table'



It achieved a three-star rating for reducing greenhouse gas emissions during the production stage by more than 30%.

This project was launched after Hitobito Inc. was selected as a collaborative partner for the "Local Co-creation Initiative."** Roles were defined as follows: "Production: Hitobito Inc.," "Logistics: JP & JR East," "Consumers: All Companies." The project experiments with distributing peaches grown using greenhouse-gas-reducing methods, including nonstandard peaches, and logistics utilizing bullet trains. It seeks to verify whether these practices can become sustainable as a business model, scheme, and operation. We aim to promote understanding and recognition of environmentally conscious supply chains, creating products and logistics that consumers actively choose.

*Selected for METI's FY2023 "Femtech Support Service Demonstration Project Subsidy"
**JP Group's project focusing on resolving social issues. Hitobito Inc. has been selected as a phase 2 collaborative partner.

Created Impact 3: Changes in Human Relationships and Internal Transformations Among Stakeholders

The outcomes of business activities detailed on page 64 include improvements in the wellbeing of individual stakeholders and the expansion of activities through collaboration with other companies (see diagram below). These are considered results that emerged precisely because the company valued coexistence and mutual prosperity in a way unique to zebra companies. Below, we introduce excerpts from Z&C's direct interviews with various stakeholders.

Individual wellbeing

Because I'm able to do what I want to do, **thinking about work no longer causes me stress**

I can flexibly adjust my work hours, so I'm able to balance my day-to-day life and family responsibilities

Employees can take a well-being period to reduce their work hours without pay deductions, **so I use the time to read or do things I don't usually have time for. As a result, my efficiency at work has also increased**



Employees of Hitobito

Expansion of activities through external collaboration



Paramount Bed Co., Ltd.
Tomoko Ootsuki

*Joint project underway to improve health issues among working women in menopause and establish support from men in the workplace (see previous page)

Enhancing execution

Previously, our company had only been able to conduct proof-of-concept studies, but **through collaboration with Hitobito, tangible outputs began to emerge one after another**

Through our collaboration, **we were able to verbally articulate our work, and this process itself sparked the creation of new value**. Precisely because our two companies held different perspectives, **the scope of what we could achieve expanded, leading to a positive synergy**

Interacting with external people has **inspired our team members and broadened their perspectives**. This positive influence is extending to other projects as well

Internal transformation generated through action

Internal transformation generated through action

The transformation of our employees (who were seconded to Hitobito through this program) **has been profound**. Working at a large corporation tends to foster a mindset of trying to push things forward alone, but they have learned to collaborate with others while maintaining a sense of gratitude, and to take ownership of their work. I believe this shift stems from observing and learning from CEO Kobayashi.

CEO Kobayashi is deeply committed and **this has become a catalyst for redefining the value of our own program**



Japan Post Co., Ltd.
Sayaka Kobayashi

*Joint demonstration project on supply chain construction is currently underway (see previous page)

Involving business operators that provide the products would present usually hurdles, **but the trust built over time between Hitobito and the local community enabled us to smoothly advance the proof-of-concept study**.

Enhancing execution

*Excerpts from interviews conducted by Z&C with stakeholders

Z&C's Activities and Outcomes

Background/Overview (December 2021 - present, as of May 2024)
In February 2022, Z&C made its first investment in Hitobito Inc. During the due diligence, we clarified the social issues Hitobito Inc. was addressing, articulated its vision through logic models and a TOC, and developed strategies to achieve it. Since then, we have provided comprehensive support from daily marketing to capital policy advice, accounting, and hiring. This also led to "LIFE type 1," an investment scheme with diverse return options not premised on an IPO, and designed to better align with a company's vision.

Z&C's Past and Ongoing Activities

Input	Activity	Output
Investment due diligence	IMM	Logic model TOC
Funding	Funding	Development of "LIFE type 1" investment scheme
Regular meetings (2-3 times/week)	Business strategy development	Business strategy Business plan Marketing strategy
Daily communication via messages		
Visits to Fukushima (4 times)	Build a management foundation	Hiring strategy Accounting system Financial plan
Joint event appearances	Build a community	Review of contractors/business partners Connecting with zebra entrepreneurs Psychological support and safety
Referrals		

Impact Created Through the Relationship with Z&C

1. Transformation of Founder's Mindset

Before investment, the founder struggled for public approval as a female entrepreneur with a business model not focused on rapid growth. Z&C's investment and relationship gave her confidence to commit fully. The comments **"Z&C was the first to say 'I like what you're doing,'"** and, **"Having many partners helped me regain my confidence."** were particularly memorable from the interview.

2. Transformation of Stakeholder Relationships

Three shifts occurred:
- With investors, the relationship is no longer just transactional; by seeing fundraising from the perspective of "who we want to build this business with," **their relationship with regional financial institutions became one of "partners improving the region together."**
- With business partners, **a mid-to-long-term sales strategy enabled the courage to turn down unfavorable deals, bringing more considerate and kind partners**.
- As the founder's confidence grew, so did her team's, **attracting passionate job applicants from outside the prefecture**.

3. Building a Foundation for Business and Growth

With these changes, business momentum improved through Z&C's support (see above), boosting sales, profits, farmer incomes, and employee salaries. CEO Kobayashi-san said: "As a manager, I was able to absorb various necessary perspectives on business strategy, finance, etc.," and, "[Clarifying my confidence and strategy in the business] meant we valued N=1 (each individual voice) rather than vague market size estimates. This fostered empathy and drove growth." This highlights that supporting zebra companies requires not only financial backing but also attention to both management psychology and technical aspects of business operations.

*Created by Z&C based on interviews and surveys with CEO Kobayashi

Positioning as a Zebra Company Signaled a Shift in How We Are Perceived

esse-sense, Inc.

Yuya Nishimura CEO, esse-sense, Inc.

esse-sense, Inc. operates four businesses with the aim of creating a society where knowledge born from advanced research is utilized as a common capital for society. This includes operating Japan's largest advanced researcher media outlet, "esse-sense," which disseminates research knowledge in an accessible format; a large-scale conference where research knowledge and society meet, "esse-sense Forum"; a patron and grant business connecting researchers with supporters; and finally, a "profile" business which involves creating a database of researchers' profiles and background knowledge. The four initiatives are organically interconnected and designed to leverage research knowledge to drive solutions through societal challenges.

esse-sense Inc.'s operating structure is somewhat unique. While it is a stock company, it adopts a **"cooperative-style stock company"** model, which has properties close to a cooperative. **This separates common stock from class stock (with no voting rights), and each shareholder has one vote. This eliminates imbalances in influence due to the amount of investment and creates a state where the company has no specific owner**. This approach closely resembles the governance model of NPO MIRATUKU , which I've managed since before esse-sense Inc. was founded. I like that this format allows us to collectively manage the company purely toward its objectives.

Z&C invested in us in July 2022. My initial conversation with Azakami-san piqued my interest because, despite being in the finance space, their activities were centered on social value. It was also when we were fundraising, and we conveyed that we weren't simply seeking investment but wanted to cooperate on a deeper level through ongoing communication. This led to them becoming shareholders. Since then, they have participated in shareholder meetings and provided advice on management.

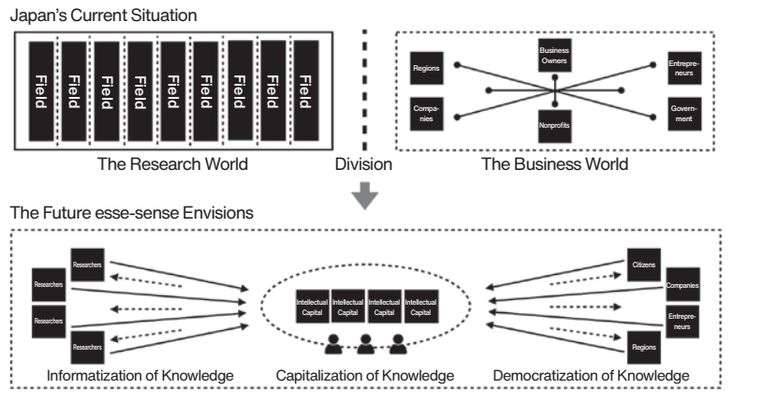
One impact resulting from our relationship with Z&C is that we have been positioned as a zebra company. esse-sense Inc., which deals in research knowledge, is sometimes misunderstood as a company chasing armchair theories. To change that perception and be recognized as a company actually trying to solve social contradictions and problems, being placed alongside other zebra companies that tackle daily challenges was a major step forward. Additionally, it is gratifying that there is overlap between people surrounding Z&C and those to whom esse-sense Inc. wishes to deliver research knowledge. The growth in Z&C's portfolio companies and stakeholders also expands the scope of "society," our target audience for knowledge delivery. **Through our interactions with zebra companies, our worldview, which tends to be confined within research and academia, also broadens.** While concrete outcomes are certainly important, I believe the fundamental impact of Z&C lies in how relationships and perspectives expand through conversation.

Recently, we held a study session on "humanities" for zebra founders. The humanities are disciplines that study humanity and generate new concepts. In the business world, the humanities are often said to be "unprofitable and useless," but that is a big mistake. Without concepts, people cannot converse, and companies and businesses cannot function. To create new business, new concepts are always necessary.

We want zebra companies to utilize the knowledge we have accumulated so that they can better communicate their activities to society and see their path forward more clearly. By doing so, we can better communicate our activities to society and people, and the path forward will become clearer. **We hope to build a cooperative framework that goes beyond the investor-investee relationship**, by incorporating such initiatives.

esse-sense Inc. Company Profile

esse-sense Inc.'s awareness of issues and vision



Realizing a society where everyone can appropriately access and utilize knowledge generated by research

SOME RIGHTS RESERVED

Mission

To create opportunities for all research knowledge to freely blend with society

Our Challenge

Currently, academia and the business world (society) are disconnected, causing a loss of value from "knowledge" that should have been utilized. To bridge this gap, we aim to create opportunities for mutual understanding through various projects, fostering an environment where knowledge is capitalized.

Business Overview

We operate Japan's largest cutting-edge research media platform that broadens perspectives in daily life, a monthly patron service that forms a sustainable financial base for researchers and a network of funders, and invitation-only forums where researchers can connect directly.

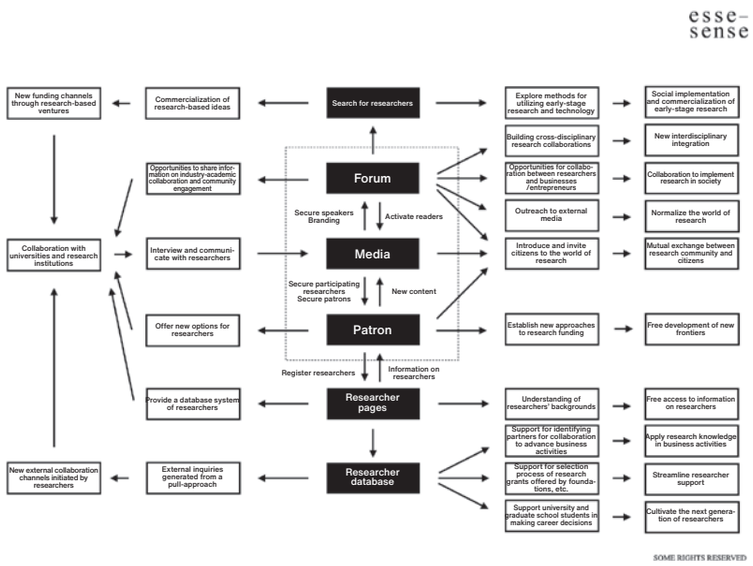




Patrons can register directly from online articles.

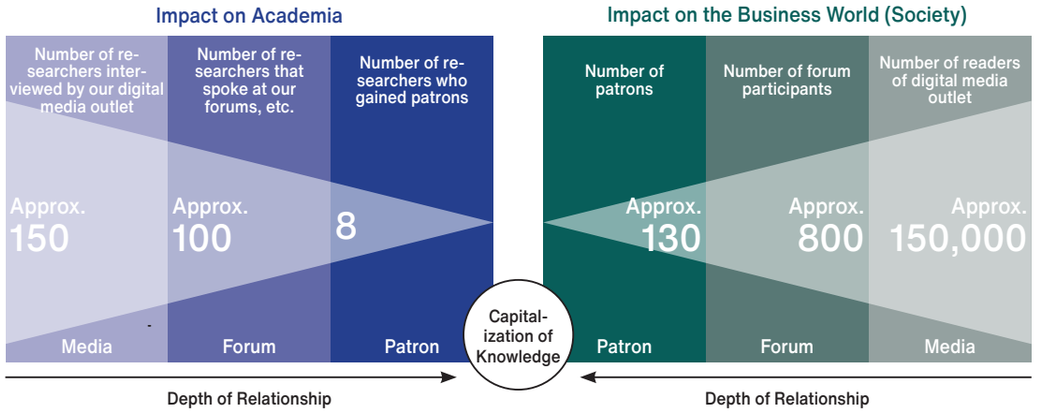
esse-sense Inc.'s Activities and Outcomes

esse-sense Inc.'s Past and Ongoing Activities



Created Impact

Through our digital media outlet, conferences (forums), and patron services, we want to foster mutual understanding and create a state where "knowledge" is capitalized, and as a result, resolve the disconnect between academia and business (society). Our online media outlet for advanced researchers is one of Japan's largest, with about 150,000 readers, and has independently interviewed around 150 researchers. As a more in-depth approach to engagement, we have conferences (forums) where research knowledge meets society. The inaugural event held in 2023 saw approximately 100 researchers present and around 800 participants from the business side. Our patron service connects researchers with people and companies who wish to support their work through the deepest and strongest bonds. Despite being in its first year, the platform has already attracted about 130 registered patrons.

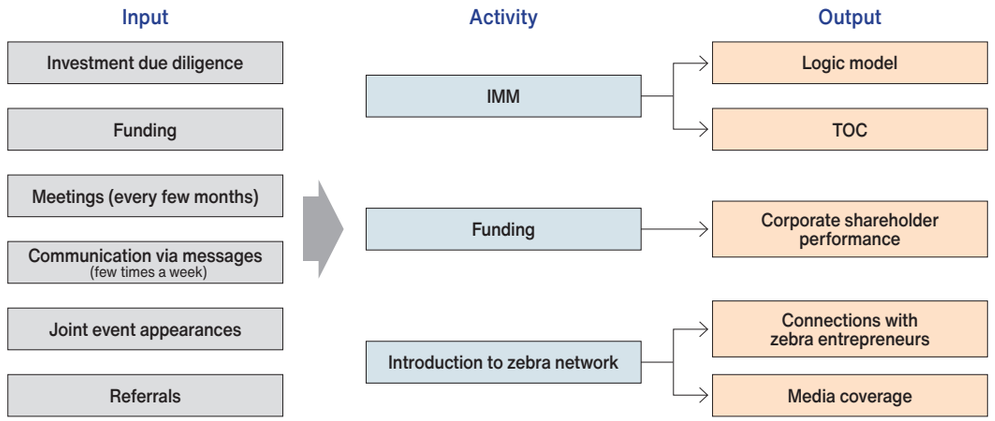


Z&C's Activities and Outcomes

Overview (May 2022 - as of May 2024)

In July 2022, we invested to explore how social impact can be created through the "capitalization of knowledge" and to study zebra management via cooperative-style governance. The cooperative model, similar to that of Zebras Unite, had already been of interest for Z&C. Since then, new and unexpected developments have emerged, including contact points with researchers through CEO Nishimura-san and engagement with the NPO MIRATUKU community he also leads.

Z&C's Past and Ongoing Activities



Impact Created Through the Relationship with Z&C

1. Cognitive Shift and Change in Growth Process through the "Zebra Company" Categorization

Many zebra companies are difficult to evaluate and require lengthy explanations due to low awareness of the issues they address and the complexity of their approach. esse-sense Inc. experienced the same challenge; however, being labeled as a "zebra company" reduced explanation time and improved evaluation.

As a result, the company has gained more contact with players outside its industry, and media coverage, including in Forbes, has increased.

Even without changing intrinsic value, the creation and dissemination of the "zebra company" category can shift perception, influence evaluation, and support growth.

CEO Nishimura-san's comments, "Thanks to Z&C (which created the concept and awareness of zebra companies in society), the positioning of businesses emphasizing social responsibility became clear, and we no longer need to make claims about social responsibility," reflects a positive and welcome change.

2. Creation of New Connections and Evolving Relationships

Recognition as a zebra company, along with connections to other zebra companies, has opened up new relationships.

Previously, connections focused on the academic sphere, reflecting the company's mission of linking research knowledge to society. Growing recognition has fostered broader connections, and interactions with the Zebra family (other Z&C portfolio companies) renewed awareness of regional potential and the strengths of local zebra companies.

Z&C's investment also introduced the first corporate shareholder in the cooperative-style stock company, expanding the shareholder base beyond Nishimura-san's personal contacts. Many existing shareholders are long-time contacts of Z&C members. By bringing together shareholders who support the same management team and engage in discussions, Z&C has created relationships that transcend acquaintanceship, generating a notable shift in company dynamics.

*Created by Z&C based on interviews and surveys with CEO Nishimura

Partners Growing Together, Beyond the Investor-Portfolio Company Relationship

NEWLOCAL Inc.

Ryo Ishida CEO, NEWLOCAL Inc.

NEWLOCAL is a community-building company aiming to create sustainable regional models in a society facing population decline. We are currently developing businesses that leverage the uniqueness and context of three regions: Nozawa Onsen and Miyota Town in Nagano, and Oga City in Akita. We run and renovate hotels and restaurants, help cultivate the future generation of these regions, and develop housing and communities for people who relocated for education. Our immediate goal is to expand these initiatives to ten regions within five years, generating a total impact of about ten billion JPY, with each region targeting around one billion JPY.

I first learned about Z&C at a conference in April 2023. I immediately felt a shared perspective on business creation and finance in regional communities, and we began exploring ideas together. It was also a time when NEWLOCAL Inc. was fundraising, and in August of the same year, Z&C decided to invest. Since then, we meet every month to report on business progress and maintain regular communication. Tabuchi-san primarily advises us on finance, and Azakami-san advises on marketing and business strategy.

Since we share the same co-working space, we see each other almost everyday, and **it feels more like working with internal team members** than external partners. For instance, I was genuinely thrilled when zebra companies were explicitly mentioned in the government's Basic Policies; it felt like a personal victory. Because our founding years are close, I'm grateful that we can **engage as partners growing together, beyond a simple investor-portfolio company relationship**. Recently, exchanges have increased not only among executives but also between team members, deepening our relationship further.

The changes resulting from their investment and support are numerous, but one to highlight is the "strengthening of our hiring capabilities." Through discussions with the Z&C team, we were able to create a company introduction package and a TOC. We became better at communicating our company's vision, and we have been able to steadily increase our team members. Furthermore, **having Z&C as an investor has created both an internal and external recognition that "NEWLOCAL Inc. is a zebra company specializing in regional communities."** We have also become more conscious of broader societal trends, and opportunities for media coverage and public communication from perspectives beyond the regional context have increased.

It's been a welcome change to develop connections with other companies Z&C has invested in or supported. While each pursues different ventures, we share a common desire to implement the zebra worldview in society. I'm inspired by everyone's hard work and delighted to **experience the zebra's characteristic of "fighting as a dazzle."**

Both Z&C and NEWLOCAL Inc. are companies that were founded recently. While it's hard to imagine exactly what form either company will take in the future, I'm already looking forward to it. As our organizations grow, new dynamics may emerge. We may even develop a relationship where we consult each other on organizational development. As we continue discussions on regional business creation and finance, I hope we can build a broader relationship that extends beyond these topics. I want us to create an exciting future together, as partners.

NEWLOCAL Inc. Company Profile



Nozawa Onsen, NEWLOCAL Inc.'s first base for business development

Mission

Shape Local Hopes Together

Our Challenge

We aim to create positive, sustainable regional models in a society facing population decline. In unique regional communities inhabited by determined and motivated individuals, we will drive community development with speed, scale, and replicability by aligning with local aspirations and mobilizing people, ideas, and funding.

Business Overview

Our core business is community-building through real estate development. We currently run community development projects in four regions: Nozawa Onsen (Nagano), Oga City (Akita), Miyota Town (Nagano), and Tango (Kyoto). A key feature of our approach is establishing separate companies in each region with local partners who share common challenges and a strong commitment to improve their communities, allowing us to advance projects collaboratively.



We advance projects in collaboration with stakeholders in each region



An underutilized facility-turned-bar in Nozawa Onsen

NEWLOCAL Inc.'s Activities and Outcomes

NEWLOCAL Inc.'s Past and Ongoing Activities

Approach

As a partner to regional leaders, we create a cycle of people, capital, and expertise flowing into the region to accelerate the vision



Created Impact

We have established local community-building companies, Nozawa Onsen Kikaku and Oga Machi Kikaku, and believe that NEWLOCAL's unique co-creation model is beginning to show tangible results. In our first two years, large-scale fundraising and team building have progressed smoothly, laying the foundation for multi-regional expansion.

Community Development Businesses
Shaping a vision for the region

Businesses centered on real estate	Number of businesses (facilities) 5*	Business Growth Rate +89% from previous year**	Number of businesses 20,000***	
Create employment, relocation, and entrepreneurship opportunities	Total number of staff employed 24*	Number of relocations 4*	Diversity in employment Obuse, Taiwan, Canada, Hawaii, etc.	

1. Co-creation within and outside the region
Creating a mechanism for people to circulate within the region

Establish a company with regional leaders who share a vision	Nozawa Onsen Kikaku Kenji Kono, Ryotaro Yao, etc.	Oga Machi Kikaku Moro-san from Ine to Agave
Build a community of people connected to the region	Nozawa Onsen Ambassador Program 8 participants*	Local events inviting people from outside the area 5*

2. "Finance hacking"
Creating a mechanism for money to circulate within the region

Establish entry points (funding methods)	16 months since the founding of Nozawa Onsen Kikaku 320 million JPY	12 months since the founding of Oga Kikaku 220 million JPY	12 months since the founding of NEWLOCAL Inc. 110 million JPY

3. Collaboration with other regions
Creating a mechanism for regions to collaborate

Accumulation and sharing of knowledge	Number of regions visited 50+****	Number of purchases of paid "note" articles 240	School lectures 4

Selected achievements during Z&C affiliation period (2023 - present)
*Achievements between NEWLOCAL Inc.'s first year, 2022 - present (2024).
**Nozawa Onsen "GURUGURU" sales ***Achieved during first 16 months of Nozawa Onsen "GURUGURU" ****July 2022 - April 2024

Z&C's Activities and Outcomes

Background/Overview (July 2023 - as of May 2024)
Driven by an interest in jointly developing management methods and finance models to address regional challenges in an era of population decline, we made an investment in September 2023. We also aimed to co-create a pioneering example of "place-based impact investment," an investment approach aimed at entire regions rather than individual companies. Following the investment, we collaboratively developed a TOC, which has since guided hiring and branding, while we continued to provide ongoing support. Joint event appearances and media interviews are also held regularly.

Z&C's Past and Ongoing Activities

Input	Activity	Output
Investment due diligence	Clarify social impact and business concepts	TOC
Funding	Advise on recruitment strategy	Website improvement
Regular monthly meetings	Candidate referrals	Employee recruitment
Communication via messages (few times a week)	Advise on business strategy	Business growth
Visits to local region (3 times)	Advise on financial strategy	Capital strategy
Joint event appearances	Supporting PR	Media coverage
Referrals	Offsite retreat with zebra entrepreneurs	Connections with zebra entrepreneurs

Impact Created Through the Relationship with Z&C

1. Transformation of Founder's Mindset

Through interactions with other zebra company founders, such as at a Z&C-hosted retreat, CEO Ishida has experienced notable shifts in perspectives. His comments, "I can now position our company's existence beyond the context of our immediate business domain," and, "A sense of camaraderie as part of a 'dazzle' co-creating a large movement has blossomed," were particularly striking.

2. Transformation of Stakeholder Relationships

With the publication of the TOC created with Z&C and media exposure, the perception of NEWLOCAL Inc.'s business has changed, and they have been able to hire experienced employees who strongly resonate with the company's mission. Another characteristic of NEWLOCAL Inc. is that many of its stakeholders also closely resonate with the mission. Since Z&C invested, connections among stakeholders have grown, including the joint event held with Shizen Energy Inc.

3. Building a Foundation for Business and Growth

We have supported the business foundation from multiple angles, including:

- Advising on recruitment strategies for organizational development
- Guiding the establishment of capital relationships with group companies and partners
- Providing strategic advice on new business initiatives and regional expansion

*Excerpts from interviews and surveys conducted with CEO Ishida

Addressing Structural Challenges in Rural Areas of Developing Countries, with Z&C

Linklusion Ltd.

Hidenori Kuroyanagi CEO, Linklusion Ltd.

Linklusion Ltd. operates two businesses in Myanmar: B2B e-commerce for small-scale retail shops and a SaaS for microfinance institutions. The former provides logistics services in rural areas where it is difficult to deliver daily necessities. The strength of this business is its logistics network, built up over six years, which utilizes not only land routes but also waterways to reach villages where even mail does not arrive. The latter business provides a management and operational system to financial institutions that offer small loans to low-income individuals. The system reduces operational costs, enabling financial services to expand into rural areas where profitability is difficult. It also simplifies management, broadening the range of financial products and ensuring that financial services tailored to people's needs reach them.

Our relationship with Z&C began with the February 2021 military coup in Myanmar. We had been planning a Series A funding round that year, but it fell through. Until then, like a typical startup, we had aimed for accelerated growth through repeated fundraising. However, due to the coup, Myanmar was no longer a market where VCs could invest.

In a desperate situation where we would have to close the business within a year without funding, I consulted with Z&C's Suyama-san, who gave me words of encouragement: "This is a business that must be preserved. It can definitely work as an investment from a long-term perspective. The chances of fundraising are high." We then started fundraising together.

Typical startups follow a fairly predetermined growth process and timeline. Zebra companies, however, have diverse equations and solutions. They can chart their own long-term growth curve. **Both entrepreneurs and investors gain insights along the way, realizing, "This is another way to create value and achieve growth."** This is a defining characteristic of zebra companies. Currently, Linklusion Ltd. is supported by nearly 400 shareholders. With Z&C's support, we succeeded in raising approximately 220 million JPY in two funding rounds, and the number of our supporting investors has increased 30-fold. We are working together to implement these solutions in society, with both companies and investors proposing new values and approaches.

I believe that balancing social and economic value is a characteristic of zebras. I think of it as **"Social value is the goal, economic value is the necessary condition."** Without economic viability, a business cannot be sustained or expanded, and social value cannot be actualized. On the other hand, economic efficiency can be achieved even without social responsibility, or for other purposes. There is a spectrum among companies regarding how they position social responsibility, and there are various objectives and priorities.

Linklusion Ltd. is driven by a desire to "do something about the current state of rural areas." Of course, we also place great importance on leveraging technology to build platforms and networks, and creating mechanisms to transform economic structures. We believe this leads to structural solutions and enables us to generate sustainable impact. Moving forward, we aim to expand our business alongside Z&C to achieve reliable solutions to these challenges.

Linklusion Ltd. Company Profile



Mission

To create a new economic flow in developing countries and create a world inclusive of all people living in poverty.



Our Challenge

An estimated 3.4 billion people (about 45% of the world's population) live in rural areas of developing countries. 80% of those suffering from extreme poverty are concentrated not in urban areas, but in rural areas. In Myanmar, too, the economic structure makes it difficult for people in rural areas, often excluded from ecosystems and supply chains, to improve their incomes and livelihoods.



Business Overview

Headquartered in Myanmar, we operate a commerce business that sells and delivers food, beverages, daily necessities, and medicine to small-scale retail shops that support people's lives in rural areas, and a financial cloud service that provides management systems to microfinance institutions offering small loans to low-income groups.

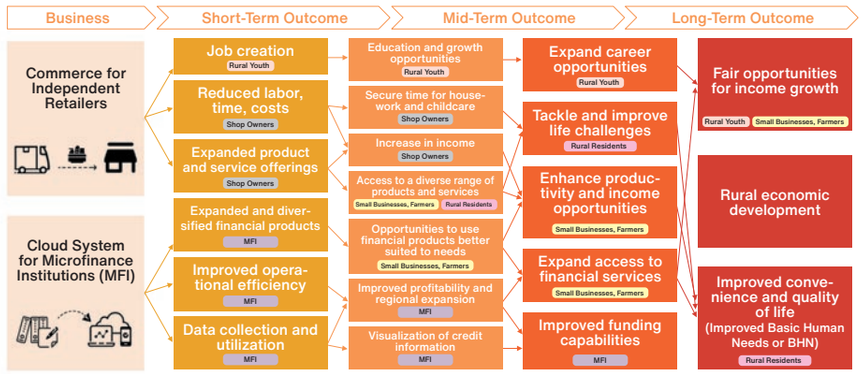
Linklusion Ltd.'s Activities and Outcomes

Created Impact

In Myanmar, where conditions have worsened since the 2021 coup, the service area of our commerce business has expanded by 2.2-fold, with sales increasing 5.7-fold. A key achievement was attracting a large number of shareholders to ensure business continuity. However, amid severely deteriorating social conditions and public safety concerns, complex decisions are required, such as balancing growth with prioritizing employee safety and sustainability of the business. As many foreign companies withdrew, values have shifted, placing greater emphasis on protecting jobs and safeguarding employees' lives and human rights.

New social development based on an economy utilizing small town cultural resources

Our Impact Model



By expanding our life infrastructure platform through a unique network of retail shops and financial services, we aim to provide a structural solution to the exclusion of rural communities in developing countries from various ecosystems.

Increase in Supporters

Increase in Supporters (Shareholders)
32.7-fold
Pre-Z&C investment 12 individuals → Currently 392 individuals/companies

[Quantitative Change in Supporters (Shareholders)]
The number of shareholders, primarily individual investors, has grown to nearly 400. Amidst myanmar's challenging circumstances, numerous small-scale investments made business continuity possible. Beyond economic viability, many resonated with our long-term story and vision, turning this into a venture where the aspirations of many individuals converge.

Business (Commerce)

Number of Villages Served
515
(2.2-fold increase from June 2021 to March 2024)

Annual Delivery Count
37,439
(2.8-fold increase from June 2021 to March 2024)

Product Sales Growth
5.7-fold
(Quarter-on-quarter from June 2021 to March 2024)

Employment

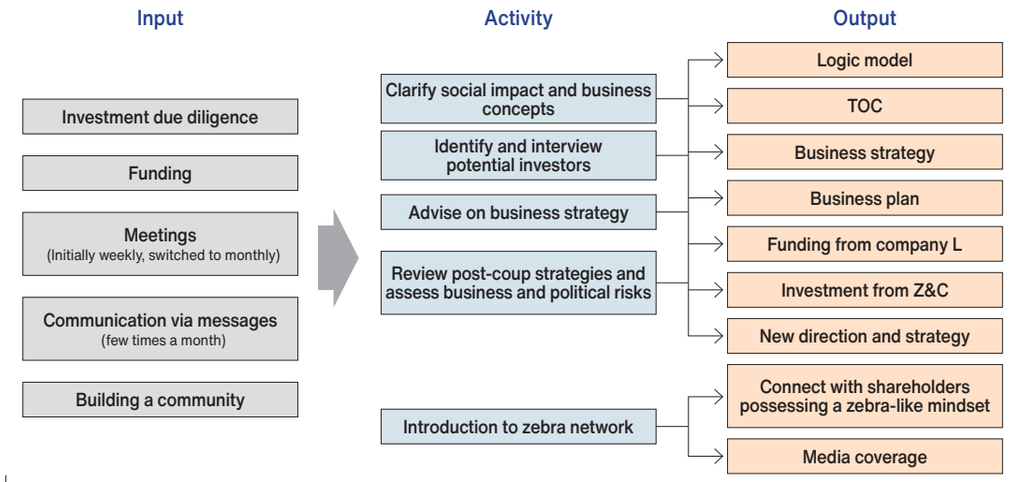
Number of Employees
109
(1.3-fold increase from June 2021 to March 2024)

In Myanmar, where severe political instability and economic deterioration persist, we are preserving and expanding employment in rural areas where job opportunities are extremely limited. 90% of employees are in their 20s and 60% are women.

Z&C's Activities and Outcomes

Overview/Background (September 2021 - as of May 2024)
The relationship began in February 2021, when Linklusion consulted Z&C's "Finance For Purpose (F4P)" service while considering a business withdrawal after the coup. Over seven months of support, we helped secure approximately 150 million JPY through a mix of angel investment, crowdfunding, loans, and grants. Leveraging Japan's strengths in system development to support enterprises expanding in the Global South, promote the resolution and visibility of social issues, and increase both zebra companies and their supporters aligns with Z&C's TOC. As this aligned with Z&C's own TOC. In line with this, we proceeded to invest after the completion of the F4P program.

Z&C's Past and Ongoing Activities



Impact Created Through the Relationship with Z&C

1. Building Confidence as a Founder

Through ongoing discussions and consultations, from fundraising to post-investment, Z&C and other shareholders supported Kuroyanagi-san's decision-making in difficult situations, helping him build confidence in the value of his business.

The fundraising process also brought in not only Kuroyanagi-san's personal connections but many shareholders who share the company's vision and goals, further reinforcing this confidence.

2. Business Resilience After Political Upheaval

Serving as a sounding board in monthly meetings, we supported key decisions that enabled scale expansion, strong sales growth, and improved profit margins in the challenging business of selling daily necessities in a developing country. These results were achieved through the use of technology and streamlined logistics operations.

Despite the high-risk nature of the Myanmar market, the company successfully completed its second post-coup funding round in 2024, establishing a solid financial foundation.

3. Transformation of Stakeholder Relationships

The strong resolve to "continue the business," and the ability to deliver on that resolve, transformed stakeholder relationships. With employees, trust has strengthened by ensuring stable employment and reducing mental stress during the coup. With shareholders, the Finance for Purpose process reshaped the investor based toward those with deeper empathy for the business.

*Excerpts from interviews and surveys conducted with CEO Kuroyanagi

Discovering a Sense of Touch with the World

Iwamiginzan Gungendo/ Iwamiginzan Lifestyle Tourism Research Institute

Tadashi Matsuba CEO, Iwamiginzan Gungendo Group Co. Ltd.

In Omori Town, Shimane Prefecture, home to the Iwamiginzan Silver Mine World Heritage site, Iwamiginzan Gungendo promotes a “livelihood with roots,” centered on clothing, food, housing, and beauty. We have also developed accommodation facilities using the town’s traditional houses and launched the “Iwamiginzan Walking Museum,” which transforms the entire townscape into a living museum. Through these initiatives, our work contributes to community-building and revitalizing the local economy.

In 2021, we collaborated with Z&C while undertaking the Ministry of Economy Trade and Industry’s “Introducing and Promoting Community-Based Businesses” grant. Until then, I thought investment and VCs were far removed from community-based companies that grow over time. Learning about financial approaches like the zebra model, built on long-term perspectives, close ties with people and society, and steady, sustainable growth, gave me a sense of affinity and hope.

Gungendo’s founder, Daikichi Matsuba, often said that the guiding principle for decision-making is “51% culture, 49% economy.” In other words, while “culture” takes priority, pursuing economic viability right up to its limits reflects a philosophy aligned with the zebra way of thinking. Our communication with everyone at Z&C felt very natural: shared understanding and alignment on vision came first, followed by detailed planning.

The METI project led to the launch of the “Iwami Ginzan Mirai [Future] Consortium,” which aims for “community integrated management” where all people, organizations, and companies involved in the town share common goals and future challenges. Working with Z&C not only launched these concrete projects, but also brought the major outcome of “discovering a sense of touch with the world.” Although we operate in rural Japan, knowing that the zebra concept, which originated in the US, is based on social impact and long-term growth made me feel instantly connected to the world.

Thanks to Z&C, we also now engage with public policy. The Japanese government announced its intention to promote zebra companies in the 2023 Basic Policies, and Gungendo was featured in the Small and Medium Enterprise Agency’s White Paper. What strikes me as unique about Z&C is its seamless flow: Tabuchi-san presents new financial approaches and methods, Suyama-san works with public administration to shape political context, and Azakami-san spreads these ideas throughout society.

I hope Z&C will continue to gain wider recognition. This year marks the start of public calls for policies to support zebra companies, an initiative Z&C has championed, and understanding of zebra companies in Japan is set to deepen. By sharing examples, experiences, and challenges that emerge from this work, we can inspire diverse players across the country. It would be wonderful if these efforts were eventually featured in textbooks, offering the next generation of children a broader sense of possibilities.

In recent years, environmental challenges and population decline have heightened awareness to the finite nature of social capital. Zebras recognize this finiteness and, based on that understanding, pursue activities aimed at “creating just the right conditions for us to live together as a community.” Since the internet revolution, people have immersed themselves in virtual worlds, yet awareness of the limits of physical existence has grown. Rather than rejecting this reality, zebras are at the forefront of seeking balance, accepting the present circumstances while guiding society toward a better path.

Iwamiginzan Gungendo/ Iwamiginzan Lifestyle Tourism Research Institute Company Profile



Gungendo, headquartered in Shimane prefecture’s Iwamiginzan

Corporate Philosophy

For the happiness and pride of everyone involved in this land, we will continue a beautiful cycle with “reviving the old to create the new” as our measure.

Our Challenge

The town of Omori, where Gungendo’s headquarters is located, experienced an economic boom after being registered as a World Heritage site, but over-tourism negatively affected the residents' lives. Now, as tourism declines, the town’s economy is weakening. As we reintroduce the concept of lifestyle tourism to increase visitors, the existing model risks compromising residents’ quality of life and obscuring the region’s inherent appeal. We aim to create a new, sustainable, and independent regional economy that does not depend solely on the number of tourists.

Business Overview

We operate the lifestyle brand “Iwamiginzan Gungendo,” which handles all aspects of clothing, food, housing, and beauty. We have also launched a subsidiary, the Iwamiginzan Lifestyle Tourism Research Institute, and under the concept of “lifestyle tourism,” we are also engaged in new town-building initiatives in collaboration with the government and other companies.



Gungendo’s headquarters building, a relocated, 270-year old thatched-roof structure



New store in collaboration with Shimane prefecture: Iwamiginzan Gungendo, “Kurashi no tabi e [embarking on a journey of living]”

Iwamiginzan Gungendo/Iwamiginzan Lifestyle Tourism Research Institute's

Activities and Outcomes

Our Past and Ongoing Activities

Supporters Outside the Region

Outcome

- Creating social impact based on shared values for Omori Town's future
- Other Regions: Impact: Encourage people to relocate to Omori-cho, involvement with the town by splitting their time between Omori and another location, and spread awareness about the town
- Tourists: Shared Values: Drawing on community-integrated management, contribute to building a sustainable local community ourselves and collaborate with others
- Funders: Shared Values: Investing in a new way of social living. Preserving innovative lifestyles for future generations. Becoming involved citizens in a zebra community.

External Society

Cycle of engagement and relationships between local and external communities

Outcome

- New social development based on an economy utilizing small town cultural resources
- Community-integrated management platform

Local Businesses (Residents, new residents, returning residents)

Outcome	Enhance sustainability, create community capacity, build independent governance foundations	Foster and expand local-minded talent	Ensure safety	Promote public interest	Local Community
Output	Increase revenue, eliminating imbalances	Build local talent	Improve environment	Establish shared community goals	
Action	Regional ticket system; Utilize regional social and cultural community spaces; Albergo Diffuso Business	Education	Disaster prevention	Alignment with local, regional, national stake-holders	

Created Impact

To attract new visitors to Omori Town and eventually encourage relocation or engagement as "connected residents," activities are proceeding in three steps: 1) building the town's foundation, 2) creating town-based experiences, and 3) developing new ways of community living. In 2021, a consortium was established to support these activities, and foundational initiatives such as designing the town's movement lanes and infrastructure have been put in place. Going forward, we expect a variety of new activities to emerge and take shape.

[Step3] Developing new ways of community living (education)

- Approx. 20 site visits per year from town-planning stakeholders and government officials
- Lectures at universities and community development events
- Coaching for Japan Tourism Agency's "Historic Town Development Project" (supporting local management)

[Step 2] Creating town-based experiences

- Expansion of Albergo Diffuso initiative: 4 additional accommodations using vacant houses
- Hosting nursery school "study abroad" programs
- Attracting corporations: 3 companies invited to establish satellite offices

[Step 1] Building the town's foundation through the consortium

- Incorporation of Iwamiginzan Mirai Consortium (increase active participants from other organizations)
- Members initiative fostered through transactions with government and other organizations
- Study sessions to align perspectives on community development
- Movement lane design: one main entrance to encourage walking through streets
- Pilot implementation for regional ticket system
- Build relationships with a range of stakeholders beyond apparel industry, e.g. finance and government
- Shared recognition that revenue is reinvested into town's future (a positive attitude towards earning)

Z&C's Activities and Outcomes

Overview

The relationship began in August 2021, when Gungendo was selected for METI's Introducing and Promoting Community-Based Businesses grant. We collaborated on designing social and economic outcomes for the model and creating hypotheses for fundraising methods and investor profiles. A regional business model and a "thoughtful financial plan" (Finance For Purpose) were developed. Although the project has ended, we have continued a positive relationship through study sessions and Z&C member visits to Oomori Town.

Z&C's Past and Ongoing Activities

Input	Activity	Output
Regular meetings Communication via messages Approaches to impact investing Approaches to town business strategy development In-person visits (twice*) Participation in METI reporting sessions Referrals	Design social and economic outcomes	Business plan TOC
	Fundraising hypotheses using "Finance for Purpose (F4P)	Clarify profiles of funders Connecting with potential funders
	Build a community	Connecting with zebra entrepreneurs Media coverage

*1 on-site discussion, 1 study session with town officials

Impact Created Through the Relationship with Z&C

1. Change in Thinking about Town Management

Gungendo long operated with the principle of "51% culture, 49% economy," yet tended to separate ideals from business when managing the town, where people from the outside (and thus with different cultures and values) were involved. Discussions with Z&C and potential investors allowed them to see that town management and stakeholder relationships could be approached like Gungendo's business, growing a circle of allies and gaining support for value-driven initiatives.

The words, "In any industry, it is possible to shape society and the future, and by continuing to act on our ideals, we can grow our community ('dazzle')," left a strong impression.

2. Transformation of Stakeholder Relationships

Existing relationships and new connections are evolving.

Joint planning broadened the stakeholder concept, with banks and local governments engaging more proactively. As the zebra company concept spreads, Gungendo, once mainly valued as cultural work in apparel and tourism, is now recognized as a model of culture-based management.

New ties include greater government participation, such as the Small and Medium Enterprise Agency's local zebra ecosystem pilot program, opening the possibility for local practices to influence Japan nationally.

3. Building a Foundation for the Business and Growth

In developing a new tourism model while addressing overtourism, priorities were clarified through a three-step growth plan, allowing steady progress.

Some elements are already actualized: establishing a general incorporated association, expanding Albergo Diffuso (dispersed accommodation and dining model), implementing eco-friendly mobility to improve visitor access while protecting the town and nature, and enhancing education to support long-term community building.

*Excerpts from interviews and surveys conducted with CEO Matsuba

Fears about Money Fade, and Ideas for Monetization Expand

Black Star Label (EXIT FILM)

Yasuhiro Tamura Representative Director, NPO Black Star Label/CEO, EXIT FILM Inc.

Black Star Label (EXIT FILM Inc.) produces films that convey the visions and aspirations of those directly affected by social and corporate issues, aiming to inspire personal behavioral change and ultimately contribute to broader societal transformation. Through repeated dialogue with clients and stakeholders, we extract the key stories and manage the entire production process, from planning to filming, and editing. We also design content beyond media, including community revitalization and education programs rooted in film.

Z&C's involvement has primarily been through Azakami-san, who has been providing management support and helping build relationships with media while focusing on sustainable business practices grounded in social value. In August 2023, Z&C supported the concept creation for our nonprofit Black Star Label, which produces films that turn public indifference toward social issues into interest through the power of film and art. Azakami-san also joined as a board member.

A concrete result of this support was Black Star Label's first film, "Dance with the Issue: Our Dialogue with Electricity," which addresses energy-related challenges. The project created a new viewing experience by combining the main screening with a post-screening reflective session, encouraging a deeper understanding and dialogue among viewers. The film featured Yuji Ishibashi of Tokyo Electric Power Company Holdings, Inc., and Shuta Mano of UPDATER, Inc. (Minna Denryoku), representing distinct perspectives in the industry. Their participation sparked dialogue between the two companies, hinting at potential collaboration to address challenges in the energy sector.

These outcomes, fostering dialogue among stakeholders with differing viewpoints, involving participants beyond the film industry in the production process, delivering a novel viewing experience, and receiving significant media attention, were made possible by Z&C's support. Moving forward, we aim to integrate economic sustainability into its model.

Exposure to finance and investment through Z&C also **changed my perception of money**. Until recently, I viewed socially meaningful activities as voluntary or CSR-focused and considered creative work something done "for passion, not profit." Learning about the zebra model, which **emphasizes earning and spending money to sustain socially valuable activities**, reduced my fear of money. Now, my ideas for monetization are expanding, such as using the corporate hometown tax donation system fund production while involving donors in the filmmaking process.

The film industry still largely relies on traditional business models of box office revenue, streaming rights, and IP, and many professionals are not finance-savvy. By spreading zebra principles and teaching effective financial management, new models for using film to address corporate and social challenges can emerge. I look forward to Z&C continuing their efforts to communicate these ideas in ways that are accessible even to those far from the financial world, just like our team.

Black Star Label (EXIT FILM) Company Profile



The film, "Dance with the Issue: Our Dialogue with Electricity"

Shared Values: Drawing on community-integrated management, contribute to building a sustainable local community ourselves and collaborate with others

Vision

"Art With Neighbors"

To create a world where art and entertainment act as neighbors, allowing people to naturally take an interest in the state of society and gently take action.

Our Challenge

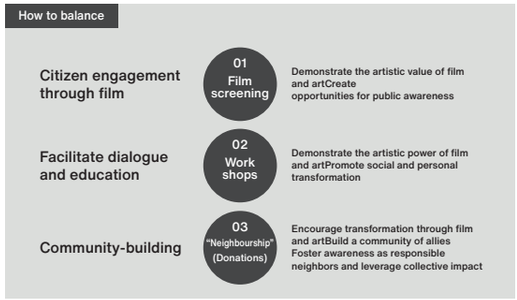
As the number of complex social issues increase, we aim to leverage the unique characteristics of film, especially works with strong artistic and entertainment value, to raise awareness of these challenges. Simultaneously, we seek to create opportunities for dialogue across divides through art, supporting people in confronting and addressing these issues.

Business Overview

We create opportunities for citizen engagement through films on social issues, facilitate dialogue and education through workshops, and build a community centered on supporters of Black Star Label's mission.



Black Star Label's Business Activities



We aim to balance social impact with economic viability, to ensure sustainability

Black Star Label's Activities and Outcomes

Our Past and Ongoing Activities

In October 2023, we produced the film "Dance with the Issue: Our Dialogue with Electricity," which explores the energy crisis.

The film was created with the aim of exploring new possibilities for cinema, aiming to "update the way we connect." It is an experimental work, structured in three parts: a documentary segment where experts from various fields discuss complex social challenge of energy shortages, a dance segment that reflects on complex problems with no clear answers, and a reflection segment that invites the audience to look inward. By bringing this film to communities across Japan, we hope to create space for meaning dialogue within everyday life.



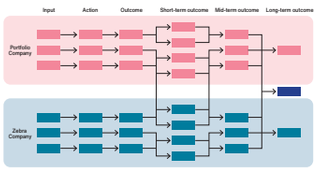
Created Impact

Film Reception

Number of Viewers	Media Coverage	Independent screenings and collaboration inquiries
Approx. 2,000	19 (117 including reprints)	50+

Impact on Audience

Shift in perception regarding energy issues



Opportunities for art-driven approaches to social challenges

Through art, I could intuitively perceive the "human element" embedded in the social structures surrounding electricity, allowing me to reach a state where I can confront energy issues that we tend to be unconsciously accepted or asserted.

By not putting everything into explicit words, it became possible to share the same space, listen openly to the candid experiences of those at the heart of the industry, and still feel no pressure to take sides. This highlighted the unique potential of art.

I was struck by how effectively such a method can communicate complex issues.

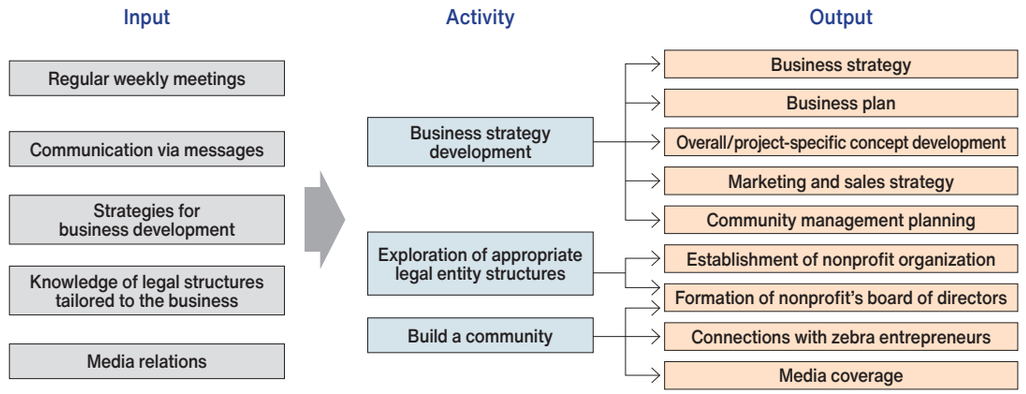
The film screened at four theaters in Shimokitazawa, Maebashi, Kichijoji, and Kyoto, and nearly every showing in Tokyo was sold out. Many audience members expressed their interest in hosting their own screenings or collaborating on related projects. The media response was also significant, indicating strong interest in this new approach.

According to audience surveys, over 90% of reported an increased awareness of energy issues (Figure 1). Among those who said their perspective or consciousness about energy had changed, approximately 30% cited the dance segment as the most influential factor (Figure 2). Nearly 90% of all responders also reported an increased interest in using art as a way to raise awareness and address social issues (Figure 3). These results suggest a promising potential for art-driven approaches to social challenges.

Z&C's Activities and Outcomes

Overview (May 2022 - as of May 2024)
The relationship began when EXIT FILM Inc. CEO Tamura consulted us on how to structure a new business model for his film. In response, we supported the establishment of NPO Black Star Label, enabling supporters to join through donations and pro bono work. We also supported board member recruitment, collaborator engagement, and promotional concept development. Z&C's Azakami also serves as a director and continues to work closely with the organization.

Z&C's Past and Ongoing Activities



What Was Created Through the Relationship with Z&C

Tamura-san had long produced many works through his production company, EXIT FILM Inc., but they had not developed into sustainable businesses. With "Dance with the Issue," he began exploring how a film itself could become the core of a business. This led to a new nonprofit-based model with three revenue streams: independent screenings outside traditional theaters, workshops, and donations. As a result, Tamura-san's perspective on money and relationships have changed, and he is now moving forward with renewed confidence.

1. A Creative Business Model Balancing Social Impact and Economic Sustainability

"I feel every day that some things can only be understood through practice. **Even without natural strengths in management or system-building, experiencing it firsthand makes it clearer.**"

"We are creating a new model, and I believe that if it succeeds, it can change society. But we are still in transition, and I feel responsible to see it through."

2. Shifts in Perspectives on Money and Human Relationships

"My values around money have changed. **I once understood co-creation, but now I am beginning to grasp co-prosperity**. Rather than bringing creativity into companies, **I now think bringing financial knowledge into the realms of creativity and design could benefit Japan.**"

"Learning about the zebra worldview of earning and using money to sustain socially meaningful work has removed my fear of money and the discomfort I once felt about receiving support from others. **I can now imagine a future where people truly committed to what we want to create devote their resources to it.**"

*Excerpts from interviews and surveys conducted with Mr. Tamura

The Emergence of a Community Where Female Entrepreneurs Can Engage in Their Work with a Sense of Security

madame FIGARO japon - Business with Attitude

Toshiko Fujimoto BWA Executive Director, madame FIGARO japon

Launched in November 2021, madame FIGARO japon's Business with Attitude (BWA) carries the magazine's long-held value of "cherishing richness and beauty in everyday life in one's own way" into the world of work and business. BWA offers a variety of content, including awards and pitch contests for female entrepreneurs, and seminars that provide inspiration for creating fulfilling and beautiful ways of working.

Our encounter with Z&C came during BWA's launch phase. We consulted with Azakami-san on how madame FIGARO japon, a fashion and lifestyle magazine, could best expand into business-related initiatives. Initially, we held biweekly online meetings where he offered input on concept development, trends in the business world, and introductions to women entrepreneurs. Thanks to his support, three years after its founding, BWA now connects with around 70 female entrepreneurs, and a total of approximately 2,800 people have participated in our seminars.

Beyond numbers, the impact of this support has been significant. One example is the change brought about by creating a TOC that visualized BWA's future. **For activities like ours, it is difficult from the outset to set numerical targets or forecast expected revenue**. However, **through the TOC, we were able to clarify the logic behind expanding our activities and connecting them to social significance**. This helped draw out stronger commitment from members and has also led to support from other departments within our company.

Another change was in my own mindset. **I learned to value my own feelings and thoughts.** At the start, lacking experience in entrepreneurship or business, I feared making mistakes and refrained from speaking up unless I could explain my intuitive concerns logically. But when Azakami-san encouraged me to "share what you're thinking," I began to voice my discomforts and difficulties. That, in turn, led to new ideas and the discovery of colleagues willing to help. I learned that leadership can also mean revealing one's vulnerabilities and struggles.

The zebra way of thinking overturns fixed notions like "startups must pursue rapid growth" or "leaders must never show weakness." Instead, it affirms more personal, authentic ways of building and managing a business. This is precisely the perspective that BWA and madame FIGARO japon value, and one that addresses the real concerns of female entrepreneurs, many of whom start businesses to tackle challenges close to their own lives, without feeling the need to grow their ventures on a large scale. **Zebra thinking affirms these "startups tailored to their means," a type of entrepreneurship that existing frameworks struggled to accommodate**.

In fact, some entrepreneurs who participated in BWA's pitch contest told us that "BWA's contests feel safe because you aren't judged harshly or compared excessively." For entrepreneurs, feeling a sense of security and well-being is essential to sustaining socially meaningful businesses. If a "new model of entrepreneurship" that respects not only economic factors but also mental and physical well-being, values, and attitude continues to spread, entrepreneurship will become much more accessible for women.

Together with Z&C, we hope to draw on our experience with a broad female readership to present zebra principles in a form that is both accessible and relatable.

madame FIGARO japon Business with Attitude Project Profile



Business with Attitude (BWA), a project aimed at creating a society where women can thrive

Concept

Business with Attitude

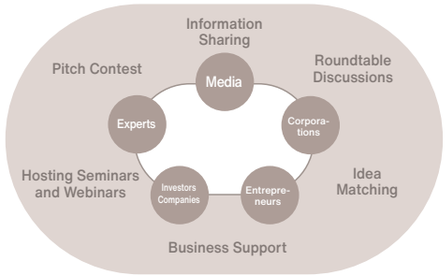
We support women who work with their own unique sense of beauty and meaning, guided by an Art de Vivre (the art of living), with the hope of creating a better society. Our goal is a world where everyone can enjoy a happy and fulfilling life.

Our Challenge

Free from the constraints of "right answers" or rigid expectations of how things ought to be, we seek to promote a new standard of our time: ways of working and living that remain true to each person's aesthetics and values.

Business Overview

Our activities include an award that recognizes next-generation role models of the year, a pitch contest that invites ideas to address social issues, online seminars featuring guest speakers, and the management of a community born through these initiatives.



BWA's Key Activities

Business with Attitude's Activities and Outcomes

Our Past and Ongoing Activities

We facilitate connections with diverse contemporary role models, allowing their values and mindsets to be shared.

OUR ACTION

We facilitate connections with diverse contemporary role models, allowing their values and mindsets to be shared.

Connect



BWA Website, Social Media

Featuring not only BWA's activities but also a wide range of products, services, companies, and initiatives addressing social issues.

Reference
https://madamefigaro.jp/society-business/business-with-attitude/

Celebrate



BWA Award

Recognizing next-generation role models who will excel that year

When: End of November

Reference
https://madamefigaro.jp/society-business/business-with-attitude/award/

Pitch Contest

Pitch contest for ideas, big and small, aimed addressing social issues

When: July

Reference
https://madamefigaro.jp/society-business/220520-bwa-pitchcontest-index.html

Learn



BWA Seminar

We invite women who can serve as next-generation role models and hold monthly online seminars.

When: Monthly
Average number of participants: 100-200
BWA members: 2500 (as of 2024)

Reference
https://madamefigaro.jp/society-business/business-with-attitude/workshop/

Coming Together



BWA Community

A closed community of around 70 members, mainly comprised of award winners and pitch contest participants.

What We Do
1) Events (4 times/year)
When: Aug, Oct, Dec, March
2) Closed social media community (all-year round)
BWA Community members: 100 (as of 2024)

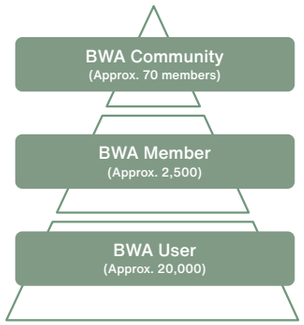
Reference: Confidential

Created Impact

From the roughly 20,000 followers of our official social media channels to around 2,500 seminar and pitch contest participants, and up to 70 "game changers" including BWA award winners, pitch finalists, and seminar speakers, we have cultivated a vibrant, high-quality community of women committed to well-being and embracing new values.

OUR COMMUNITY

A community of women committed to well-being and embracing new values.



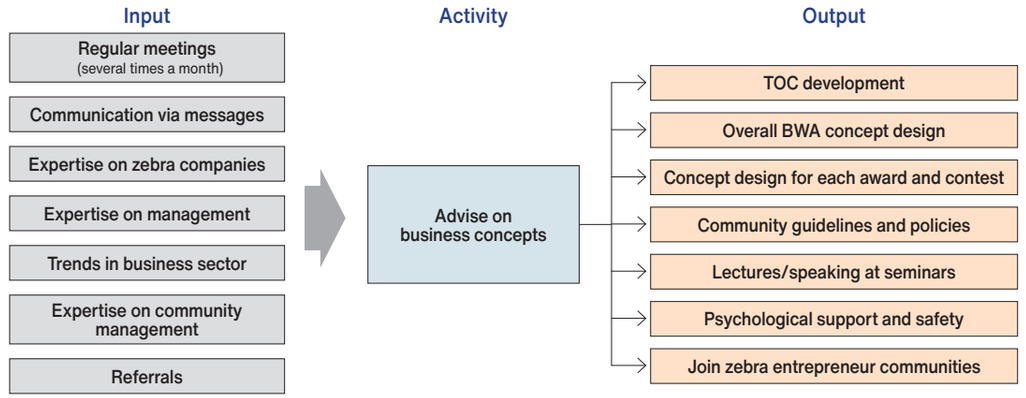
	Overview	OUR ACTION
BWA Community (Approx. 70 members)	BWA Award winners, pitch finalists, and seminar speakers, serving as socially recognized KOLs and game changers of a new era	BWA Award (Ceremony) Community Social Media (Closed group) Community Event (Closed event)
BWA Member (Approx. 2,500)	Women who, through monthly BWA seminars and pitch contest applications, not only demonstrate strong interest in social issues but also resonate with new values and are already taking action themselves.	BWA PITCH CONTEST BWA Seminar
BWA User (Approx. 20,000)	Women who are highly conscious of social issues and incorporate new values into their own consumer behavior. Visitors of the BWA website and official social media accounts.	BWA Website Official Social Media Accounts

Enables contact with emerging opinion leaders, game changers, active changemakers, and socially conscious, engaged followers with a strong interest in social challenges.

Z&C's Activities and Outcomes

Overview (May 2022 - as of May 2024)
The relationship began when EXIT FILM Inc. CEO Tamura consulted us on how to structure a new business model for his film. In response, we supported the establishment of NPO Black Star Label, enabling supporters to join through donations and pro bono work. We also supported board member recruitment, collaborator engagement, and promotional concept development. Z&C's Azakami also serves as a director and continues to work closely with the organization.

Z&C's Past and Ongoing Activities



What Was Created Through the Relationship with Z&C

1. Authentic Approaches to Leadership

When we first met Fujimoto-san, she admitted: "I can't fully understand how entrepreneurs feel. I once followed my company's lead, but now I'm expected that I build my own career, and I'm unsure how." These concerns reflected many women's experiences. By shaping them into projects, we supported her growth into a community leader.

Fujimoto-san: "The zebra philosophy affirms entrepreneurship true to the individual. **I have learned to share my vision and sensibilities, and now make a point of doing so."**

2. madame FIGARO japon's "Art of Living" Concept

BWA, launched by madame FIGARO japon, felt that fashion and lifestyle alone no longer conveyed the modern "Art de vivre" (aesthetics of living). The project also sought to explore new ways of working. The editorial staff felt distant from entrepreneurship at first and struggled to build relationships with women in the space. After months of dialogue, they arrived at the current concept.

Fujimoto-san: "By creating a TOC unique to BWA, sharing the vision, and expressing our own thoughts, **team relationships grew stronger**. Expressing what we each think and feel has built deeper understanding and **a healthier work environment**."

3. A Community for Women Entrepreneurs to Support and Empower Each Other

BWA award and pitch winners are not stereotypical "macho" business leaders but gentle and flexible individuals. We continue refining ways to help them connect.
Fujimoto-san: "I once focused on scale and revenue, but **now I consider the impact on people and the environment. We can take on challenges beyond simply 'making money.'" "Entrepreneurs often say, 'I feel at ease at BWA's contest because we are not judged or overly compared.'** For founders, that sense of security and well-being is essential to sustaining socially good businesses."

*Excerpts from interviews and surveys conducted with BWA Executive Director Fujimoto-san

Creating New Fundraising Options for the Region as a Partner

Sunaba (Shiojiri City Promotion Public Corporation)

Daisuke Saigusa Senior Manager, Shiojiri City Promotion Public Corporation

Sunaba is a civic innovation hub operated by Shiojiri City in Nagano Prefecture. With the goal of nurturing civic innovators who will shape the region's future, and of creating businesses and projects that address regional and social issues, Sunaba builds community, runs programs, and hosts events. Since its launch in August 2018, it has grown to over 270 members.

In supporting local entrepreneurs, we became increasingly aware of the lack of funding options in the region. Unlike cities, there are few venture capital firms or angel investors; the choices are largely limited to loans from regional banks or crowdfunding. However, businesses pursuing social impact, especially those not yet in a stable growth phase, often struggle to qualify for loans, and crowdfunding is also difficult to sustain considering running costs. As a result, many companies avoid "backcasting" approaches that raise funds first and then build the businesses, and **instead rely on reinvesting modest revenue. This cycle left many enterprises overextended**. We began to wonder whether it was possible to create a local framework for impact investment that would enable these businesses to raise funds in a healthier way and scale their activities.

When I consulted an acquaintance about this, I was introduced to Z&C's Suyama-san. He resonated deeply with our concerns and provided valuable input to Sunaba members and local entrepreneurs on building businesses through backcasting and visualizing social impact using a TOC. Based on this collaboration, in July 2022 Shiojiri City and Z&C launched a joint pilot project on the local implementation of social impact investment. In the first year, five entrepreneurs affiliated with Sunaba received support in impact measurement, business and financial planning, and investor matching

The following year, we systematized the support methods into a local impact investment program called "DIVE." The six-month program ran alongside ten entrepreneurs. The biggest impact was introducing the mindset that **"investment is not only about money, it is a gateway to building relationships with diverse stakeholders, forming cooperative frameworks, and accelerating business growth."** Some entrepreneurs have already applied these learnings successfully, **such as one who raised 10 million yen and established a limited liability company.**

Sunaba itself also learned a great deal through this process. From Suayam-san's example, we gained insights into supporting entrepreneurs beyond the startup phase, especially in organization building and monetization. Our networks expanded to include investors interested in community entrepreneurship, fellow local actors, and government representatives. Learning that national and local governments are now promoting impact investment and the creation of zebra companies helped us gain confidence that the value we had been providing locally is also recognized at the border societal level.

For Sunaba, Z&C's role felt less like a "consultant" and more like a true partner walking alongside us. At the center of their support was always the articulations and refinement of what Sunaba wanted to do, rather than imposing ready-made solutions. This collaborative approach was both empowering and reassuring. Looking ahead, we hope to explore not only further support programs but also new initiatives with Z&C, such as building a local fundraising ecosystem or even developing Sunaba itself into a community-based impact fund. By systematizing new financing models for regional entrepreneurs, we aspire to extend these practices to other regions facing similar challenges.

Sunaba (Shiojiri City Promotion Public Corporation) Company Profile



Shiojiri Civic Innovation Hub, "Sunaba"

Vision

"Creating the town
we want to live in, together."

We aim to increase the number of civic innovators, people who take initiative to solve challenges and fulfill aspirations with their own hands.

Our Challenge

As population decline accelerates, it has become clear that government-led approaches alone are not enough to resolve regional issues. For communities to thrive sustainably, diverse stakeholders must participate and co-create the region's future. To that end, we focus on developing people, developing businesses, and creating spaces for collaboration.

Business Overview

We built a membership-based community of over 270 people, operate a co-working space, and run acceleration programs for entrepreneurship training. We also implement new business development programs in partnership with companies and organize labs that spark movements and new ideas.



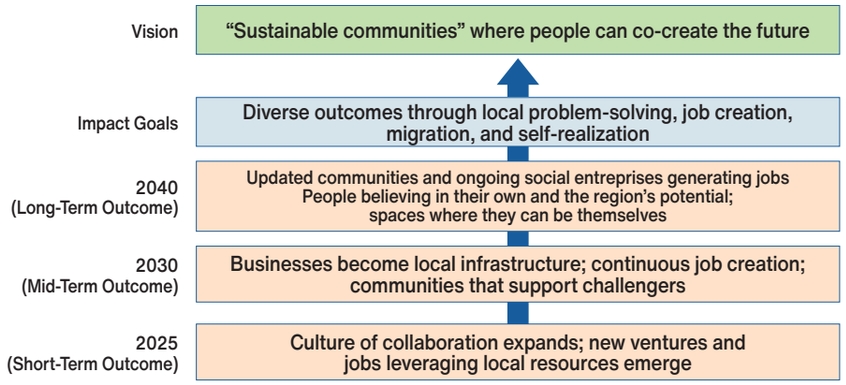


Sunaba's membership attracts highly passionate members

Sunaba's Activities and Outcomes

Our Past and Ongoing Activities

Vision	Creating a town we want to live in, together
Mission	Develop people, create businesses, build spaces
Values Driving Civic Innovation	Encourage creation, pursue excitement, embrace diversity, exchange value through Give & Get, Build open and flat relationships



Created Impact

Sunaba's greatest strength lies in its passionate community. Each year, more members are joining, drawn by the warmth and appeal of Shiojiri and Sunaba, which has also led to an increase in its "connected population," such as through migration. In the regional impact investment program, DIVE, run in collaboration with Z&C, the final showcase and dialogue event now attracts many Sunaba fans from outside the region.

Quantitative Outcome

- Sunaba Members: 1.4 increase (85 in 2021 to 119 in 2023)
- New businesses created: 35
- Total participants in entrepreneurship program: 70+
- New residents and those who split time between Shiojiri and another city: 50+

Qualitative Outcome

Creation of businesses oriented toward community impact

- HYAKUSHO.inc.: Abandoned farmland acquisition, promotion of Shiojiri wine (AIMANI)
- NPO MEGURU: Human-capital management for local SMEs (regional HR department)
- magmag Inc.: Stay-based tourism, design and market expansion for Kiso lacquerware
- Individual Businesses: Daimon Marche, Artist-in-Residence programs, Mimiy Shouten (revitalizating shopping streets)

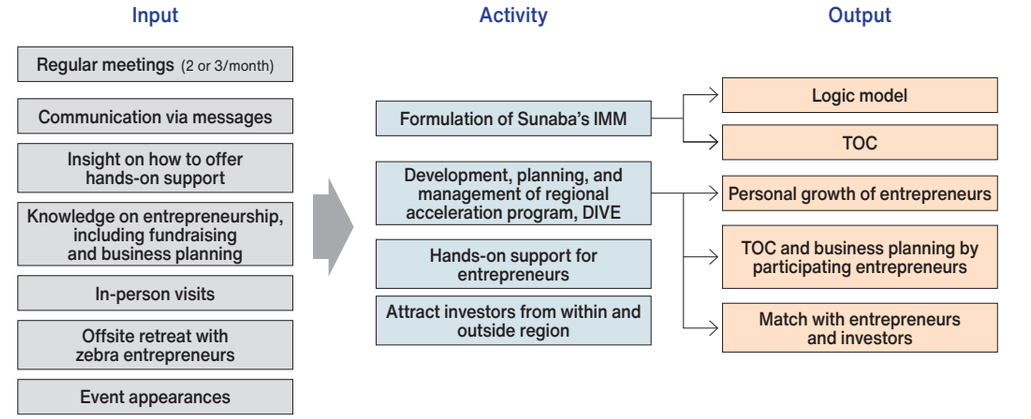
*Excerpts of achievements during Z&C's period of involvement (2021-present)

Z&C's Activities and Outcomes

Overview (April 2022 - as of May 2024)

In Sunaba's regional entrepreneur development program, the team had been able to gather people to start projects, but were exploring ways to provide ongoing support beyond their current trajectory, including fundraising. Through an introduction, Z&C and Sunaba began a dialogue, which led to the launch of the current project. The support involves jointly running an acceleration program for social entrepreneurs in and around Shiojiri.

Z&C's Past and Current Activities



What Was Created Through the Relationship with Z&C

1. A Model for Supporting Local Zebra Entrepreneurs

Through dialogue with Z&C and observing the Zebras movement, Sunaba members have shifted their perspective from a local focus to one more aware of broader social impact.

As Saigusa-san noted, "**By engaging with more people and companies through Z&C, we were able to realize that the various measures we have been taking are praiseworthy even on a general societal level, which gave us tremendous confidence,**" the Sunaba team feels a sense of validation that their efforts are recognized by society, which has boosted their motivation.

2. Potential of Regional Impact Investment

The DIVE program was established to guide participating entrepreneurs from creating a TOC to developing a full business plan and presenting it to an audience of investors. With this foundation, subsequent years could focus on refining the program, deepening regional impact investment, and developing funding mechanisms. A key insight from this process is the potential of "supporting (investment) as a group."

While Sunaba could act as a GP to pool regional funds, the hypothesis is that regional impact investment is best realized when local business with capital and external impact investors come together to provide diverse forms of support, including funding and transactions.

*Excerpts from interviews/surveys conducted with Mr. Saegusa from Shiojiri City Promotion Public Corporation

Enriching Organizational Culture Through Purpose-Driven M&A

Eiji Press, Inc.

Tatsunari Takano CEO, Eiji Press, Inc.

英治出版

Eiji Press, Inc. is a company with the purpose: “Publishing for Change: Empowering the future of individuals, organizations, and society by making valuable ideas accessible to all.” We publish a range of books, including business and social issues titles. Our organizational culture emphasizes autonomy and dialogue among members, as exemplified by our publication of *Reinventing Organizations*.

On February 29, 2024, Eiji Press, Inc. transferred its shares to enter the group of KAYAC Inc. At that time, to ensure that our cherished purpose and organizational culture would be protected, we carried out what was likely the first M&A scheme of its kind in Japan. This involved granting a single “golden share” (a class share with veto rights over changes to the company name and purpose) to the “*Eiji Shuppan Wo Tsunagu Kai,*” a general incorporated association composed solely of our employees, while transferring all remaining shares to KAYAC. Z&C worked alongside us from the initial stages of this project.

A major part of their concrete support was first providing input on various business succession case studies from around the world. Learning about cases like Patagonia’s stock transfer to an environmental nonprofit and the “Exit to Community” approach of transferring ownership to stakeholders allowed us to think more flexibly. The idea of using a golden share in our M&A also emerged from this.

In regular meetings, Z&C repeatedly asked, **“What is most important to Eiji Press?” This questioning helped us shape a succession process that embodied our organizational culture of team member participation**. With their advice, we created opportunities for every member’s voice and feelings to be heard and redesigned our internal communications accordingly. Z&C also joined us and KAYAC in working through the final details of the share transfer agreement and the approach to our public announcement. As a result, our story received far more media attention than we had anticipated.

What struck us most throughout the process was **how the Z&C team valued “human connection.”** Of course, their logical structuring and information provision were of the highest level, but they also listened to our unarticulated concerns and uncertainties. That allowed me to open up not just as a CEO but as an individual.

For Eiji Press, this M&A process became a form for organizational development. Decisions around management structures and shareholder changes can, in theory, be confined to the executive level. But thinking about the company’s future after the transfer, we knew it was better for everyone to move forward with shared conviction. It took time, but continued dialogue allowed members to see the M&A positively. Proof of this was the “organizational wedding” we held after the agreement was finalized, a ceremony to celebrate our new future together with KAYAC, an idea spontaneously proposed by our members. **The heightened interest among members in the company’s direction has, without doubt, enriched our organizational culture.**

I believe Eiji Press’ case can serve as a hint for companies grappling with succession, much like the Patagonia example inspired us. If more companies can choose buyers with their purpose and intended impact in mind, pursuing what is sometimes called a “responsible exit,” it would be a positive development for society. Beyond this case, we also hope that Z&C will continue to codify and share knowledge on management and succession of zebra companies so that these practices can spread more widely.

Eiji Press, Inc. Company Profile



Purpose

Publishing for Change

Empowering the future of individuals, organizations, and society by making valuable ideas accessible to all.

Our Challenge (What We Value)

We began our business by viewing publishing as “a job to support authors.” We believe the essence of publishing is to create books and influence society to support the dreams of authors who want to bring about positive change in the world. In addition, none of our books are ever out of print in principle; we strive to create works that are not fleeting trends, but books that will be read for many years to come.

Business Overview

We publish a wide variety of books, mainly books about business and society. We also operate a meeting (event) space for hosting events and workshops, as well as a membership-based community space where people who share Eiji Press’ values can get together.



We publish a wide variety of books, mainly books about business and society

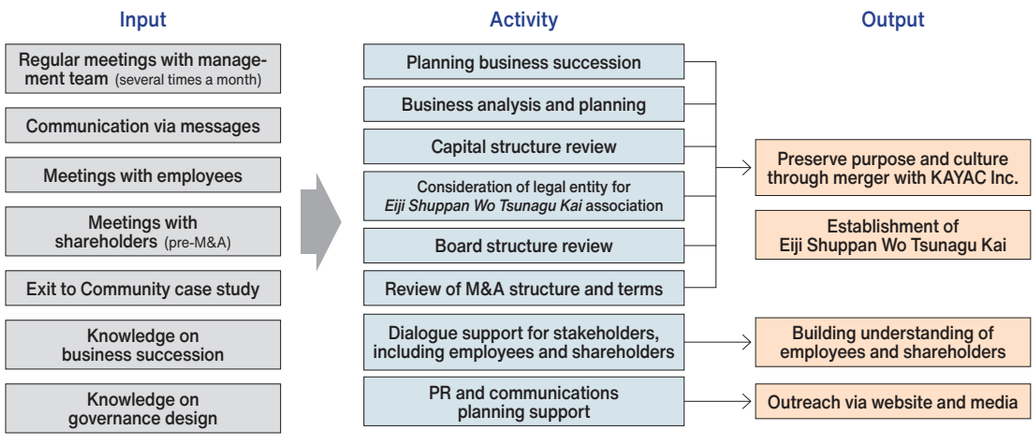


We also operate a membership-based community space, “EIJI PRESS Base”

Z&C's Activities and Outcomes

Overview (November 2022 - as of May 2024)
Regarding the business succession of Eiji Press, Inc., announced in February 2024, Z&C supported the process over the course of about a year and a half through dialogue and system design. Our role focused on ensuring a smooth transfer of the business and shares while safeguarding the company's purpose and organizational culture. As part of this, we developed a scheme that introduced a "golden share" with veto rights, a mechanism to help preserve the **company's mi**ssion and culture throughout the stock transfer.

Z&C's Past and Current Activities



Created Impact/Outcome

This process involved proactively disclosing information to and engaging in dialogue with employees, which served as an opportunity to reaffirm Eiji Press' focus on all-hands participation in management. We also received positive comments from existing shareholders, and by carefully designing the information release for the business succession, the matter was covered by more media outlets than expected, garnering a positive response from outside the company as well.

As we moved toward business succession, we held monthly all-staff meetups where every step was shared openly. Dialogue there directly shaped the next steps, and we ourselves started thinking about how we could ensure the business succession went smoothly. We also nominated the representative for the Eiji Shuppan Wo Tsunagu Kai association.

We were able to build new, positive relationships while staying true to Eiji Press' identity, and I believe the company will only grow stronger.

Company-wide participation, Shift in mindset regarding management



Eiji Press, Inc. Employees

Management had long hoped employees would engage more in company-wide management and branding, and the wedding project became a great opportunity to realize that. **It showed how everyone, not just a few, can take leadership and drive change together.**

External Reactions



Pre-M&A Shareholders

Looking ahead, collaboration with KAYAC will be led not by management but by each employee. That's why, together with KAYAC, we organized an employee-led "wedding," where the vows were spoken not just by the two representatives but by everyone.

Media Coverage

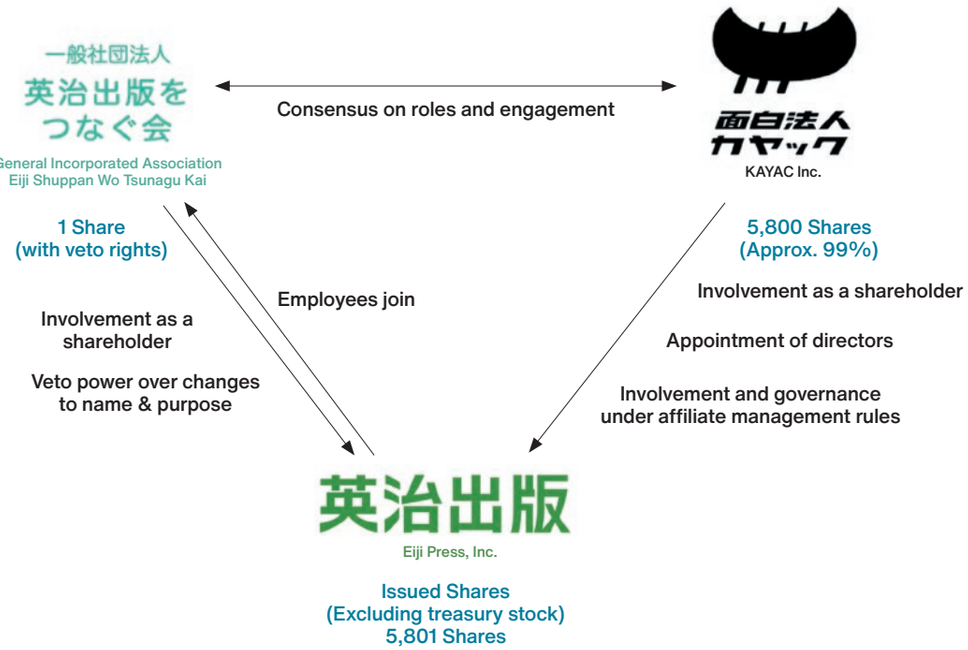
Nikkei Inc., Toyo Keizai Online, BUSINESS INSIDER

An M&A Scheme to Protect Purpose and Culture

By leveraging a "golden share" (a class of shares with veto rights), we developed a scheme that enabled the transfer of shares while protecting the purpose and organizational culture. According to a March 2024 study by Z&C, this was the first publicly reported case of its kind in Japan.

As part of the contract, the three parties jointly agreed to add the company's purpose to its articles of incorporation. While KAYAC Inc., as the largest shareholder, holds approval rights over matters such as amendments to the articles, the Eiji Shuppan Wo Tsunagu Kai association retains veto rights specifically regarding changes to the purpose and company name. In practice, this means that Eiji Press' purpose will be protected by the collective will of its employees, and cannot be altered without the agreement of both KAYAC and the association.

Through ongoing dialogue with stakeholders, the process was carefully structured so that the resulting M&A arrangement did not favor only the buyer or seller, but instead aligned stakeholders around a shared direction.



Process 1 Amend Eiji Press Inc.'s articles of incorporation to newly define its purpose.

Process 2 Establish the general incorporated association, "Eiji Shuppan Wo Tsunagu Kai," owned and governed by employees.

Process 3 Existing shareholders, including the founder,

1. Transfer one share to the association,
2. Convert that share into a golden share with veto rights over changes to the purpose and company name,
3. Transfer the remaining 5,800 shares to KAYAC Inc.

Process 4 Conclude a contract among KAYAK Inc., Eiji Press, Inc., and the Eiji Shuppan Wo Tsunagu Kai association.

Even Companies Aiming for J-Curve Growth Can Learn from Zebras

Helical Fusion Co., Ltd.

Takaya Taguchi Co-founder & CEO, Helical Fusion Co., Ltd.

Helical Fusion (HF) is Japan's first startup aiming for the early actualization of fusion energy using the magnetic confinement (helical) method. Compared to other approaches, the helical method is more stable in generating energy and does not require disruptive technological breakthroughs, making it one of the most realistic ways to achieve fusion energy as a steady power source. HF also traces its roots in the world-class National Institute for Fusion Science (NIFS) and has a team of researchers and engineers with deep expertise. Because of this, HF is also one of the rare companies in the world capable of designing the entire fusion reactor system. Recognizing these strengths, in October 2023 we were selected for the Ministry of Education, Culture, Sports, Science and Technology's "Small Business Innovation Research (SBIR Phase 3)." We secured the maximum grant amount of 2 billion yen, enabling us to pursue R&D with official backing from the Japanese government.

Developing new energy sources requires support from government and political stakeholders. However, when we started, we had neither the know-how or the resources to bring in experts. When I consulted a VC acquaintance, I was introduced to Z&C's founding member Suyama-san, who began advising us on how to engage with government agencies and how deep-tech companies can approach fundraising.

Later, Tabuchi-san also joined us, supporting overseas fundraising and investor networking. At the time we were severely short on hands, so it was incredibly helpful that he not only advised us but also rolled up his sleeves to help with things like preparing applications. Today, we continue to meet with Tabuchi-san every other week to discuss a wide range of management issues, with a focus on fundraising.

The real value of Z&C's management support lies in broadening our perspective when it comes to management and fundraising. Given the nature of our business, HF must pursue ultra-large-scale R&D and financing upfront. In that respect, our trajectory differs somewhat from the zebra worldview, as we aim instead for unicorn-like J-curve growth. That said, learning from the zebra approach, such as exploring long-term funding sources like pension funds, which Tabuchi-san introduced us to, has expanded our fundraising options.

There isn't a single right answer between zebra and unicorn approaches. But even for leaders pursuing J-curve growth, there is much to learn from the zebra worldview and management philosophy. Understanding both broadens the range of possible strategies. With Tabuchi-san's diverse background, experience in a trading company and as an investor, he is a rare presence who can support both paths.

At HF, our early-stage fundraising has largely wrapped up, and as our company evolves and leadership priorities shift, we hope to continue building a strong relationship with Z&C by transitioning the type of support we receive. Instead of regular meetings, I now value having Tabuchi-san as a mentor on a more ad hoc basis, creating space to step back from day-to-day operations and reflect on medium- to long-term strategy. This time for dialogue will remain invaluable. As more model cases of Z&C's evolving support emerge, I hope the zebra worldview will continue to spread.

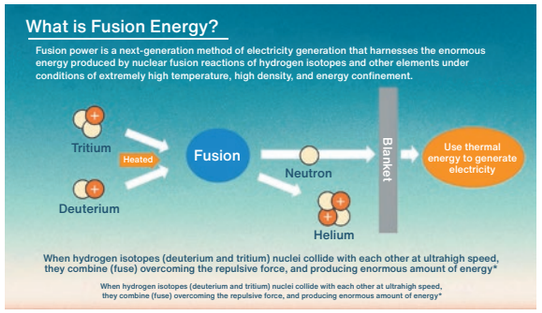
Helical Fusion Co., Ltd. Company Profile



The world Helical Fusion envisions

Business Overview

Helical Fusion (HF) is a startup aiming for the social implementation of fusion energy using the magnetic confinement method. Using the helical method, which is a more stable method of energy production compared to other methods, we aim to develop the world's first steady-state fusion reactor.



Founded in 2021 as a research and development startup, HF has completed two rounds of external fundraising, accelerating R&D, expanding its organization, and actively building collaborations through joint research.

The fusion industry has undergone major shifts in recent years, and the Japanese government has positioned fusion as a national strategic priority. Since 2022, fusion has been explicitly included in the Cabinet Office's Basic Policies, and in 2024, the government released the "Fusion Energy Innovation Strategy." That same year, the Japan Fusion Energy Council was established to drive industry studies, technology standardization efforts, safety regulations, policy proposals to the government, needs-matching between industry and academia, and international talent development initiatives. HF now serves as Vice Chair of this new association.

Z&C's Involvement
(November 2021 - as of May 2024)

Z&C has been involved since the company's founding in 2021, providing comprehensive management support in areas such as fundraising, organizational building, and workflow improvement. Deep-tech companies like HF, while expected to have a large social impact if their technology is commercialized, often face financial difficulties because they struggle to generate short-term business revenue. This creates a mismatch with traditional VC timelines and makes securing funding especially difficult. HF is no exception, as its strategy prioritizes the realization of fusion power above all else, deliberately postponing other commercialization opportunities. In this context, Z&C has worked closely with HF to design tailored fundraising approaches for each stage, identifying the right kinds of capital providers for a field that is both difficult to support under existing financial systems yet crucially important for the future.

COLUMN

An Investor's Perspective on Z&C #4

Supporting, Collaborating, and Walking Alongside One Another

"We want to start a business that supports zebra companies." Three years have already passed since Suyama-san, Tabuchi-san, and Azakami-san first explained their business concept to me. I remember being very impressed and feeling a deep connection to the concept of zebra companies. This was because it had many similarities to the initiatives of my own company, Hinoki Co., Ltd.

Hinoki is a real estate management company with 68 years of experience, managing office buildings and apartment complexes. Over the past decade, however, we have been actively pursuing new business models, supporting startups and social entrepreneurs. Our initiatives span space ventures, education-related projects, and nonprofit organizations. In addition, we have operated the Itsuki Garden in Kamakura for over 40 years with a focus on coexistence with nature, collaborated to establish a nonprofit agricultural corporation in Chiba to cultivate organic crops on abandoned farmland, and created spaces where diverse groups of people can come together. In all these activities, we consistently reflect on fundamental questions about what matters most to humanity, taking a perspective as if observing the Earth from space.

Underlying these efforts is the principle of "Money Follows the Vision." This approach contrasts sharply with the Silicon Valley-style focus on market monopoly, rapid growth, and profit maximization. Instead it prioritizes having a clear vision first, and adopts a long-term perspective: what kind of world do we aim to create?

When I first heard their explanation, I felt that Z&C could be an entity that would articulate, systematize, and further spread what Hinoki has been doing for many years, and I felt confident that we could work together.

We also resonate with the other organizations Z&C has invested in or advised on over the past three years. For example, Hitobito Inc., NEWLOCAL Inc., and Shiojiri's Sunaba contributions to local socio-economic development, while essesense, Inc. emphasizes connecting academia and business. Hitobito's focus on agriculture and nature closely aligns with Hinoki's values. We feel a connection with Linklusion as well as they run their business in Myanmar, where Hinoki supports Wai Wai, a woman advocating for Rohingya minority rights.

The companies and nonprofits involved with Hinoki form a "Hinoki family," supporting and collaborating with each other. This closely mirrors the values of zebra enterprises. Z&C is also an important partner within the Hinoki Family. I hope that we will continue to challenge, support, and walk alongside one another in building a better society.



Hiroyuki Uchida

President, Hinoki Co., Ltd.. Hiroyuki Uchida began his career at Dai-Ichi Kangyo Bank (now Mizuho Bank), where he worked for nearly 28 years. During his tenure, he gained extensive hands-on experience in areas ranging from new business development to business turnarounds, and also led operations as a branch manager. About 20 years ago, he joined the private company Hinoki Co., Ltd. expanding its core real estate management business while also acting as an angel investor supporting ventures from education to space development. Notable investments include ispace, the space venture, and Gakko, based in New York.

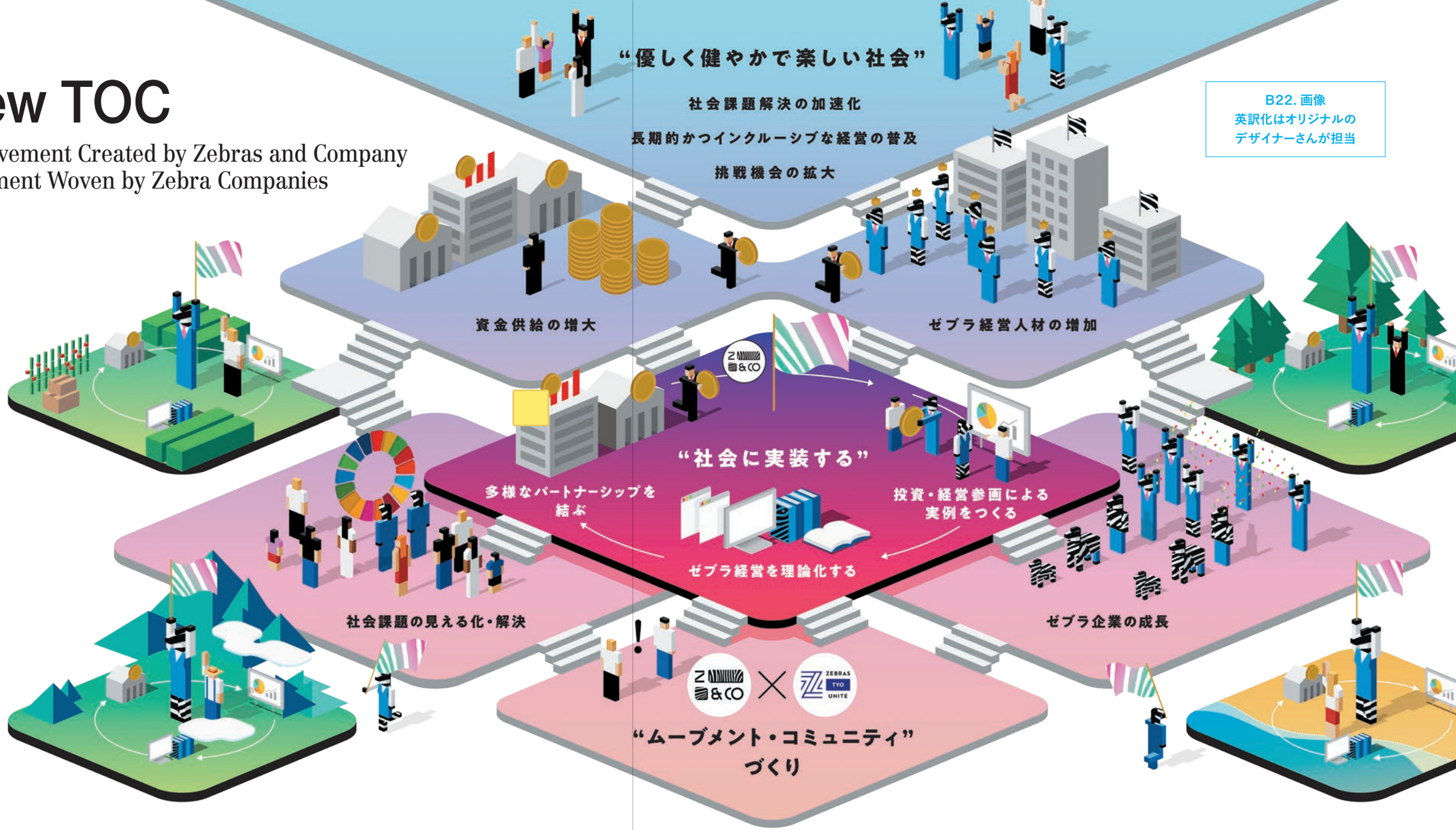
Part 5

Z&C's Direction for the Next Three Years



A New TOC

From a Movement Created by Zebras and Company
To a Movement Woven by Zebra Companies



B22. 画像
英訳化はオリジナルのデザイナーさんが担当

At Z&C's founding, we mapped out how our activities would bring about change in society. Our aim was to implement the zebra company concept and its associated management and funding styles into society, not only through investment and management support, but also by theorizing our work, collaborating with various players, and forming a community and movement.

Over the past three years, that vision has been materializing at a speed beyond our expectations. Mentions of zebra companies in the media have increased, and our track record of investment and management support has expanded. In 2023, we achieved successes such as being featured in the Cabinet Office's Basic Policies, and launching a pilot project in collaboration with the Small and Medium Enterprise Agency to promote local zebra initiatives. This grassroots movement has gradually spread from “foal zebras” to “sibling zebras,” and further to “parent zebras” and government ministries, and is now being integrated into the Japanese economy.

What we've come to realize is that we are not creating a new type of company, but rather bringing out the potential of people and companies that already exist by shedding light on them from a different angle. By providing a new concept, each company's existing values and initiatives are being verbalized and visualized as something that can be shared.

The spark of the Zebras movement ignited by Z&C is now spreading beyond us, and is becoming a movement that belongs to zebra companies and their supporters. Zebra companies will herd together, and will be driven through a strong will and vision to create social impact through business activities by involving players in their respective regions and fields. Then, as connections are made across fields and regions, herds of zebra companies will form, eventually growing into a major swell that moves society as a whole. This future is now clearly coming into view.

The Future of Zebras and Company

Making More Strides Toward a Thoughtful, Healthy and Enjoyable Society

Just as a dazzle of zebras huddles together on the plains, we at Zebras and Company are moving forward, supporting each other with our fellow zebra companies who share the same aspirations. The zebra companies movement, which balances profit and social impact, has emerged as small sparks across Japan and is now on the verge of spreading quietly but widely. However, to keep this spark alive and let it grow into a larger flame for the future, we need not only passion, but also tangible and influential action. In addition to our efforts so far, we are ready to embark on new challenges to realize this future.

1. Formalizing and Theorizing Zebra Management: Visualizing Our Partners' Strengths

The zebra management initiatives that have begun to spread across the country are still sporadic and have not been organized into a common model or theory. Therefore, many companies are going through a process of trial and error. We aim to systematize this knowledge and expertise of zebra management, creating a model that anyone can readily use. We aim to work with experts and university researchers to compile case studies of zebra management and make them accessible as shared knowledge.

The challenges faced by Zebra companies cannot be sustained in isolation. We are committed to building a community where Zebra companies across Japan can connect with one another and learn from each other's successes and failures. By creating a network where entrepreneurs feel that they are not alone but part of a nationwide community, we aim to foster a sense of solidarity that will help the Zebras movement take deeper root in Japan.

2. Creating a Cycle of Purposeful Capital: A Sustainable Financial Ecosystem

Zebra company founders who are serious about balancing their business with the local community, nature, and culture often face barriers when it comes to fundraising. Because Zebra business models tend to prioritize long-term impact over short-term profit, they can struggle to gain support from traditional investors and financial institutions. As a result, many entrepreneurs worry that they may have to abandon their mission halfway, while others struggle to find effective financial schemes that can help them pass their businesses on to the next generation.

That is why we are beginning to explore the creation of new, diverse, and flexible fundraising mechanisms so that zebra companies can focus on their businesses. We envision a new financial institution and ecosystem that circulates diverse funds, including blended finance that combines mezzanine debt tailored to business needs, loans from regional financial institutions, and grants from government and private foundations, in addition to investment. We aim to actively collaborate with parent zebra companies, sibling zebra companies, financial institutions, and local governments to circulate "purpose-driven capital", funds driven by purpose and shared vision. Through this collaboration, we hope to create a sustainable financial ecosystem that can serve as a model for communities across Japan.

3. Systems Change for Daily Life Infrastructure: Re-weaving the Future through "Plan B"

Through our investments and collaborations, we aim to create what we call "Plan B" zebra businesses. With challenges such as an aging and shrinking population and climate change, maintaining conventional government-led public services and infrastructure, or what we refer to as "Plan A", has become increasingly difficult. In response, we seek to promote Plan B initiatives that encourage a systems change toward a more mutually supportive and sustainable society, where the private sector takes the lead in preserving and developing essential regional infrastructure, instead of relying on the government.

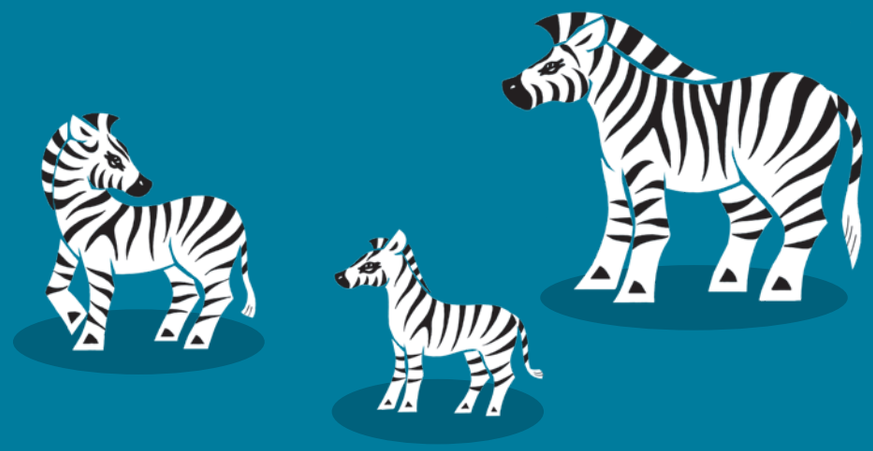
Recently, we have begun seeing examples of parent, sibling, and foal zebra companies collaborating to take on new roles in supporting daily life infrastructure in different locales. However, as larger issues arise that cannot be solved within a single region, we recognize the need to develop projects that transcend regional boundaries. We envision cross-industry projects, such as creating technology-driven systems to support struggling agricultural sites, building regionally autonomous microgrids using renewable energy, and developing new medical and nursing care models for the elderly to live with a peace of mind.

Through investment and collaboration that give rise to such Plan B businesses, we hope to help redefine Japan, not as a "country full of challenges," but as a "nation brimming with possibilities." By doing so, we aim to play a part in building the foundation of a new society, together with governments, financial institutions, local businesses, and communities.

Toward a Hopeful Future

The future envisioned by Zebras and Company is not something we can realize alone. It is a story woven together with diverse partners, from zebra company founders, ambitious financial institutions, to young people who dream of a sustainable society. Just like the intersecting stripes of a zebra, when diverse perspectives and standpoints come together, a new vision for society begins to take shape.

The path ahead may not be an easy one. Yet, guided by our vision of a thoughtful, healthy and enjoyable society, we will continue to move forward, one step at a time, with hope in our hearts. We believe that as a herd of zebras journeying together, we can create a clear and lasting path that reaches every corner of society. We will continue to keep the Zebras movement's flame alive, carrying the winds of hope toward a brighter future.



DIALOGUE 1

Sharing Japan's Unique "Zebras" with the World

A conversation on the future of Z&C, with
Dr. Tomoyoshi Noda of Shizenkan University, a master of leadership education.



Tomoyoshi Noda
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Yoshi Tabuchi

What kind of enterprises, financial institutions, and leaders are needed to solve the world's pressing social challenges and ensure the sustainable prosperity of humankind? And how does that vision align with the philosophy and management approach of Zebra companies? We spoke with Tomoyoshi Noda, founder of Graduate School of Leadership and Innovation, Shizenkan University ("Shizenkan University"), a graduate school that offers "leadership education beyond the traditional MBA." Together with Dr. Noda, we explore what lies ahead for Z&C.

While Companies Are Changing Worldwide, Finance Has Yet to Catch Up

Yoshi Tabuchi (Tabuchi): To start off, could you tell us about your background and what you're working on?

Tomoyoshi Noda (Noda): After graduating from university, I worked at a bank, then earned an MBA from MIT and a DBA from Harvard. After that, I taught at business schools like London Business School and INSEAD. Upon returning to Japan, I founded ISL (NPO), which has produced top executives of listed companies and social entrepreneurs. Based on that experience, I established Shizenkan University in 2018. I have also collaborated with former Unilever CEO Paul Polman to launch an MBA course titled "Future of Capitalism", and serve as Chair of the KEIZAI DOYUKAI's "Future of Capitalism" Project Team, working alongside leaders such as Suntory's Takeshi Niinami to drive transformation in Japan's economy.

Tabuchi: What kind of challenges or questions formed the basis of your work?

Noda: My core concern is that the socio-economic system that supported the 20th century has exacerbated inequality, caused a loss of humanity, and threatened the sustainability of humankind. I believe we need to look ahead to the 22nd century and fundamentally reexamine "what it means to be human, what a company is, and what capitalism is" to truly make the world a better place.

Around the world, purpose-driven business movements are emerging. In France, for instance, a legal framework called entreprise à mission (mission driven company) requires approved firms to include mission-aligned social and environmental goals in their articles of incorporation and undergo third-party oversight. I hope to create a Japan-originated framework that similarly enables companies to pursue their mission and innovate to solve social challenges.

Companies like Allbirds are also experimenting with approaches such as the SPO (Sustainable Public Equity Offering), a sustainability-aligned form of public listing. Yet, the financial system itself has not evolved in this direction, which is the core issue.

Tabuchi: I founded Z&C because I felt a disconnect with conventional finance. Many companies aren't seeking rapid growth but are striving for lasting social impact, and they need support.

Co-evolving with Large Corporations to Build a Zebra Investment Platform

Tabuchi: Beyond providing management support and investment for zebra companies, I've realized that simply creating a model for zebra investment isn't enough. What matters is redefining the purpose of business and management, and exploring how finance can contribute to that vision. What do you think?

Noda: I think the ideal form of zebra investment can take several forms, depending on investor intent.

The first model is for those who simply pursue financial returns. In this case, while the returns themselves would be handled conventionally, voting rights need rethinking. Since voting rights may impose constraints on a company's long-term direction, it may make sense for zebra investment to forgo them altogether.

The second model is investment driven by those who resonate with the mission. In this case, it may not have to take the form of equity. These investors aren't seeking control, they just want to support the mission and recoup their funds eventually. In some cases, a lending model like social banking could be more suitable.

The third is an alliance model, where established firms and zebra companies share resources. For example, Oisix ra daichi invested in Tokushimaru, a mobile supermarket in Tokushima Prefecture, to help scale the business. Such collaborations can be powerful catalysts for growing the Zebras movement.

Tabuchi: I've been thinking a lot about the importance of engaging large corporations more actively. Initially, our vision at Z&C was to invest directly in zebra companies, gradually attract more investors, and bring in financial institutions over time. But I now see potential for large corporations to lead first, prompting financial institutions to follow.

The second type of empathetic investment you mentioned is also crucial. These investments not only generate financial returns but also reshape relationships among investors, zebra companies, and stakeholders. This accumulation of non-financial capital is what defines empathy-based investment, and it aligns with the zebra ethos.

Noda: Indeed, Z&C already incubates and accelerates zebra companies, fostering their growth and strengthening their networks. Within that ecosystem, we should involve not only traditional investors but also corporate investment divisions and acceleration partners. In that sense, creating a zebra investment platform could be a natural next step.

Tabuchi: Yes, that's something we've been considering. Rather than Z&C executing large investments alone, it could be powerful to co-create multiple investment schemes in partnership with major corporations that share the zebra mindset.

Noda: What becomes crucial here is the transformation of large corporations. Over the past "lost three decades," many big companies have been preoccupied with reactive reforms, losing the sense of social mission and aspiration that zebra companies embody. If we're not careful, the platform could become populated only by

corporations driven by self-interest or short-term gain. Co-evolution with large enterprises is essential, but not every large company qualifies. As a starting point, it might be best to collaborate with unlisted corporations that share the mission and are free from investor pressure.

Three Core Concepts to Accelerate the Growth of Zebra Leaders

Tabuchi: We've talked about changes in finance and corporate structures, but I believe that the character of a leader is also crucial for zebra companies. What kind of transformation is needed in how leaders think and act?

Noda: I believe that for-profit companies and NPOs are essentially no different. Even as NPOs pursue social good, they must work incredibly hard to sustain themselves financially. Likewise, for-profit companies do not exist only to make money. Both share the same underlying structure: they have a purpose, and money is a means to achieve that purpose. From that standpoint, dividing organizations into "for-profit" and "non-profit" is meaningless. What truly distinguishes zebra companies from unicorns is not their structure, but rather the founder's or leader's philosophy and sense of purpose; their determination to build a better society and future where people can thrive.

That's why leaders must see themselves as members of civil society, driven by a genuine wish to serve the public good. They need the capacity to rally others around a vision and the creativity to use innovation and technology for positive change. And this is not only true for zebra companies, it's also the leadership Japan's major corporations must now embrace.

Tabuchi: So this leadership style hasn't taken root in Japan yet?

Noda: It's more accurate to say that we are in the process of losing it. The founders who rebuilt post-war Japan all had that awareness. One of the entrepreneurs I deeply respect is Koichi Tsukamoto, the founder of Wacoal. He didn't simply start a business selling women's lingerie. During an era when women were still heavily oppressed, he believed that giving women the freedom to choose beautiful lingerie was, in itself, a symbol of peace. That, to me, is the essence of a zebra entrepreneur. There were many business leaders like Tsukamoto in those days. So the real challenge for Japan now is restoring the true nature of Japanese companies and their leaders.

Tabuchi: How, then, can we increase the number of people with that kind of social commitment? Do you believe that education, such as what you're doing at Shizenkan University and ISL, plays a central role?

Noda: You're absolutely right, but education takes time. I've dedicated my life to leadership education, yet back when I was at ISL, I could only teach about 40 people a year. That pace simply can't keep up with the speed of change we're seeing in the world today. To truly accelerate leadership development, we need to align three key elements: role models, systems change, and governance.



First is role models. We must create visible examples of zebra management and leadership that people find "beautiful" or "inspiring." When society sees real, admirable leaders embodying these values, others will naturally want to follow their path.

Next is systems change. Rather than focusing only on nurturing individuals, we need to transform the educational systems and paradigms themselves under the banner of zebra companies.



It's about redesigning the structures that shape how people learn and grow as leaders.

Finally, governance is necessary because humans are vulnerable. Even founders with strong ideals can grow arrogant or lose sight of their purpose once they find success. And even for those who receive investment from Z&C, we don't know whether they'll still hold the same values ten years later. That's why we need governance mechanisms that serve as continual reminders, like France's "Entreprise à mission" model, where a company's mission is written into its articles of incorporation. Embedding purpose in this way helps leaders stay true to their intent over time.

Sparking Change in Global Finance through Collective Action

Tabuchi: There's a strong alignment between what you've done at ISL and Shizenkan and what we're pursuing at Z&C. Given our generational and domain differences, what expectations do you have for us going forward?

Noda: Your generation is far more globally connected than ours ever was. I hope you'll build alliances that transcend borders. Japan has long embraced the spirit of sampo-yoshi (benefiting all three parties: seller, buyer, and society), so it's no surprise that zebra companies resonate here. But you shouldn't stop there. Though the zebra concept originated overseas, I hope you'll take Japan's experiences and philosophy, blend them together, and then re-export them to the world. I look forward to seeing examples of Japanese corporations investing in global zebra companies, or foreign firms supporting Japanese zebras. From a financial perspective, I have high hopes for your engagement with asset owners. ESG investing, impact investing, and double materiality ultimately depend on the intentions of asset owners. Cultivating a "zebra investor", a new kind of investor who sees themselves as part of a civil society, could have a profound global impact.

Tabuchi: There are still few investors specifically focused on zebra companies. Yet we see potential among leaders of large, unlisted regional enterprises, many of whom have long supported local industries. They may not think of themselves as "zebra investors", but they've acted in that spirit all along. Are there any other avenues you see?

Noda: Dormant deposits could be another powerful source of funding. More broadly, humanity faces massive global challenges such as planetary boundaries, water scarcity, and food insecurity. We need systems that channel substantial capital toward these global issues. And because Z&C has a strong financial background, I believe you're uniquely positioned to challenge and reshape the norms of finance itself.

Tabuchi: Hearing this, I realize how important it is to broaden collaboration, building new relationships across global networks, major corporations, policymakers, and asset owners alike.

Noda: Exactly. The world is beginning to navigate itself through purpose and impact. Z&C's efforts are part of this broader transformation. I'm eager to see where you take it next.

(Interview conducted May 13, 2024)

Dr. Tomoyoshi Noda

President and Chair of the Graduate School of Leadership and Innovation, Shizenkan University. Founder of Institute for Strategic Leadership (ISL). Chair, Future of Capitalism Project, KEIZAI DOYUKAI. After earning his Bachelor's Degree in Law from the University of Tokyo, Noda began his career at the Industrial Bank of Japan before studying in the U.S., where he earned a Master of Science in Management from MIT Sloan School of Management and a Doctorate in Business Administration from Harvard Business School.

DIALOGUE 2

Zebras from the Perspective of Youth, Creativity, and Technology



Kotaro Okada × Yohei Azakami

Through his involvement in three key initiatives — De-Silo, a general incorporated association working to bring academic knowledge and concepts into society; B-Side Incubator, an organization supporting independent music artists; and WIRED Japan, a media platform that explores the intersection of technology and society — young changemaker Kotaro Okada has been fostering a "knowledge and culture ecosystem" that connects researchers, artists, creators, and entrepreneurs. We spoke with him about the possibilities of zebra companies in this evolving landscape.

Building a Creator Ecosystem

Yohei Azakami: Could you tell us about your recent activities?

Kotaro Okada: I am involved in three main projects. One is editing for the technology and culture media outlet WIRED Japan. In addition to producing the magazine and online series, I also engage in event and conference planning, as well as consulting projects that utilize sci-fi prototyping.

Since 2023, I've been focusing particularly on the concept of the "regenerative company." In June 2023, with your help, we produced a special issue (WIRED Japan Vol.49) on this topic. Inspired by examples like "regenerative agriculture", we wanted to highlight companies that go beyond sustainability to actively restore and renew ecosystems. We sought to spark a broader movement, by framing these initiatives together under the idea of a "regenerative company".

Azakami: That seems to resonate with what Zebras & Company is doing. By giving the shared name "zebra" to outstanding business models, these zebras can then form a herd. By connecting and sharing insights, they can accelerate collective problem-solving. Could you tell us about another of your initiatives, De-Silo?

Okada: De-Silo is an independent research institute, think tank, and incubator that collaborates with scholars in the humanities and social sciences.

Our mission is to circulate knowledge generated from these academic fields into society — to socialize concepts and theories, presenting the potential of academic knowledge to the public, and as a result, create new forms of financial flow. In practice, this involves projects such as supporting the operation of in-house corporate research labs, helping universities establish new research centers, designing lecture programs that explore new forms of value from a humanities and social science perspective for new businesses and R&D teams, and organizing art festivals where researchers and artists collaborate on creative production. We focus particularly on theories and concepts that serve as guiding frameworks for understanding our contemporary condition. Examples include philosopher Timothy Morton's "hyperobjects", entities like climate change that are so vast they transcend human comprehension, French-Israeli sociologist Eva Illouz's "emotional capitalism", and the roughly century-old concept of "pluralistic ignorance."

Azakami: What does "pluralistic ignorance" mean?

Okada: It refers to a situation in which members of a group privately reject a norm, yet believe that everyone else in the group accepts it. As a result, that norm persists, even though no one actually supports it. Recently, empirical research on this phenomenon has been gaining attention in Japan as well.

Azakami: I see. Could you tell us about the third initiative you're involved in?

Okada: The third initiative I'm involved in is the B-Side Incubator, a general incorporated association launched in May 2024.

Our goal is to build an ecosystem that supports independent music artists. To that end, we're developing educational programs and workshops where participants can learn about a wide range of topics, from legal and contractual matters to generative AI and music promotion.

In recent years, the spread of music distribution platforms and social media has made it easier for artists to operate independently, without belonging to major labels or management agencies. However, independence also brings new challenges: artists must handle everything themselves, from replying to emails to managing promotion, which makes it difficult to focus fully on their creative work.

As of 2022, around 100,000 new tracks were being uploaded to Spotify every day. While this abundance shows how mature and democratized the music distribution ecosystem has become, it also means that individual songs are increasingly harder to be heard. There's no quick fix to these structural issues. But by creating a shared learning space where artists and those who support them can come together, we hope to foster sustainability and autonomy within the independent music scene.

Azakami: You're involved in such a wide range of initiatives.

Okada: At their core, they're all connected by the same underlying motivation and curiosity. In every era, there are certain fields or communities where passionate, talented people gather. Today, the "regenerative company" movement is one such area, and the independent music scene is another, where we're seeing unprecedented diversity and richness in creative output. There's been talk about the so-called "irrelevance of the humanities," but I've been fortunate to work closely with many outstanding scholars in the humanities and social sciences. In those fields, I believe there's tremendous potential to build new ecosystems through an editorial approach, supporting researchers and artists so their work can flourish and reach wider audiences.



Perspectives on Diversifying Value

Azakami: Could you tell us more about the challenges and concerns that underpin your activities?

Okada: There are several perspectives. First, I feel that the practices of researchers, artists, and creators often go unrecognized precisely because they are so new. I want to help bridge their work with society through better communication, and also to address the challenge that, for the same reason, these individuals often struggle to secure funding. In this regard, I believe there are lessons to be learned from initiatives like Zebras & Company and other impact investment models, which could inspire freer, more sustainable flows of capital to support the autonomy of creators and researchers.

Azakami: We've also been working to support funding for Zebra companies through initiatives like Finance for Purpose.

Okada: Exactly. I have high hopes for new forms of financial circulation. Another important aspect is the diversification of value itself. Take "music" and "musicians," for instance. I think there's room for a much wider range of relationships between them and society. When we think of musicians, we tend to picture someone releasing songs or performing live. But for example, starRo, a music producer who serves as a board member of B-Side Incubator, has relocated to Lake Tazawa in Akita Prefecture as part of a local revitalization team, where he's exploring music-based retreat programs.

Another example is the British artist Dua Lipa, who will be performing in Japan this November. In Kosovo, her parents' homeland, she founded the Sunny Hill Foundation, which donates proceeds from her music festival to local organizations working on culture, education, and social inclusion. She has also established Sunny Hill Academy, a community space with recording studios and performance venues for young people in Kosovo. Beyond music, Dua Lipa, known as an avid reader, also launched Service95, a book club and publishing platform where she shares reading lists and interviews authors, creating spaces for her fans to learn about pressing social issues.

These are just a few examples, but I'm interested in continuing to explore how we can draw out and communicate the multifaceted value of disciplines like research and music, and the people behind them, to society.

Different Scale, Different Future

Azakami: What kind of future do you envision beyond that?

Okada: This goes back to what I said earlier about diversification. We're now seeing growing movements that challenge Western-centric worldviews. Since 2015, the global music market has been on a steady upward trend, partly thanks to the spread of streaming services in emerging economies.

This shift is happening not only among listeners but also among artists. When BLACKPINK became the first Asian headliner and Bad Bunny the first Latin American headliner at Coachella in 2023, it was a symbolic moment. The "next big wave" may very well come from outside North America and Western Europe.

Azakami: So you see signs of a more pluralistic future already emerging globally. What do you think is needed to move toward that future?

Okada: I think we need new metrics that can capture diverse forms of value. In the case of music, for example, Spotify's "monthly listener count" is a highly visible metric, but relying on a single indicator like that has its limits. Independent artists may find themselves judged by the same standards as those under major labels, and when they start optimizing for that number, they risk drifting away from their true creative intentions.



That's why I resonate so deeply with Zebras & Company's concept of "Different Scale, Different Future." Your approach to diversifying how value is measured offers a lot of insights.



Translators as Agents of "Democratizing" Zebras

Azakami: Zebra entrepreneurs, too, can be seen as creators of the future. In your work with researchers and artists, what kinds of new possibilities do you see emerging through these interactions?

Okada: One area I'd like to explore more deeply is how academic knowledge can intersect with business practice. To give a concrete example, let's consider the concept of "emotional capital." This refers to a dynamic process in which two trends occur simultaneously: the "emotionalization of economic activity" and the "economization or rationalization of emotional life." For instance, in the former case, we see emotional or healing-oriented practices being integrated into work, such as learning to regulate anger in the workplace, or adopting personal well-being habits to boost productivity.

During the first research project at De-Silo, we collaborated with Professor Yoko Yamada from Osaka University, who studies emotional capital. In one of the public workshops we organized together, a participant involved in corporate well-being management shared an interesting concern: that even well-intentioned "well-being management" initiatives could risk turning into systems where a company ends up managing employees' well-being and health. I believe that by integrating the concept and theoretical framework of emotional capital into the management and organizational design of zebra companies, there's potential to create systems that truly center the well-being and autonomy of employees, rather than controlling them.

Azakami: To find those points of connection, the presence of a "connector" like you seems essential. For most businesspeople, a concept like emotional capital might feel too abstract or academic to connect directly with their own work. But if more people like you help translate and mediate between these worlds, we could see more zebra companies emerge. After all, the zebra founders we see today tend to be exceptional individuals; people who can integrate insights from technology, academia, and business, and apply them to real social challenges. If more connectors like you step in to connect these dots, we may see more people capable of that kind of synthesis, and more companies willing to collaborate as co-creators. That's how a virtuous cycle could begin to form. Thank you very much for sharing such thought-provoking insights with us today!

(Interview conducted on June 6, 2024)

Kotaro Okada

Representative Director, De-Silo; Representative Director, B-Side Incubator; Editor, WIRED Japan. Okada works to build ecosystems of knowledge and culture by collaborating with researchers, artists, creators, and entrepreneurs who generate new forms of value. Selected for Forbes Japan 30 UNDER 30 in 2023. Born in Tokyo in 1994. Majored in Service Design at Keio University.

DIALOGUE 3

Exploring the Possibilities of an Inclusive Future Through the Lenses of Gender and Zebra Companies



Sawako Shirahase × Miai Kobayashi

As the World Economic Forum's Global Gender Gap Index reveals, gender equality in Japan remains at a low level. What, then, are the factors that continue to hinder the realization of an inclusive society? And what approaches are needed to address these systemic issues? To explore these questions and to consider how zebra companies might contribute to solutions, we spoke with Sawako Shirahase, a leading scholar of social stratification and a Project Professor at the Graduate School of Agricultural and Life Sciences, The University of Tokyo. The interviewer is Miai Kobayashi, CEO of Hitobito Inc. and outside director of Z&C.

Kobayashi: The purpose of a zebra company is not to maximize shareholder profit, but to improve society. The difference from traditional social enterprises is that its guiding principle is to pursue the happiness of all stakeholders, including employees and business partners.

Through my professional experience, I have felt the deep-rooted nature of Japan's gender problem and just how thick that gender barrier is. However, I have hope that the concept of zebra companies can contribute to solving this problem as a by-product.

Gendered Division of Labor Behind Japan's Economic Growth

Shirahase: The Gender Gap Index published by the World Economic Forum clearly shows the current state of gender inequality in Japan. In the latest 2023 edition, Japan ranked 125th out of 146 countries. The biggest reason for Japan's low ranking is the remarkably low rate of women's participation in decision-making roles and the low percentage of female leaders.

Kobayashi: Why are there so few female leaders in Japan?

Shirihase: To understand that, we need to go back to Japan's period of rapid economic growth in the 1960s. During that era, a social structure took root in which men were the primary breadwinners and women stayed at home to support them. This gendered division of labor was reinforced by the fact that a single male income was sufficient to sustain a household. In some ways, it was an extremely efficient system.

Japan is not only a gendered society, but also an age-based one. This might not resonate with younger generations today, but there used to be a common analogy known as the "Christmas cake theory" about a woman's so-called "marriageable age." Christmas cakes are most expensive on December 25th, right? Likewise, a woman was considered "most desirable" around age 25. Parents began to worry and pressure their daughter if she remained unmarried past that age. And once she got married, the next question became, "So, when are you having children?"

In reality, marriage or having kids should never be obligations. Nor is marriage something that must happen only once in a lifetime. But alternative paths were never part of the model.The ideal was to marry one person, stay together for life, and have two children. It was under this kind of standardized life course, structured around gender and age, that Japan built the institutional foundations for what became known as its "Economic Miracle."

As long as you followed that path, life ran fairly smoothly. But stepping off it invited social pushback. A girl interested in science would hear, "If you go into STEM, no one will want to marry you." Or if she expressed an interest in medical school, someone would say, "That's for boys. Becoming a pharmacist is enough for girls."

When I began teaching at the university, I was struck by how many female students told me, "I never want to be called a feminist. If someone calls me that, my boyfriend will leave me." They said it seriously. In Japan, simply saying "Women should have equal rights" is enough to make others see you as "difficult". The social cost of speaking up here is extraordinarily high.

Kobayashi: Has Japanese society always been so intolerant of people speaking up?

Shirahase: Yes, I think so. Essentially, any attempt to question or dismantle the "efficient system" built around gender and age roles has never been welcomed. That resistance to critique, I believe, is one of the key reasons Japan still ranks so low in gender equality.

Breaking the Cycle

Shirahase: In a society like this, it's difficult to expect women leaders to increase naturally. The soil for nurturing leaders isn't there to begin with, and more importantly, there's no expectation that women will become leaders. That lack of expectation is tremendously significant.

When I left Japan and trained as a researcher overseas, I was grateful that my professors, though very strict, expected something from me beyond my gender. They didn't lower the bar by saying, "You don't have to do it if it's too hard." Instead, they said, "Why don't you give it a try?" It's in a society that says "try it", rather than "you don't have to", where people's potential can blossom. In Japan, it was rare for anyone to tell me, "Why don't you go for it?"

Of course, there are female leaders in Japan. But when expectations are absent, it's understandable not to endure extra hardship just to exceed them. Yet when that happens, society concludes, "See? Women just aren't suited to leadership." And the negative cycle continues. Kobayashi: How can we break this negative cycle?

Shirihase: It is difficult for one person alone. A few exceptional women succeeding isn't



enough. To truly change the cycle, society as a whole must transform.

And society does not change on its own; it only changes if we change it. To change it at the macro level, we need external pressure, such as policies to correct inequality. Setting numerical targets like "X% female leaders" is a big step, although it is not sufficient by itself. Whenever such measures are proposed, criticism follows. People ask, "Is it fair to give women a leg up just because they're women?" But in truth, men have enjoyed that leg up all along. Giving women a "boost" won't instantly erase inequality, but it's a necessary start. I would encourage such efforts, though the real question is what happens afterward.

Also, these boosts don't last forever. No matter how much initial support one receives, in the end, everyone is judged by the quality of their work. It's harsh, but at that point, gender is no longer taken into account. "Being a woman" becomes no excuse. Systemic support is vital, but working women must also be encouraged and empowered to break through the barriers themselves.

Kobayashi: When I talk to female managers in large corporations, they all mention the same struggle of having no time for themselves. Their days are filled with managing teams and navigating internal politics to get executive buy-in. Then, they return home to tend to housework and childcare. Their only time for personal tasks comes after midnight, at the cost of their sleep. It's incredibly harsh.

Shirahase: Indeed, surveys show that Japanese women sleep the least in the world. That lifestyle is not sustainable and must change.



That said, juggling everything within 24 hours isn't unique to Japan. I have friends in the U.S. who seem to never rest either. Rather than emulate that, we should realize that maintaining one's health is not just for oneself, but also for one's family and children.

Innovation is Key

Kobayashi: You mentioned that intentional policy change is necessary to transform society. But can bottom-up change also make a difference? They say when 10% of people shift their mindset, it reaches a tipping point. If awareness shapes who becomes a leader, could changing public consciousness bring new leaders from the ground up?

Shirahase: Absolutely, bottom-up change is crucial. Older generations can speak up, but there are limits and society won't transform on that alone. Those most affected must raise their voices.

However, Japan poses a unique challenge: it's a society with little tolerance for speaking out. The cost of doing so is high. That's why leaders must clearly say, "It's okay to speak up," and create spaces for such voices.

Kobayashi: Yet many leadership roles remain held by those with vested interests. It feels like a vicious circle.

Shirahase: Exactly, and breaking it depends on engaging people beyond the directly affected groups. Focusing only on the voices of those impacted can be risky. Sometimes, it's those not directly impacted who can offer fresh insights. The key is fostering shared understanding, helping people see that "women's issues are also men's issues." Creating that shared value is essential.

That's where innovation comes in. Beyond the realm of business, the world as a whole urgently needs new ideas. To drive real transformation, we must work alongside diverse people with diverse perspectives, across gender, age, and background. We need to bring in those who were never expected to lead, who haven't received enough support. That's the direction we should move toward.

Also, gender equality is fundamentally a human rights issue. A world where men and women don't have equal choices is unjust. Still, in Japan, progress often happens more easily when linked to economic logic. In that sense, the Abe administration's "Womenomics" strategy worked because it reframed women's empowerment within a conservative, pro-growth agenda. The economic growth of the 1960s was built on women leaving the workforce. "Womenomics" aimed for renewed growth by redefining women's roles within it.

Kobayashi: This is just anecdotal, not statistical, but I've noticed that a remarkable number of zebra company founders are women. I can't help but think there's a reason for that. Zebra companies pursue both social impact and economic viability. Succeeding on even one of those fronts is difficult, yet they take on both simultaneously. To do that requires constant innovation. Perhaps it's no coincidence that so many women are drawn to that kind of challenge.

Gender Equality as a By-Product of the Zebra Model

Kobayashi: The concept of zebra companies is essentially about updating our economic systems and structures. Underpinning that, as a kind of constitutional principle, is the idea that every individual should be respected. My hope is that as more people begin practicing zebra management, those efforts will become sparks that, as a by-product, help reduce gender disparities.

Shirahase: I completely agree. But the situation is complex, so we need to tackle it from multiple directions at once. Compared to our generation, I think today's younger people are better able to form relationships as peers that transcend gender. I find that very encouraging. That said, young people alone cannot change society. To make real change, we have to bring many different people together.

Your work is wonderful, and I'm sure you're surrounded by people with great ideas. But unfortunately, viewed from a broader perspective, that's still a small minority. There are still countless cases of unbelievable injustice happening in the world. If I may offer a word of



advice, I would say, try to keep a bird's-eye view of society as a whole.

When we were discussing the new framework of the SDGs, one of the most important ideas to emerge was that of a multi-stakeholder engagement. When people and organizations from diverse positions come together and share their wisdom, we move toward a better future. That's precisely where my expectations lie for zebra companies as well. As one of the key players in building a better future, I hope zebras will generate a new kind of impact—something different from what we've seen before.

(Interview conducted on April 12, 2024)

Sawako Shirahase

Sociologist specializing in social stratification and inequality, aging society with low fertility, gender and generational disparities, and social security systems. Currently serves as a Project Professor for the "Inclusive Glocal Future Society Program" at the Graduate School of Agricultural and Life Sciences, the University of Tokyo, and is also Senior Vice Rector of the United Nations University. Her recent works include Jinsei Koki no Kaiko Kozo (The Structure of Social Stratification in the Late Stage of Life), co-edited with Shin Arita and Naoki Sudo (University of Tokyo Press, 2021), and *Social Stratification in an Aging Society with Low Fertility: The Case of Japan (ed., Springer, 2022).*

An Investor's Perspective on Z&C #5

COLUMN

The Thrill of Seeing Someone Shake Up Society

Zebra companies, huh? That's a fascinating concept. They're the polar opposite of unicorns, aiming to balance profit with social good. That's exactly the kind of thing Japan needs. In a country where the culture of donation hasn't really taken root, mission-driven companies often struggle to raise funds. Sure, we've seen a rise in venture capital for startups, but once a company's social mission becomes too prominent, the money suddenly dries up. That's why there's such a need for those who can back zebra entrepreneurship.

And that's where these three founders come in. They told me, "This can be a real business," and even claimed, "We'll be profitable within three years." Pretty confident, huh? But looking at their backgrounds, it's clear. They're the real deal. Global fund experience, time in government, international exposure... they check every box. They seem genuine and good-natured, not the type to scam you. Still, you can never be too careful. Scammers can show up anywhere.

In the end, though, these things come down to gut feeling. I don't know if they'll succeed, but I want to root for people bold enough to take on something extraordinary. That's just instinct. If it goes well, I'll make a solid return. And if not, I can still say, "I helped build that." Sure, "profitable in three years" sounded a bit optimistic, but I didn't mind. Talented people find a way. So I told them early on, "Count me in, I want to support you."

And so I invested. It wasn't a huge amount, but it would hurt me if I lost it all. Still, I was okay with that, because I believe the world needs companies like this. "Zebra," after all, means shimauma, a striped horse. And me? I was born in the Year of the Horse. How could a Horse-year investor not bet on a horse? Who knows if it'll run well, but when you feel a connection, you go for it.

Later, I looked over Z&C's portfolio and saw companies like NEWLOCAL and Helical Fusion, and realized they're right up my alley. Maybe, without realizing it, I'd already become a zebra investor myself. And to think they actually turned profitable in three years, I mean, what a surprise.

They're transparent, always explaining their business and investments clearly. You can feel their drive to try new things. I have high hopes for them going forward. What excites me most about investing in Z&C is the sense of anticipation, that thrill of wondering what bold, meaningful thing they'll do next for society.



Hideto Fujino

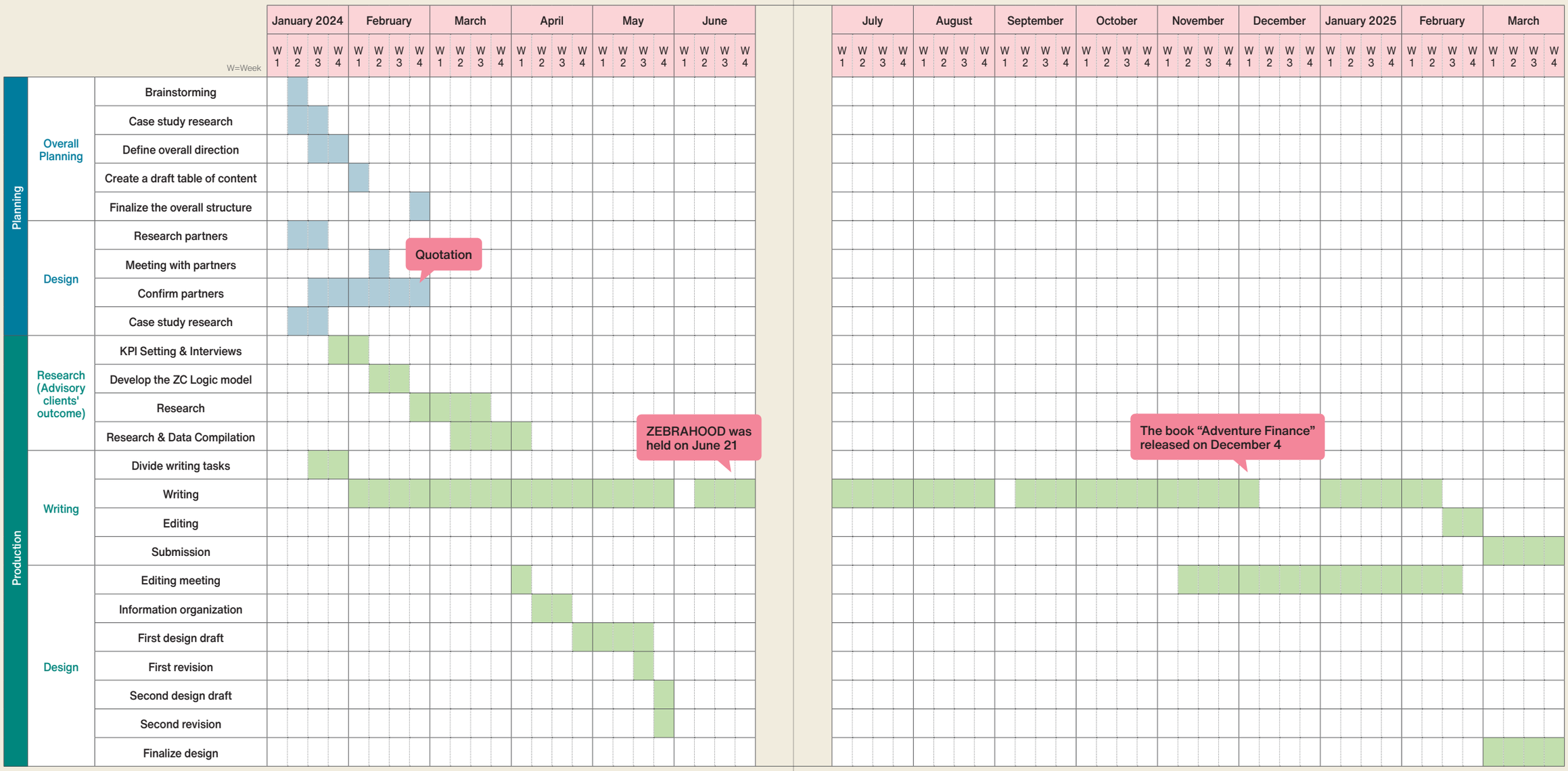
President and CIO, Rheos Capital Works, Inc. Born in Toyama Prefecture in 1966. After serving as a fund manager at major domestic and foreign-capital investment management companies, Fujino founded Rheos Capital Works in 2003. He is also active in investment education, serving as a distinguished special professor at Tokyo University of Science (MOT), and visiting professor at Eikei University of Hiroshima, Shukutoku University, and Tokyo Medical and Dental University. Author of numerous books, including *Nikkei Heikin Juman-en Jidai Ga Kuru! (The Era of Nikkei 100,000 Is Coming!)* (Nikkei Business Publications).

Part 6

APPENDIX



Report Creation Process



Impact Report Creation Flow

The creation of this report began in January 2024. Initially, our goal was to complete it within about six months. However, since the core members, Azakami-san and Sai-san, were also involved in organizing ZEBRAHOOD held in June, and with other projects continuing to progress, after several temporary pauses, the report was completed over the course of more than a year.

Throughout the progress, we organized the content and page structure, then divided responsibilities among the team, engaging external writers and other collaborators where needed. Specifically, finance-related sections were handled by Tabuchi-san, business-related sections by Azakami-san, impact reporting on portfolio companies and advisory clients by Sonoko-san, data organization by Sai-san, overall editing by Azakami-san, and project management by Sai-san.

Creating an impact report internally can often be challenging when carried out alongside daily operations. We hope that by sharing our own timeline and division of roles, this process can serve as a reference, encouraging others to proceed at a sustainable pace while learning and evolving together.

A Guide to Reading the Impact Report

Glossary of Zebra Terms

Throughout this report, you may encounter terms that might be unfamiliar to first-time readers. To support your reading and understanding, we've prepared 20 key "zebra-style" keywords that reflect the concepts and values at the heart of our approach.

Exit to Community (E2C)

A concept proposed by Nathan Schn a member of Zebras Unite. It refers to a l in which a company's ownership transitions from existing shareholders to a broader community such as local residents or employees. This approach distributes profits more equitably among all stakeholders, aiming to achieve fair, sustainable growth and long-term stability.

TOC (Theory of Change)

A model that clarifies the pathway to achieving social change. It provides a framework that logically connects activities to their intended outcomes. It helps set goals at each stage and supports strategic decision-making and progress evaluation. It serves as the foundation for planning actions to drive meaningful change.

Zebras Unite

A global community leading the movement of "zebra companies," which aim to balance profit and social contribution. It fosters collaboration among zebra companies, building networks and sharing knowledge to promote sustainable business practices.

Gendered Innovation

An approach that integrates gender perspectives into technology and product development to address diverse needs. It leverages inclusivity in innovation to create products and solutions that work for everyone.

Place-Based Investment

An investment approach rooted in a specific region, designed to contribute to local economic and social problem-solving. By channeling resources into local initiatives, it promotes sustainable growth and improves community well-being.

B Corp

An international certification that recognizes companies creating positive social and environmental impact. Operated by the nonprofit organization B Lab, it rigorously evaluates governance, employee welfare, community contribution, environmental impact, and customer service. While not legally binding, it serves as a powerful tool to demonstrate a company's social responsibility. More than 5,000 companies across about 80 countries are currently certified, helping advance sustainable business models.

IMM (Impact Measurement and Management)

The process of measuring and managing social impact. It is used as a framework to evaluate the effectiveness of impact investments, identify areas for improvement through data collection, and enhance social outcomes.

Governance

A framework for decision-making and oversight within organizations. By ensuring transparency, fairness, and accountability, governance strengthens trust and supports long-term business growth.

System Change

A concept focused on transforming the underlying structures of society to enable sustainable change. It involves collaboration among multiple organizations to address root causes and support long-term societal development.

Blended Finance

A financing method that combines public and private capital to amplify social impact. It diversifies risk while maintaining potential returns and plays a key role in supporting sustainable and large-scale social transformation.

Philanthropy

Charitable activities aimed at solving social issues. Mainly carried out by foundations and individuals, providing funding in fields such as education, healthcare, and environmental protection, and play an important role in promoting the public good.

Impact Report

A report that clearly shows how an organization has created social and environmental impact. It details the outcomes and progress of activities, fulfilling accountability to stakeholders and enhancing transparency.

Impact Investment

An investment approach that seeks both financial returns and social or environmental benefits. It provides capital to companies and projects that address issues in areas like education, healthcare, and the environment, representing a sustainable way of investing that aligns profit with purpose.

Cooperative

An organization jointly owned and operated by its members, aiming to achieve both economic benefit and social value. Democratic decision-making is emphasized, and all members hold equal rights and share profits fairly.

Basic Policies
(Basic Policies for Economic and Fiscal Management and Reform)

A government policy document outlining Japan's core economic and fiscal strategies. It specifies concrete implementation measures toward goals such as economic growth and fiscal soundness, is updated annually, and serves as a key guideline for major policy decisions.

Logic Model

A framework that consistently illustrates the relationship between activities and their outcomes. It clarifies the causal links between actions and expected results to support effective planning and evaluation of projects.

Innovator Theory

A theory that explains how new ideas and technologies spread. It describes how early adopters play a key role in introducing innovations, which gradually expand and reach the general market.

Regional Impact Investment

An investment method focused on addressing social challenges within a specific region. It utilizes local resources to support the revitalization of regional economies and sustainable development. This type of investment is attracting attention as an initiative aimed at regional revitalization.

Cooperative-Style Stock Company

A corporate form that integrates the advantages of cooperatives, allowing members to actively participate in management. Profits and decision-making are shared among members, providing a foundation for fair and sustainable economic activity.

Regenerative

A concept focused on restoring and renewing natural and social systems. Originally used in the context of regenerative agriculture, it has expanded to businesses and cities, representing a shift from mere sustainability to actively creating better, more resilient conditions.

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Editors' Note

Planning for this impact report began around the end of 2023. We created an outline, assigned responsibilities, set the schedule, and initially aimed to release it the week before ZEBRAHOOD, held in June 2024. However, it was ultimately published in 2025.

Those close to us may already know that 2024 was an eventful year, making it extremely difficult to find time for writing. Progress was slow, but we finally managed to complete it. We often hear that impact measurement can be a heavy burden for newly established companies, and indeed, creating a report like this entirely in-house while running our business was a real challenge.

We are deeply grateful to all the zebra companies who provided information, to our shareholders who shared comments, to the experts who joined us for interviews, to the creators who drew illustrations, and to the members who supported the writing process. Above all, we extend special thanks to our editorial designer, Hirayama-san, who took on the difficult task of laying out the final version and graciously accommodated multiple schedule revisions.

This report was compiled with the hope of sharing what we've learned from observing zebra companies in action, so that more people can understand and appreciate their work. We began with the feeling that many "impact reports" tend to overemphasize what has already been achieved, and such format did not fully capture the ongoing process. That is why we decided to call this an Impact Journey Report, a kind of travel diary that shares the path we are taking as we explore what it means to operate as a zebra company. We hope this serves as a resource for those managing zebra companies, as well as for those supporting them.

We believe readers will recognize that balancing social and economic value in a zebra company is not merely a matter of management techniques and that it extends to the way founders live and how communities function.

Traditional economics and business strategy have often become detached from the human heart and body, but zebra company management integrates humanity into business, engaging others and creating stronger enterprises in the process. This report summarizes our activities up to fiscal year 2023. In 2024, through the Local Zebra Ecosystem Pilot Project, zebra companies from 20 regions across Japan each worked to structure their local issues and developed their own Theory of Change. As these regions learned from one another, new connections and collaborations began to emerge. Even as we were writing this report, the Zebras movement was evolving. By the time we release the next report, we hope to share the new insights born from these ongoing efforts.

At Z&C, we now plan to take even deeper and more meaningful action. We hope everyone who reads this report will continue to expand the Zebras movement within their own roles and join us in working toward a more sustainable Japan and world.

We are often asked for a clear definition of a "zebra company," but we have intentionally chosen not to fix one. Instead, we want each organization to pursue its own interpretation of what a zebra company can be. That is precisely why there remains so much to theorize about what makes a zebra company and how one can become one. We plan to continue exploring and sharing these elements with all of you.

Please look forward to our next Impact Journey Report!

Co-founder and CEO, Zebras and Company Inc.
Yohei Azakami

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